

Enhancing Foreign Assistance: Localization, Financial Innovation, and Sustainability

FOREWORD

This document was produced by the [ReadingMachine framework](#). ReadingMachine is designed to generate a high-coverage, structured, traceable mapping of a defined document corpus, organized around a specified set of research questions. The output should be read as a corpus reading, not as an argument, position paper, or normative assessment. The system does not determine what is important, correct, or true. It represents what is present in the corpus under the specified research questions.

The paper is written with each research question handled stand-alone. This allows any reader to pick up and read on any question they are specifically interested in. The cost of this feature is some repetition across sections/research questions.

ReadingMachine operates as a tightly bounded reader. It does not independently determine research questions, define the scope of inquiry, or evaluate the importance or correctness of claims. Reasoning steps—such as the formulation of motivating questions, the definition of the corpus, and the interpretive goals of the analysis—lie with the user. The role of ReadingMachine is to execute a structured reading of the material it is given, according to those externally specified parameters.

For this reason, it is important to state explicitly the research questions that motivated this reading and the process by which the corpus was constructed. These elements define the analytical boundaries within which ReadingMachine operates and, correspondingly, the scope of what this output can be expected to represent.

Readers interested in the underlying methodology, design assumptions, and known trade-offs should consult the accompanying [whitepaper](#).

This specific run was built on top of a prior run. The abridged version of the relationship between the two runs is that the first run revealed the structural features that matter for the aid system, and the second run explored those structures in more detail. The configurations of each run are detailed below.

FIRST RUN:

Because the research focused explicitly on historical evolution, the standard ReadingMachine methodology was modified. During insight extraction, each insight was also assigned to the historical period to which it referred. This temporal metadata was then

incorporated into the insight representation prior to clustering, allowing temporal distinctions to contribute to thematic organization. Insights for which no period could be confidently identified were excluded from this historical analysis.

Research Questions

The research questions guiding this reading were developed by Oxfam through formal research processes, including the development of a Terms of Reference. They are reproduced here for transparency:

1. What underlying structural features (the conceptual framings, and the institutional arrangements through which they are operationalized) of the US foreign assistance system limited or undermined poverty reduction, reduced suffering, accountable governance, gender equality, or local leadership, and how did they shape or relate to the distribution of decision-making authority, control over resources, and agenda-setting power in ways that contributed to these outcomes?
2. What underlying structural features (the conceptual framings, and the institutional arrangements through which they are operationalized) of the US foreign assistance system enabled or strengthened efforts at poverty reduction, reduced suffering, accountable governance, gender equality, or local leadership, and how did they shape or relate to the distribution of decision-making authority, control over resources, and agenda-setting power in ways that supported these outcomes?
3. How have the dominant structural features (conceptual framings, and operational and institutional forms) been embedded in, transmitted through, or transformed by wider aid institutions, and with what consequences for the distribution of decision-making authority, control over resources, and agenda-setting power, as well as for system outcomes?
4. How and why has political economy of the US foreign assistance system changed over the following overlapping historical periods:
 - a. post world war II reconstruction, development and decolonization
 - b. Cold war developmentism
 - c. Structural adjustment and the debt crisis
 - d. post 1990 liberal internationalism and governance
 - e. post 9/11 securitization
 - f. post 2015 sustainable development

“Political economy” is understood broadly to include a wide range of political concerns and economic interests such that the motivations for the structure of the aid system are the object of analysis.

Analytical frame

The analytical frame serves as the conceptual lens through which relevance is determined during insight extraction and subsequent synthesis. It does not determine the conclusions of the review, but defines what kinds of claims are considered relevant to the research

questions and how structural features are interpreted during corpus reading. The framing is as follows:

This review is motivated by a desire to understand the structural features of US foreign assistance that have either enabled or undermined the goals of the foreign assistance system. The intention behind the review is to inform the structural architecture of a future foreign assistance system by identifying and advancing those structures that most effectively supported the goals of foreign assistance, while avoiding those that undermined them.

We recognize that the goals of foreign assistance have shifted over time, and this review is not concerned with all goals historically pursued by the aid system. Rather, it focuses on goals that remain normatively important today: poverty reduction, reduced human suffering, accountable governance, gender equality, and local leadership. Other goals or imperatives — such as securitization, geopolitical competition, market expansion, or stabilization — are relevant where they shaped, constrained, or undermined pursuit of those normative goals that remain important today.

This review understands the US foreign assistance system as an institutional architecture composed of underlying conceptual framings and assumptions about development and humanitarian action. These framings structure and shape the design and operation of institutional forms—including organizational practices, governance structures, accountability systems, financing arrangements, knowledge systems, and partnership models—through which they are enacted in practice. These institutional forms shape the distribution of decision-making authority, control over resources, and agenda-setting power within the system. The analysis therefore focuses on how structural features give rise to these distributions of power, and how those distributions, in turn, affect the system's ability to achieve its stated goals.

The analytic framework for this work is as follows:

- 'Structural features' are manifest at multiple levels.
- The primary level is conceptual framings and assumptions about development and humanitarian action (e.g., racialized, gendered, colonial, geopolitical, economic, technocratic, etc.).
- These framings shape subsequent levels via the design and operation of institutional forms, including (non-exhaustively) governance structures, financing arrangements, accountability systems, knowledge systems, partnership models, and organizational practices.
- These institutional forms give rise to further structural levels that shape the distribution of power within the system, expressed as (non-exhaustively)

decision-making authority, control over resources, and agenda-setting capacity.

- Similar distributions of power may persist across different historical periods even when institutional forms change, "where underlying structural framings remain stable.

We expect the articulation of different levels of structures to appear independently in the text. Not every structural level will be described in relation to those above and below it. Different authors and different passages will independently talk about 'structures' and invoke different levels.

Insight extraction should adopt this conceptual framing when determining whether any claim in the corpus is relevant to the questions posed below.

The examples used above are illustrative and non-exhaustive, they should not prefigure or bias insight extraction.

Corpus Construction

The corpus underlying this output was constructed using the getlit module of ReadingMachine. Corpus construction involved a combination of automated retrieval and human judgment, following these steps:

- Generation of search terms for each research question using an LLM
- Execution of those searches across OpenAlex and Crossref
- Initial ranking and selection of results by relevance
- Supplementary identification of salient grey literature using OpenAI's o3-deep-research model
- Automated deduplication with manual checks
- Final check of the proposed corpus for obviously missing canonical works, supported by OpenAI's o3-deep-research model
- Manual removal of clearly low-salience or out-of-scope titles
- Acquisition of full texts where institutional access permitted

This process was augmented by a deliberate search for the work of critical scholars considering this issue. This is done to address Oxfam's commitments in its research and analytical work to matters of feminism, decoloniality, anti-racism. The corpus was further augmented by a deliberate search for institutional reports relevant to Oxfam due to having been produced by Oxfam or peer organizations. This is done to ensure that the analysis reflects the views of the operational humanitarian the sector.

Together this process was intended to balance breadth, relevance, feasibility and institutional commitments, while maintaining explicit boundaries around what constitutes "the corpus" for this analysis.

The final corpus contained 282 documents including academic papers, webpages, institutional reports (some long form - ~400 pages) and books. After ingestion, and insight retrieval, this was whittled down to 246 documents. Together these generated 22,464 insights across the corpus.

The final corpus used in this run is available here: https://github.com/morrisseyj/ReadingMachine/blob/main/evaluation/industrial_policy_main_run/corpus.md and as a reference list at the end of the paper.

Every part of this paper was generated by the system, save for this foreword and the final reference list.

SECOND RUN:

Research Questions

1. "What examples does the literature provide of the institutional arrangements, governance mechanisms, financing models, organizational practices, and administrative systems and procedures through which the structural features described in the analytical framework are operationalized? For every example, explicitly identify the structural feature it illustrates within the articulation of the example and explain its implication".
2. "How does the literature characterize and engage with the governance tensions described in the analytical framework, including whether and how they are managed, negotiated, mitigated, or reconciled? For every example, explicitly identify the governance tension it illustrates within the articulation of the example, explain how the tension is expressed, and describe the institutional arrangements, governance mechanisms, financing models, organizational practices, or policy approaches through which the literature attempts to address it."
3. "What institutional arrangements, governance mechanisms, financing models, organizational practices, and administrative systems and procedures does the literature repeatedly identify as strengthening the effectiveness, coherence, sustainability, accountability, and local legitimacy of foreign assistance, and through what processes are these outcomes produced?"
4. "What reforms to the institutional design, financing architecture, governance arrangements, organizational structures, and decision-making processes of foreign assistance does the literature propose, what problems are these reforms intended to address, and what principles underpin them?"
5. "What contextual conditions—including political, institutional, financial, organizational, social, security, and economic conditions—does the literature identify as enabling proposed or attempted foreign-assistance reforms to be implemented, sustained, or scaled, and what conditions cause them to stall, become symbolic, or fail?"

Analytical frame

A previous synthesis of this corpus identified a number of recurring structural features of the US foreign assistance system. These structural features provide the analytical framework for the present review. The purpose of this review is not to determine whether these structural features exist, but to examine how they are operationalized, where they come into tension, and what institutional arrangements the literature associates with managing their effects or producing improved outcomes. The structures are as follows:

1. Aid volatility refers to instability or unpredictability in the timing, duration, magnitude, or continuity of financial assistance that constrains long-term planning, institutional development, and sustainable implementation.
2. Donor-driven agendas refer to institutional arrangements in which donor governments, agencies, or intermediaries retain primary control over priorities, resource allocation, programme design, or agenda-setting, limiting recipient ownership.
3. Bureaucratic fragmentation refers to the dispersion of authority, resources, and implementation responsibilities across multiple organizations, funding streams, or administrative systems that increase transaction costs and reduce coherence.
4. Geopolitical prioritization refers to the allocation or design of foreign assistance primarily according to strategic diplomatic, commercial, or security interests rather than development objectives.
5. Conditionality refers to the use of policy, governance, institutional, or behavioural requirements attached to foreign assistance as conditions for receiving, maintaining, or accessing support.
6. Neoliberal policy frameworks refer to approaches emphasizing market liberalization, privatization, fiscal restraint, deregulation, and reduced state intervention as central principles of development assistance.
7. Recipient ownership refers to the extent to which recipient governments, institutions, civil society, and communities determine development priorities, design interventions, and control implementation and resources.
8. Localization refers to the transfer of decision-making authority, resources, implementation responsibility, and leadership to local and national actors.
9. Institutional capacity refers to the ability of recipient institutions to plan, implement, coordinate, finance, and sustain development activities independently over time.

In this review, structural features are understood to be operationalized through institutional forms, including (non-exhaustively):

- Institutional arrangements, which allocate authority, responsibility, and relationships among actors and organizations;
- Governance mechanisms, which establish the rules, incentives, accountability systems, and decision-making processes through which foreign assistance is directed and controlled;
- Financing models, which determine how resources are generated, allocated, structured, and sustained;
- Organizational practices, which describe the routine ways organizations design, implement, coordinate, and adapt foreign assistance;
- Administrative systems and procedures, which comprise the bureaucratic processes governing planning, procurement, approval, reporting, monitoring, compliance, and implementation;
- Contextual conditions, which describe the political, institutional, economic, social, security, or environmental circumstances that influence how institutional forms operate and whether they succeed, fail, or require adaptation.

These categories are intended as analytical tools rather than rigid classifications. Individual insights may describe one or more institutional forms simultaneously. Some of these structures were identified as producing governance tensions:

1. Recipient ownership ↔ donor conditionality for human rights, accountable governance, and anti-corruption
2. Localization ↔ fiduciary accountability and financial oversight
3. Institutional capacity and long-term institution building ↔ short-term measurable performance and value for money
4. Development objectives ↔ geopolitical and security priorities
5. Aid predictability and long-term assistance ↔ donor political responsiveness and changing foreign-policy priorities

Notes on the second run:

1. The process of time period insertion from the first run was dropped in the second run.
2. The corpus was expanded by another 91 papers – all Oxfam publications on the aid system
 - a. This resulted in a total of 45,489 separate insights
3. The scale of the insights challenged the system identifying a scaling problem that could not be resolved in this run. As such some themes did not fully complete, and the thematic schema did not fully optimize.

Resolving the schema optimization task at scale is a larger issue, but this document serves as a useful example of iterative reading of the same corpus, and of the scalability of the architecture.

EXECUTIVE SUMMARY

The literature on foreign assistance reforms highlights several cross-cutting themes that are crucial for enhancing the effectiveness, sustainability, and local legitimacy of aid interventions. A central theme is the emphasis on localization and local leadership, which involves shifting power and resources to local actors to enhance ownership and capacity. This approach is underpinned by principles of alignment with local priorities and systems, aiming to create a more sustainable and effective humanitarian system. However, challenges such as bureaucratic fragmentation and donor-driven agendas can hinder the effective implementation of localization strategies.

Financial architecture reforms focus on promoting innovative financing mechanisms, flexible funding, and sustainable debt management to address aid volatility and economic instability. The integration of private finance and market-driven solutions is seen as a way to support reform sustainability, but it requires alignment with local needs and stable regulatory environments. Additionally, the literature emphasizes the importance of mobilizing additional resources through tax reforms and fair trade rules to enhance domestic revenue mobilization and reduce dependency on external aid.

Transparency and accountability are critical for improving governance and reducing corruption in foreign assistance. Reforms in this area advocate for increased data accessibility, stakeholder involvement, and adherence to international standards. The integration of digital technologies and the establishment of independent oversight bodies are proposed to enhance transparency and accountability. However, challenges remain in ensuring these mechanisms are adequately resourced and do not impose excessive burdens on local actors.

Gender equality and women's empowerment are increasingly recognized as essential components of foreign assistance strategies. Reforms in this area focus on adopting a feminist aid agenda that addresses systemic gender inequalities and promotes inclusive development. This involves prioritizing women's rights organizations and integrating intersectionality into aid strategies. The literature also calls for reforms in tax systems to remove gender biases and promote women's economic empowerment.

Environmental sustainability is another key focus, with reforms emphasizing the integration of climate adaptation and disaster risk reduction into development strategies. The literature advocates for increased climate finance and innovative financing mechanisms to support sustainable development goals. These reforms are underpinned by principles of sustainability, resilience, and inclusivity, aiming to align foreign assistance with environmental protection goals.

The success of foreign-assistance reforms is contingent upon navigating complex political, economic, and social conditions. Political stability, institutional maturity, and strong leadership are crucial for effective reform implementation. Economic stability and effective

financial management provide the necessary resources and capacity for sustaining reforms. Social cohesion and security conditions also play a critical role, with community engagement and local leadership being essential for ensuring the relevance and acceptance of interventions. Addressing these multifaceted challenges requires a nuanced understanding of the political, economic, and social contexts in which foreign-assistance reforms are attempted.

What examples does the literature provide of the institutional arrangements, governance mechanisms, financing models, organizational practices, and administrative systems and procedures through which the structural features described in the analytical framework are operationalized? For every example, explicitly identify the structural feature it illustrates within the articulation of the example and explain its implications.

Question Overview

The literature provides a comprehensive examination of how various institutional arrangements, governance mechanisms, financing models, organizational practices, and administrative systems operationalize structural features within development frameworks. Key themes include the promotion of localization through direct funding and decision-making authority for local actors, enhancing recipient ownership by aligning aid with local priorities, and the challenges posed by donor-driven conditionality that often prioritize donor interests over local needs. The role of progress tracking systems in improving accountability and transparency is highlighted, alongside the implications of aid volatility on sustainable implementation. Innovative financing mechanisms and public financial management systems are explored as means to stabilize aid flows and enhance development outcomes. Additionally, the impact of geopolitical prioritization and donor-driven agendas on aid allocation is scrutinized, revealing tensions between strategic interests and local development goals. The synthesis underscores the importance of adaptive strategies and inclusive governance to ensure effective and sustainable development interventions.

Financing and Practices for Localization

The theme of 'Financing and Practices for Localization' delves into the mechanisms by which financing models and organizational practices empower local actors through resource allocation and decision-making, thereby bolstering local capacity and leadership. This strategy is pivotal for enhancing development outcomes by aligning interventions with local needs and priorities. Localization is actualized through institutional arrangements and financing models that emphasize direct funding to local entities. For example, USAID's Local Solutions and New Partnerships Initiative aim to allocate a substantial portion of funding

directly to local organizations, thereby fostering recipient ownership and enhancing local capacity (Ahmad et al. 2016_1; Ingram 2022). Similarly, Uganda's Comprehensive Refugee Response Framework (CRRF) integrates refugee responses into national and local development plans, demonstrating localization by involving local governments and communities in decision-making processes (Degan et al. 2019). The OECD underscores the necessity of evaluating interventions to ensure they adhere to best practices and adapt to evolving contexts, highlighting the role of institutional capacity in bridging humanitarian and long-term development assistance (OECD 2021).

Organizational practices are equally critical in operationalizing localization. Oxfam's Cash and Voucher Assistance (CVA) approach exemplifies this by collaborating with local NGOs and financial service providers to bolster local market systems, thereby transferring decision-making authority and resources to local actors (Smart et al. 2022). Furthermore, the Empowering Local and National Humanitarian Actors (ELNHA) program provides direct funding to local actors, enabling them to respond to emergencies and enhance their capacities (Manlutac 2022_1). The Modernizing Foreign Assistance Network (2024) observes that PEPFAR has increasingly delegated implementation to local governments and civil society organizations, further illustrating localization.

Financing models that facilitate localization include pooled funds and direct budget support, which empower local governments to implement policies aligned with their national priorities. The RING project in Ghana exemplifies how direct funding to local assemblies enables local leaders to pursue development plans autonomously, thereby strengthening local ownership and capacity (Sharma 2021). The OECD (2021) also stresses the importance of evaluations that consider unintended effects and sustainability, which are vital for institutional capacity.

The Danish Refugee Council's Community Driven Recovery and Development project in Somalia employs a transformative approach by delivering small grants to communities, allowing them to request, design, monitor, and implement programs while engaging in dialogue with local governments (Wall et al. 2016). This project has developed transformative models of locally based transparency and M&E strategies using social media and SMS, illustrating localization and recipient ownership. Additionally, technology-facilitated models, such as the Ushahidi platform for reporting and mapping human rights abuses, enable local communities to engage in crisis response more immediately (Wall et al. 2016).

These insights underscore the significance of financing models and organizational practices in advancing localization, which in turn enhances local capacity, leadership, and development outcomes by ensuring interventions are tailored to the specific needs and priorities of local communities. The UN Summit for the Future (2024) highlights the role of diverse stakeholders, including civil society and the private sector, in ensuring effective responses to common challenges, illustrating the structural feature of localization through

inclusive decision-making processes. The integration of anticipatory action into existing disaster management frameworks, such as the B-READY model in the Philippines, exemplifies how localization and recipient ownership are operationalized through institutional arrangements and financing models that empower local communities to lead and manage disaster response efforts (Robinson et al. 2024).

Recipient Ownership

Recipient ownership is a pivotal element in development initiatives, ensuring that aid aligns with local priorities and empowers local actors to manage resources and influence policy outcomes. This theme is operationalized through institutional arrangements, governance mechanisms, and organizational practices that prioritize local stakeholder engagement and decision-making authority. Evaluations of Norway's civil society grant and Sida's peacebuilding work exemplify recipient ownership by tailoring interventions to local contexts and priorities, including gender equality and inclusiveness (OECD 2021). Similarly, the German development evaluation system aligns national agendas with the Sustainable Development Goals (SDGs), demonstrating institutional arrangements that support recipient ownership (OECD 2021).

Participatory processes, such as those in the evaluation of health initiatives in Bolivia and budget support in Tunisia, underscore the importance of aligning projects with recipient government priorities. However, challenges in identifying local needs can affect the relevance and consistency of these initiatives (OECD 2021). The focus on gender equality and marginalized groups in evaluations, as seen in Canada's natural disaster reconstruction assistance in the Philippines, further highlights the role of recipient ownership in ensuring interventions are responsive to local needs (OECD 2021).

The integration of local governance committees and participatory monitoring and evaluation practices, as demonstrated in Oxfam's programs in the Democratic Republic of the Congo and the Philippines, operationalizes recipient ownership by involving local actors in decision-making and implementation (Fanning et al. 2019; Hemsley et al. 2019). The feminist approach to aid, emphasizing transformative change and intersectionality, illustrates recipient ownership by promoting women's agency and involvement in development processes (Sarosi et al. 2019).

The Accountability Framework (AAP Framework) operationalizes recipient ownership by ensuring recipients' participation in the Cash and Voucher Assistance (CVA) program, incorporating two-way communication with affected populations, and using feedback to adapt CVA responses as necessary (Smart et al. 2022). This framework emphasizes the inclusion of local perspectives in evaluating the value of interventions (Smart et al. 2022).

Colombia's 'More Families in Action' programme exemplifies recipient ownership through the role of Madres Lideres, women trained to implement the programme and serve as community advocates, highlighting women's critical role in implementation and delivery

(OECD 2021). Similarly, the Danish Strategic Sector Cooperation evaluation highlighted the empowerment of partner institutions, illustrating recipient ownership by enabling partner authorities to influence broader policy and programme outcomes (OECD 2021).

The Busan Partnership Agreement emphasizes democratic country ownership, transparency, accountability, inclusivity, and a focus on results, operationalizing recipient ownership (Fanning et al. 2019). The Local Solutions Initiative, aimed at increasing US aid resources channeled directly to local organizations, illustrates recipient ownership by adhering to the aid-effectiveness principle of country ownership of development (Anglade et al. 2019).

Recipient ownership is further illustrated by gender-responsive programming and the inclusion of marginalized groups, as seen in the feminist approach to monitoring, evaluation, accountability, and learning (MEAL), which involves innovative mechanisms to monitor and evaluate feminist policies and programming (Sarosi et al. 2019). The integration of gender budgeting and support for women's organizations effectively advances gender equality and women's rights, illustrating recipient ownership (Seery et al. 2019).

The multi-stakeholder forum on science, technology, and innovation for the SDGs exemplifies an institutional arrangement that facilitates interaction and network establishment among stakeholders, illustrating institutional capacity by identifying technology needs and gaps (United Nations 2015). National statistical systems play a crucial role in generating, disseminating, and administering data, essential for strengthening domestic capacity, transparency, and accountability in the global partnership (United Nations 2015).

The program's balance of guarantees to investors with those in the interest of local people illustrates recipient ownership, implying that development should benefit the local population, not just foreign investors (Harry S. Truman 1949). European churches' commitment to long-term development in postcolonial territories, ensuring their continued presence after decolonization, illustrates recipient ownership by respecting national autonomy (Smith 1990_1).

Overall, recipient ownership enhances development outcomes by fostering sustainable and context-specific solutions through the empowerment of local actors and alignment of aid with national priorities. This approach is supported by frameworks and initiatives emphasizing local engagement, transparency, and accountability, ensuring development interventions are tailored to the specific needs and priorities of recipient communities.

General Conditionality in Aid

General conditionality in aid frequently prioritizes donor-defined objectives, often at the expense of local needs, by imposing requirements that align with neoliberal policy

frameworks and international commitments. This is evident across various sectors, including private sector interventions, blended finance, and trade policies (OECD 2021; Saarinen et al. 2019). Conditionality mandates that aid recipients adhere to governance standards such as transparency, accountability, and human rights compliance, as exemplified by the Millennium Challenge Corporation's strict governance criteria and the EU's integration of human rights into its external engagements (Modernising Foreign Assistance Network 2024; Kumar et al. 2025). Financial and policy reforms, such as the requirement for countries to implement economic policies or governance reforms as prerequisites for receiving aid, further operationalize this approach (Ahmad 2015_1; Morris et al. 2023). This often results in a focus on economic efficiency and market liberalization, aligning with neoliberal frameworks that emphasize private sector involvement and fiscal restraint (Saarinen et al. 2019; World Bank 1992). However, donor-driven conditions can undermine local autonomy and may not align with recipient priorities, potentially causing tensions between donor objectives and local needs (Oxfam America 2022; Ullah et al. 2025). Despite these challenges, conditionality remains central in aid delivery, shaping governance and policy landscapes in recipient countries. For instance, the EU's External Investment Plan (EIP) illustrates a shift towards leveraging Africa's economic potential through private sector mobilization, reflecting neoliberal frameworks (Saarinen et al. 2019). Similarly, the MASSIF program supports micro-entrepreneurs and SMEs through market-based financial services, further emphasizing neoliberal policies (Saarinen et al. 2019). The requirement for periodic independent audits to assess gender-based analysis and project objectives underscores conditionality by ensuring projects meet gender equality standards (Sarosi et al. 2019). Moreover, strong governance frameworks in blended finance operations aim to protect marginalized groups from market shocks, illustrating conditionality (Saarinen et al. 2019). The OECD-DAC rules on ODA eligibility for refugee costs and the EU's due diligence processes further exemplify conditionality in aid (Kumar et al. 2025; Saarinen et al. 2019). The integration of climate and nature into Debt Sustainability Analysis (DSA) aligns financial assessments with sustainable development goals, illustrating conditionality (Bridgetown Initiative n.d._2). The Global Fund's eligibility policy and the shift from grants to loans for IDA-Only countries based on debt distress risk also reflect conditionality (Keller et al. 2025). In Jordan, the SLG program's requirements for macroeconomic transparency and public-private partnerships demonstrate conditionality's operationalization (Morris et al. 2023). The EU's migration policies and the critique of neoliberalism by the Global South network DAWN further illustrate the tensions and implications of conditionality and neoliberal frameworks (Tenwick et al. 2026; Oula et al. 2026).

The operationalization of neoliberal policy frameworks is further demonstrated through fiscal policies like taxation and subsidy reduction, which are used as levers for reducing the burden of non-communicable diseases, aligning with market-based interventions (Jamison et al. 2013). Economic liberalization, through the reduction of subsidies and privatization, shifts economic activities towards less pollution-intensive sectors, supported by the enlargement of market share for larger, more efficient plants (Dasgupta et al. 2002). Market-oriented regulatory mechanisms, such as pollution charges in countries like China

and Colombia, use economic incentives to achieve significant pollution reductions, demonstrating the effectiveness of these approaches in developing countries (Dasgupta et al. 2002). The use of performance assessment frameworks with measurable results indicators for gender equality and women's empowerment, along with the collection and analysis of sex-disaggregated data, operationalizes both conditionality and institutional capacity by requiring accountability and strengthening the capacity of national statistical institutions to support gender-responsive results (OECD 2009_2).

Donor-driven agendas and conditionality are operationalized through rigid funding requirements and pre-set priorities, which restrict local organizations' ability to address root causes and adapt to community needs, impacting the effectiveness and sustainability of development aid (Kioko 2023). The emphasis on country ownership by USAID and MCC is operationalized through a combination of recipient ownership and conditionality, where partner countries are encouraged to lead in setting priorities and implementing programs, but must also meet specific policy conditions and performance metrics set by the donors. This approach aims to foster mutual accountability and sustainable development outcomes, but also reflects the inherent challenges of balancing local autonomy with donor expectations (Dunning et al. 2017). The literature highlights a tension between the need for donor accountability and the empowerment of local actors, suggesting that while donor-driven conditionality aims to protect funds, it often restricts the flexibility and innovation necessary for locally driven anti-corruption efforts, thus advocating for a balance that allows for local ownership while maintaining accountability (Ahmad 2015_2).

The EU's enlargement process exemplifies the transformative effects of 'high-powered' conditionality, where the prospect of EU membership motivates governance reforms in candidate countries, while also leading to the re-importation of governance innovations from accession countries to the EU, illustrating a dynamic interaction between donor-driven agendas and localization (Sabel et al. 2008). The operationalization of donor-driven agendas is evident in the use of multilateral agreements and financing models, such as the COVAX facility and advance-purchase agreements, which aim to ensure equitable access to vaccines but also highlight limitations in the current system when high-income countries bypass these initiatives (Haldane et al. 2021). The literature provides examples of how aid conditionality is operationalized through governance mechanisms that use aid as an incentive for policy reforms, as seen in the precondition that the World Bank manage the reform component of the Maharashtra project, illustrating the structural feature of conditionality in foreign assistance (Gibson et al. 2005). The ideological conditionality of foreign aid during the Cold War was operationalized through a combination of geopolitical prioritization and conditionality, where Western allies, particularly Great Britain and the United States, used aid to reward countries under US influence and penalize those aligned with the Eastern bloc, while other allies like Sweden, France, and Norway did not follow this pattern, indicating a divergence in institutional arrangements and governance mechanisms among Western donors (Lanati 2019).

Progress Tracking Systems

Progress tracking systems are pivotal in enhancing development outcomes by supplying critical data for evaluating governance and development programs. The AVANSE project exemplifies the challenges associated with implementing results-oriented frameworks without prior impact assessments, highlighting the necessity for robust progress tracking systems to ensure effective governance (Anglade et al. 2019). The Paris Declaration further underscores the importance of measuring progress to bolster evidence demand and improve monitoring systems, addressing the issue of aid volatility (OECD 2009_1). Surveys monitoring Paris Declaration indicators in the education sector illustrate organizational practices aimed at enhancing aid effectiveness through comprehensive monitoring (OECD 2009_1; OECD 2012).

Governance mechanisms such as the International Aid Transparency Initiative (IATI) framework enhance transparency and accountability by tracking aid flows, thereby addressing both aid volatility and bureaucratic fragmentation (Parish et al. 2018). The Disaster Risk Index (DRI) integrates governance mechanisms and organizational practices to assess mortality risk, demonstrating the role of institutional capacity in disaster risk management (Risk 2004). This is complemented by recommendations for mainstreaming disaster risk into development planning, illustrating the operationalization of institutional capacity through governance mechanisms (Risk 2004). The report identifies urbanization and rural livelihoods as key development processes that configure disaster risk, showing how institutional capacity and governance mechanisms are intertwined with broader socio-economic and environmental factors (Risk 2004).

The U.S. Department of the Treasury's call for international financial institutions to scale responses to crises, leading to the IFI Action Plan to Address Food Insecurity, exemplifies a governance mechanism operationalizing aid volatility by scaling up financing, tools, technical assistance, and policy engagement (The US Government's Global Hunger and Food Security Initiative 2024). Similarly, the Agricultural Management Information Systems (AMIS) launched as part of the G20 strengthens collaboration and dialogue among countries, illustrating the operationalization of aid volatility through governance mechanisms (The US Government's Global Hunger and Food Security Initiative 2024).

Moreover, the emphasis on gender-disaggregated data highlights the need for institutional capacity to handle gendered dynamics, ensuring that funding impacts are adequately tracked (Women's Refugee Commission 2026). The Paris Agreement's requirement for regular reporting exemplifies governance mechanisms managing aid volatility and ensuring accountability in climate commitments (Abbass et al. 2022). Indicators provide simple, verifiable, and reliable means to track changes and performance, illustrating the structural feature of bureaucratic fragmentation by offering a way to manage dispersed authority and resources through performance tracking (OECD 2023_2).

The EU's tax omnibus aims to strengthen the anti-avoidance architecture, illustrating the

structural feature of neoliberal policy frameworks by addressing loopholes and promoting fair taxation (Tenwick et al. 2026). Proxy means testing (PMT) is a governance mechanism involving statistical analysis to identify household characteristics that correlate with poverty, used in MPCA programs in Iraq and Lebanon (Smart et al. 2022). EMPOWER's theory of change was translated into a logical framework, linking the project's goal to measurable outcomes and quantified outputs, illustrating the structural feature of aid volatility by enabling monitoring and measurement for external quality control (Mulder 2023).

The proposal for a UN-wide effort to establish a minimum level of 20 percent of total humanitarian assistance funding aimed at disaster mitigation illustrates the operationalization of aid volatility through governance mechanisms and financing models (Brainard 2007). Monitoring and evaluation (ME) systems are governance mechanisms that improve the allocation of funds by providing aggregate information needed to direct more funds toward effective activities and less toward ineffective ones (Brainard 2007).

Institutional capacity is operationalized through organizational practices that improve management systems and increase competition, making banks more efficient, and through the development of nonbank financial intermediaries that provide important sources of long-term finance (World Bank 1989). This is further exemplified by the restructuring of insolvent banks and firms, along with adequate regulation and supervision, which is necessary for successful financial liberalization (World Bank 1989). The emphasis on sustainable education, innovative research, and entrepreneurship as part of the 6S principles highlights the operationalization of institutional capacity, as these elements collectively enhance the ability of individuals and organizations to plan, implement, and sustain development activities independently over time (Hariram et al. 2023).

Overall, these insights collectively demonstrate that progress tracking systems are integral to operationalizing structural features such as aid volatility, bureaucratic fragmentation, and institutional capacity. They provide a framework for continuous improvement by enabling the measurement and evaluation of development programs, thereby ensuring that governance mechanisms are effectively aligned with development goals.

Implications for Sustainable Implementation

Aid volatility poses a significant challenge to sustainable implementation, necessitating adaptive strategies to manage the unpredictability of financial assistance. This unpredictability constrains long-term planning and affects the growth and sustainability of local NGOs, as highlighted by Gingerich et al. (2015) and Ahmad et al. (2016_1). Institutional arrangements and governance mechanisms, such as the International Aid Transparency Initiative (IATI), strive to enhance accountability and predictability by tracking aid flows and ensuring transparency (Parish et al. 2018). Despite these efforts, challenges persist, exemplified by the RING project's lack of substantial local financing, which underscores the structural feature of aid volatility (Ahmad et al. 2016_1).

Financing models, including the rechanneling of special drawing rights to developing countries during financial crises, aim to stabilize financial assistance by reinforcing the global financial safety net (UN Summit for the Future 2024). However, reliance on donor-dependent models, such as the Global Fund's grants-based approach, leaves institutions susceptible to political shifts (Keller et al. 2025). Reforming the international financial architecture to allow countries to borrow sustainably for long-term development addresses aid volatility by ensuring access to credit on affordable terms with full transparency (UN Summit for the Future 2024).

Organizational practices, such as anticipatory action frameworks, operationalize aid volatility by enabling proactive crisis responses, thereby alleviating pressure on humanitarian systems (Robinson et al. 2024). Nonetheless, projects like CEPAT reveal ongoing challenges due to the absence of clear plans for sustainable local financing (Ahmad et al. 2016_1). Anticipatory finance, such as Forecast-based Financing, addresses the timing and predictability of financial assistance, illustrating the structural feature of aid volatility (Smart et al. 2022).

The literature emphasizes the necessity for adaptive strategies and innovative financing models to manage aid volatility, ensuring financial assistance is stable, predictable, and aligned with long-term development goals. This requires donors to commit to multi-year, flexible funding and reduce bureaucratic constraints, thereby enhancing the sustainability of development interventions (Oxfam America 2022; Gingerich et al. 2015). Donors should prioritize sustainable, cost-effective approaches, focusing on the needs of conflict-affected populations and emphasizing stability and predictability in aid delivery (Hemsley et al. 2019). The nexus approach, which integrates humanitarian, development, and peace-building operations, aims to make aid more sustainable and prevent conflict recurrence (Hemsley et al. 2019).

Financing Models for Stability

Financing models designed to ensure stability are crucial in addressing the challenges posed by aid volatility, thereby enhancing development outcomes through the provision of stable and predictable financial assistance. The UN Pooled Financing Mechanisms serve as a prime example, pooling resources to mitigate aid volatility and support sustainable development initiatives (Fanning et al. 2019). Similarly, the International Development Association's increased commitments to fragile states underscore efforts to stabilize financial assistance in regions prone to volatility (Fanning et al. 2019). Blended finance, which strategically combines public and private resources, plays a significant role in addressing aid volatility by unlocking finance for agricultural development and promoting market liberalization (Saarinen et al. 2019). This approach is further exemplified by the European Union's Multiannual Financial Framework, which emphasizes collaboration with the private sector to bolster financial stability (Saarinen et al. 2019).

Innovative funding mechanisms, particularly those supporting women's rights organizations, provide long-term, predictable funding, thereby addressing aid volatility and ensuring sustained support for feminist initiatives (Sarosi et al. 2019). The Global Concessional Financing Facility (GCFF) and the use of concessional loans in infrastructure projects illustrate financing models that stabilize financial flows in middle-income countries affected by crises (Ayoub et al. 2018). Additionally, the Bridgetown Initiative's advocacy for debt swaps and credit enhancement mechanisms highlights the importance of refinancing expensive loans to stabilize financial assistance and support national development priorities (Bridgetown Initiative 2026).

Insurance and risk transfer mechanisms, such as parametric insurance and catastrophe bonds, operationalize aid volatility by providing rapid liquidity following disasters, thus reducing the need for emergency borrowing and enabling faster recovery (Bridgetown Initiative 2025_2). These mechanisms are integral to a broader resilience finance strategy aimed at closing the protection gap and enhancing financial stability in vulnerable economies. The integration of pre-arranged finance into the lending frameworks of multilateral development banks (MDBs) further ensures that financial resources are readily available during disasters, illustrating a proactive approach to managing aid volatility (Bridgetown Initiative 2025_2).

The increasing emphasis on private finance in agricultural development underscores the structural feature of neoliberal policy frameworks, which prioritize market liberalization and reduced state intervention (Saarinen et al. 2019). Private finance blending, an institutional arrangement where public subsidies incentivize private investment in partner countries, exemplifies this structural feature by emphasizing market liberalization and private sector involvement (Saarinen et al. 2019). However, the absence of a common methodology and criteria for evaluating additionality in blended finance highlights the structural feature of aid volatility, as it creates uncertainty in assessing the true impact and effectiveness of such financial arrangements (Saarinen et al. 2019).

The commitment to mobilize significant and adequate resources and investments from all sources for sustainable development illustrates the structural feature of financing models, as it involves determining how resources are generated, allocated, structured, and sustained (UN Summit for the Future 2024). Multilateral development banks are pivotal in supporting sustainable development and achieving the Sustainable Development Goals by increasing countries' access to finance on more affordable terms and facilitating private sector investment (UN Summit for the Future 2024). The ongoing reform efforts of multilateral development banks to mobilize greater financing for the 2030 Agenda illustrate the structural feature of financing models and have implications for increasing the availability of finance and providing policy support and technical assistance to developing countries (UN Summit for the Future 2024).

The OECD DAC defines blended finance as the strategic use of development finance to

mobilize additional finance towards the SDGs in developing countries, operationalizing the structural feature of neoliberal policy frameworks through financing models that leverage public funds to attract private investments (Saarinen et al. 2019). The Dutch Good Growth Fund (DGGF) exemplifies a blending facility that combines ODA with private finance, illustrating the structural feature of neoliberal policy frameworks by integrating market-based approaches into development assistance (Saarinen et al. 2019). The AgriFI-Kenya programme, funded by the EU, operationalizes the structural feature of neoliberal policy frameworks by providing interest rate subsidies (blended loans) to value chain actors, reducing financial risks through interest subsidies or collateralization (Saarinen et al. 2019).

The literature advocates for scaling up financing from all sources for scientific research and research infrastructure that supports sustainable development, illustrating the structural feature of financing models by determining how resources are generated and allocated (UN Summit for the Future 2024). The international financial architecture should channel and increase additional financing towards sustainable development and climate action, illustrating the structural feature of financing models. This implies a need for increased financial resources to support developing countries in addressing climate change (UN Summit for the Future 2024).

Geopolitical Prioritization

Geopolitical prioritization plays a critical role in shaping the allocation and design of foreign aid programs, often aligning them with strategic interests rather than the developmental needs of recipient countries. This alignment is evident in initiatives such as the EU's Trust Fund for Africa and the EU Turkey Facility, which prioritize migration control and border management over local development objectives (Fanning et al. 2019; Seery et al. 2019). Similarly, the U.S. foreign assistance system demonstrates a preference for strategic partners like Egypt and Israel, reflecting a focus on geopolitical interests rather than purely developmental goals (Brainard 2007; Tarnoff 2018). Such prioritization often results in aid being used to support donor countries' national security and commercial interests, including covering domestic refugee costs or limiting migration, thereby diverting resources from poverty reduction efforts (Seery et al. 2019; Adams et al. 2016).

The operationalization of geopolitical prioritization is further illustrated through the nexus approach, which integrates humanitarian, development, and peace efforts to address systemic causes of conflict and vulnerability. However, this approach can compromise humanitarian principles by aligning aid with strategic interests (Fanning et al. 2019). Donor-driven agendas often overshadow recipient needs and local ownership, as aid is influenced by donor priorities and strategic interests (Oxfam 2016; Alden 2017). The OECD's policy coherence through various nexus approaches, such as the humanitarian-development-peace nexus, exemplifies how geopolitical prioritization ensures coherence across policy areas (OECD 2021).

Moreover, aid allocation based on political convenience and short-term donor interests, such as using aid budgets for in-donor refugee costs and security needs, undermines the ability of the poorest countries to shape their own development paths (Adams et al. 2016; Seery et al. 2019). This prioritization often leads to aid volatility, where funding levels fluctuate based on strategic interests rather than consistent humanitarian need, as seen in the varying international responses to different crises (Ayele 2014; Baudot 2015). The World Bank's frameworks and funds, such as the \$2bn fund for refugee-hosting countries, further illustrate geopolitical prioritization by targeting strategic regions with large refugee populations (Fanning et al. 2019).

The EU's Integrated Approach operationalizes geopolitical prioritization by linking humanitarian, development, and peace/security perspectives, emphasizing shared analysis and conflict sensitivity (Fanning et al. 2019). Initiatives like the Sahel Alliance demonstrate the connection between security and development, coordinating donor interventions in strategic regions (Fanning et al. 2019). Additionally, the EU's focus on border control and migration management, as well as its investment in global public goods like pandemic prevention and climate stability, underscores the alignment of aid with strategic interests (Kumar et al. 2025).

Historically, the U.S. foreign disaster assistance system evolved into a routine and formal instrument of U.S. foreign relations by the mid-1970s, illustrating geopolitical prioritization as it was used to stabilize political situations and promote U.S. interests during the Cold War (Irwin 2024_2). The Foreign Assistance Act of 1961 distinguished between military and nonmilitary forms of assistance, emphasizing a commitment to international development over military interests (Irwin 2024_6).

Overall, geopolitical prioritization shapes aid allocation by aligning it with strategic interests, often overshadowing local development needs and priorities. This is operationalized through institutional arrangements and governance mechanisms that prioritize donor interests over recipient needs, further complicated by neoliberal policy frameworks that emphasize private sector involvement and market-driven solutions, as seen in the establishment of the International Development Finance Corporation and USAID's venture capital-like roles (Modernizing Foreign Assistance Network 2024).

Impact of Donor-Driven Aid on Local Needs

The impact of donor-driven aid on local needs is characterized by a significant misalignment between donor priorities and local development goals, which undermines the effectiveness of aid. Donor agendas frequently prioritize their own interests over those of the recipients, leading to resource misallocation and a lack of alignment with local priorities (Booth et al. 2008; Easterly 2007_1; Majale et al. 2025). For example, only 9.5% of bilateral Official Development Assistance (ODA) is directed towards sectors identified in Sustainable Development Goal 1, which aims to end poverty, highlighting the disconnect between donor agendas and poverty reduction goals (Majale et al. 2025). Similarly, the focus on

antiretroviral treatment for HIV/AIDS in specific countries illustrates how donor-driven agendas can skew resource allocation towards specific diseases, neglecting broader health needs (Brainard 2007).

The reliance on external standards and donor-driven policy frameworks often limits recipient ownership and local adaptation. The establishment of international professional standards for civics curriculum exemplifies how donor-driven agendas impose external benchmarks on local education systems (Bush et al. 2000). The World Bank's emphasis on expert-driven policy formulation over recipient ownership further exemplifies how donor-driven agendas can marginalize local voices and priorities (Easterly 2007_1). Additionally, the integration of climate finance into ODA without additional funding reflects a broader pattern of aid volatility and donor-driven agendas, undermining the predictability and effectiveness of aid (Nocerino 2025). The nexus approach, which integrates humanitarian, development, and peace approaches, requires rethinking finance mechanisms and ways of working, illustrating the structural feature of donor-driven agendas (Fanning et al. 2019).

Donor-driven agendas also manifest in the form of tied aid and technical assistance, which prioritize donor economic interests over recipient autonomy. Tying aid to the procurement of goods and services from donor countries limits recipient ownership and reduces the value of aid (Easterly 2007_2; Tarnoff 2018). The use of donor-controlled procurement systems, as seen in USAID's limited use of partner countries' systems, illustrates how donor-driven agendas can restrict local agency and decision-making (Rose et al. 2016). The Development Credit Authority (DCA) and other blended finance mechanisms de-risk investments in small-scale agriculture, shifting risk to the public sphere while maintaining private gains (Saarinen et al. 2019).

Efforts to align aid with local needs are often constrained by donor-driven agendas, which emphasize accountability and measurable outcomes over local adaptation and empowerment. The TAP2 project, which aligns global advocacy efforts with local needs, demonstrates a rare instance where donor-driven agendas are operationalized to support localization and influence policy changes in areas such as food security and agricultural policy (Chirichetti et al. 2025). However, such examples are exceptions rather than the norm, as donor-driven agendas typically prioritize donor-defined metrics and short-term results over sustainable, locally-led development (Ahmad 2015_2). The Modernizing Foreign Assistance Network (MFAN) emphasizes accountability and locally led development to enhance aid effectiveness, illustrating a shift towards more effective donor-driven agendas (Modernizing Foreign Assistance Network 2024).

Government spending on social activities, when allocated effectively, can lead to higher impact on poverty reduction, illustrating the structural feature of donor-driven agendas by emphasizing the importance of recipient ownership in determining spending priorities (Edrees et al. 2015). Conversely, foreign aid can underwrite misguided policies and feed corrupt and bloated state bureaucracies, limiting recipient ownership and leading to

ineffective outcomes (Edrees et al. 2015). The State Department's practice of sending ARC contributions to the highest-ranking US diplomat in each affected country to deliver aid visibly and ceremoniously prioritizes diplomatic visibility and goodwill over recipient ownership (Irwin 2024_1). Formal partnerships between the US government and voluntary aid agencies during and after World War II operationalize donor-driven agendas, as these relationships were made permanent, influencing the dynamics of US international humanitarian endeavors (Irwin 2024_1).

The dominance of the neo-liberal capitalist paradigm, emphasizing efficiency and self-help, has led to the rearrangement of resources through neo-liberal policies, concentrating ownership rights and privatizing natural resources, which illustrates the structural feature of neoliberal policy frameworks (Gupta et al. 2015). The pursuits of liberal and rival social orders advance through shared political technologies, strategies, and practices such as securitised-development, democratisation, and devolution, illustrating the structural feature of neoliberal policy frameworks (Rampton et al. 2017). The sovereign power of law and the disciplinary spread of pluralist conduct are governance mechanisms used to minimize the political implications of particularist identities, illustrating the operationalization of neoliberal policy frameworks (Rampton et al. 2017). The mid-1990s West-led engagement in Sri Lanka aimed at liberal peace, including assistance for counter-insurgency, development, economic and institutional reform, and peace-building, operationalizes neoliberal policy frameworks (Rampton et al. 2017). The colonial era experiment in liberal peacebuilding in Sri Lanka, initiated during British rule, operationalized the structural feature of neoliberal policy frameworks by rejecting ethnic territoriality in favor of uniform and unitary administration, introducing 'local' representation in the Legislative Council and civil service, and dismantling mercantilism and state monopolies in the economy (Rampton et al. 2017).

IMF and World Bank Conditionalities

The conditionalities imposed by the International Monetary Fund (IMF) and the World Bank exert a profound influence on the economic policies of recipient countries, often prioritizing macroeconomic stability at the expense of local social needs. These conditionalities typically mandate fiscal consolidation, debt restructuring, and policy reforms. In Ghana, for instance, the IMF-supported program required fiscal consolidation and debt restructuring, which limited resources available for social programs (Bokpin et al. 2025). Similarly, in Jordan, IMF interventions coupled with trade liberalization and austerity measures have adversely affected unemployment rates and fiscal policies (Saieh et al. 2017). The IMF's involvement in Ghana's economic reform agenda further exemplifies conditionality, as the program was designed to restore macroeconomic stability through revenue mobilization and expenditure rationalization (Bokpin et al. 2025).

Conditionality is also evident in the stipulation that countries must adhere to specific fiscal and structural reforms to access financial assistance. In both Ghana and Liberia, compliance with IMF program requirements is necessary to secure concessional loans (Prizzon et al.

2026). The IMF's lending framework often mandates debt restructuring as a prerequisite for program support, illustrating how conditionality operationalizes fiscal and policy requirements (Bokpin et al. 2025). In Uganda, borrowing at semi-concessional terms for projects with high medium-term returns further exemplifies this structural feature (Prizzon et al. 2026).

Moreover, the neoliberal policy frameworks of the IMF and World Bank emphasize market liberalization and reduced state intervention. This is exemplified by the Structural Adjustment Programs (SAPs) of the 1980s and 1990s, which imposed conditions that restricted public expenditure, leading to cutbacks in social services (Bokpin et al. 2025). The neoliberal agenda is further reflected in the IMF's advocacy for decentralization, which, while intended to make systems more responsive, can complicate coordinated responses to crises, as seen in Guinea during the Ebola outbreak (Kentikelenis et al. 2015). The IMF's handling of the Asian financial crises, applying a standardized formula of budget cuts and high interest rates, exemplifies the neoliberal policy frameworks by exacerbating local economic conditions (Barnett et al. 1999).

Donor-driven agendas also play a significant role, as illustrated by the Extractive Industries Transparency Initiative (EITI), which mandates civil society involvement and government communication to enhance transparency, thereby limiting recipient ownership (Burnley et al. 2014). The Nay Pyi Taw Accord operationalizes donor-driven agendas by committing development partners to align assistance with national priorities and engage in dialogue with national counterparts and civil society (Burnley et al. 2014). The Millennium Challenge Corporation (MCC) exemplifies conditionality by rewarding countries for good governance and economic freedom, further embedding neoliberal principles into aid agreements (Sharma 2026).

The strengthening of safeguard policies by donors, Multilateral Development Banks (MDBs), and development finance institutions (DFIs) illustrates the structural feature of conditionality, aiming to avoid, minimize, and mitigate potential negative impacts on the environment and people caused by development investments (Oxfam America 2022). The IMF's promotion of regional and global initiatives to reverse the 'race to the bottom' in corporate tax rates illustrates the structural feature of neoliberal policy frameworks by addressing fiscal restraint and deregulation (Oxfam America 2022).

The French government's implementation of a Financial Transaction Tax (FTT) in March 2012, driven by civil society and Oxfam, illustrates the structural feature of neoliberal policy frameworks, as it involves fiscal measures aimed at generating funds for development and social policies (O'Neil et al. 2015). The BRICS Development Bank, launched in July 2014, also illustrates this feature by addressing 'infrastructure gaps' and 'sustainable development,' though its conservative statutes may challenge the operationalization of a pro-poor agenda (O'Neil et al. 2015).

These examples collectively demonstrate how IMF and World Bank conditionalities shape economic policies in recipient countries, often prioritizing fiscal discipline and market-oriented reforms over social welfare. The reliance on international financial institutions for COVID-19 response funding in Southern Africa underscores the structural feature of conditionality, as countries like Zimbabwe face restrictions due to debt arrears, affecting their eligibility for certain types of aid and highlighting the implications of debt sustainability concerns (Maeresera et al. 2020).

Institutional Arrangements for Localization

Institutional arrangements for localization are pivotal in enhancing development outcomes by empowering local actors through structured decision-making and resource allocation, thereby fostering local capacity and accountability. USAID's Feed the Future initiative exemplifies this by collaborating with local governments and communities to increase agricultural productivity and resilience, particularly among women farmers, illustrating the transfer of decision-making authority and resources to local actors (The US Government's Global Hunger and Food Security Initiative 2024). Similarly, the Grand Bargain's commitment to localization emphasizes direct funding and decision-making roles for local actors, aiming to reduce fragmentation and enhance accountability (Scott 2026; Brabant et al. 2021).

Governance mechanisms that integrate local actors into decision-making processes further operationalize localization. For instance, local governance committees in projects like the RING initiative in Ghana empower local assemblies to lead development activities, strengthening local ownership and capacity (Ahmad et al. 2016_2). The LL-ERF model in humanitarian responses shifts decision-making power to local consortia, enabling tailored interventions based on local needs and contexts (Manlutac et al. 2024). Cambodia's national program on subnational democratic development illustrates localization by transferring service delivery responsibilities to subnational administrations, embedding climate and disaster resilience into public service delivery (Patel 2025).

Financing models also play a crucial role in localization. Pooled funds, such as Country-Based Pooled Funds (CBPFs), channel significant resources to local and national organizations, illustrating localization by providing direct funding to local actors (Robillard et al. 2021). The use of local procurement systems, as advocated by the Paris Declaration, supports localization by aligning aid with national priorities and strengthening local systems (OECD 2012). Intergovernmental fiscal transfers strengthen the flows of finance from the national to the local level, enabling subnational governments to respond to needs in their jurisdictions more effectively, although uneven decentralization reforms can strain subnational authorities (Patel 2025).

Organizational practices that support localization include developing local partnerships and capacity-building initiatives. Oxfam's approach in Yemen, involving local authorities and focusing on women's participation, exemplifies the empowerment of local communities and

enhancement of local capacity (Cairns 2015). The ACT program's focus on women's leadership in disaster preparedness underscores the importance of local ownership in achieving sustainable development outcomes (Canali De Castro et al. 2026). The IRC-led REACH immunization program illustrates localization by delivering vaccine doses through local civil society organizations, demonstrating the effectiveness of local actors in fragile settings (International Rescue Committee 2026_2).

Challenges remain in fully operationalizing localization. Donor-driven agendas and bureaucratic fragmentation often limit the effectiveness of localization efforts. For example, subcontracting models in international-local partnerships can restrict local partners' decision-making powers and financial compensation, highlighting the need for more equitable partnership models (Robillard et al. 2021). Additionally, the lack of capacity in local organizations to meet international accountability standards poses a barrier to accessing direct funding, underscoring the need for capacity-building initiatives that enhance local institutional capacity (Barbalet 2018). The devolution of basic functions to local government units in the Philippines illustrates localization but also highlights challenges such as unfunded mandates and politically determined budgetary processes that limit local initiatives (Patel 2025).

The Danish International Development Agency's (Danida) evaluation of programs in Uganda illustrates the operationalization of institutional arrangements by assessing effectiveness at sector levels and analyzing the 'value added' from Danida's support (OECD 2021). Similarly, the Inter-Communal Rural Development project in Afghanistan, part of JICA's Ogata Initiative, builds institutional capacity by establishing monitoring systems and a fiscal foundation in cooperation with other donors (OECD 2021). Political economy analysis is used to understand the effectiveness of the development process in lower-income countries, illustrating the structural feature of institutional capacity by analyzing power dynamics and effectiveness (Grown et al. 2025_1).

Feminist aid challenges traditional donor-driven agendas by promoting recipient ownership and localization, integrating gender equality into all levels of aid delivery (Sarosi et al. 2019). France's initiative to promote women's economic empowerment in Africa through funding women's projects illustrates localization by transferring resources and decision-making to local women's movements (Sarosi et al. 2019). Climate and gender budgeting strengthens national public financial management systems by tagging and tracking funds allocated for climate and gender equality outcomes, supporting improved integration of emerging priority areas like climate adaptation into the public budget (Patel 2025).

The case study in Gaza explores the relationship between humanitarian cash and voucher assistance (CVA) and government social protection, focusing on multipurpose cash assistance (MPCA) and CVA that cover basic needs, illustrating localization by integrating local social protection systems with humanitarian efforts (Saad et al. 2022). The MoSD

requires further capacity strengthening and resources to continue leading a responsive and inclusive coordination mechanism, illustrating institutional capacity as a structural feature (Saad et al. 2022). The development of the PNCTP to support the transition from relief to development and coordinate social assistance efforts illustrates institutional capacity, as it aims to comprehensively meet household needs and link them to appropriate services (Saad et al. 2022).

Overall, institutional arrangements for localization are essential for empowering local actors and enhancing development outcomes. By integrating local actors into decision-making processes, aligning financing models with local priorities, and building local capacity, these arrangements can foster sustainable development and resilience in local communities. However, the inclusion perspective of localization aims to make funding systems and coordination mechanisms more accessible to local actors, reduce administrative barriers, and increase capacity building, illustrating the structural feature of localization by enhancing local actors' participation in the international humanitarian system (Robillard et al. 2021). The transformation perspective calls for international systems to adapt to local actors, focusing on shifting power dynamics and relationships, illustrating the structural feature of localization (Robillard et al. 2021). Localization is framed as de-centering international actors in humanitarian response and de-internationalizing humanitarian aid, illustrating the structural feature of localization (Robillard et al. 2021). Current humanitarian response structures are embedded in colonial or neocolonial power systems, affecting the effectiveness of humanitarian aid and illustrating the need for decolonization as part of the localization agenda (Robillard et al. 2021). Localization is operationalized through funding, partnerships, coordination, capacity building, and leadership, but direct funding to local actors is only about 3% of tracked international humanitarian funds, far short of the Grand Bargain goal of 25%. This illustrates the structural feature of localization and its implications for the effectiveness and sustainability of humanitarian aid (Robillard et al. 2021).

The literature also highlights the role of institutional capacity in localization through the establishment of formal high-level agencies and regional environmental units, as well as investments in education and training, which improve the ability of recipient institutions to plan, implement, and sustain development activities independently over time (World Bank 1992). Participatory approaches in environmental management, such as involving local communities in afforestation, wildlife conservation, and park management, enhance local decision-making and resource control, further operationalizing localization (World Bank 1992). The integration of informal financial arrangements with formal systems, as seen in the Grameen Bank in Bangladesh, exemplifies localization by enhancing local economic activity and savings mobilization through group lending schemes (World Bank 1989). The SDGs illustrate localization by focusing on multi-scalar decision-making bodies, representing potential changes in relational politics and transferring decision-making authority to local actors (Gupta et al. 2016). Decentralization in developing countries often involves a complex interplay of localization and institutional capacity, where the devolution

of decision-making power to local entities is challenged by weak local governance structures and accountability mechanisms, necessitating a focus on strengthening local institutions to ensure effective service delivery and equitable resource allocation (Bardhan 2002).

Innovative Financing Mechanisms

Innovative financing mechanisms play a pivotal role in stabilizing aid flows and mitigating volatility, thereby supporting sustainable development outcomes. These mechanisms frequently involve collaboration with the private sector, leveraging market-based solutions to enhance development impact (Fanning et al. 2019; UN Summit for the Future 2024). Blended finance, which combines public and private resources to attract private investment through risk-sharing and concessional finance, exemplifies neoliberal policy frameworks (Gilmour et al. 2026; Oxfam America 2022). The Global Environment Facility and debt-for-nature swaps provide stable funding for environmental projects, addressing aid volatility by ensuring consistent financial support (World Bank 1992).

Financial instruments such as green bonds and climate-resilient debt clauses mobilize private capital for climate action, integrating environmental objectives into financial systems (Bridgetown Initiative 2026; Humphrey et al. 2026_1). Digital financial technologies, including mobile money and blockchain, enhance the efficiency and scalability of aid delivery, aligning with neoliberal frameworks by promoting market-based solutions (Smart et al. 2022). Public-private partnerships (PPPs) and development finance institutions (DFIs) facilitate private sector involvement in development finance, emphasizing market liberalization and private sector engagement (Mitchell et al. 2023; USAID 2025).

Innovative financing models like the Financial Transaction Tax and carbon markets propose new methods to generate resources for addressing climate change impacts, providing additional and predictable funding (Oxfam America 2022). The Asian Development Bank's Innovative Finance Facility for Climate in Asia and the Pacific (IF-CAP) and Uruguay's sovereign sustainability-linked bond illustrate financing models that incentivize resilience and decarbonization (Bridgetown Initiative 2026). Risk transfer tools such as parametric insurance and catastrophe bonds safeguard government fiscal space, providing stability and predictability in financial assistance (Bridgetown Initiative 2025_2).

The integration of neoliberal policy frameworks is evident in the promotion of private sector accountability in global challenges and the emphasis on equitable digital economy inclusion (UN Summit for the Future 2024). China's 'green approach' in international finance and the encouragement of Chinese enterprises in African agriculture illustrate market liberalization and investment (Alden 2017). The Global Fund's financial models adapt to a shrinking aid landscape by combining grants and loans based on countries' economic circumstances, stabilizing funding through diversified sources (Keller et al. 2025).

The G20's initiatives to recalibrate MDB private sector risk-taking and improve investment risk and return data reflect a strategic shift towards neoliberal policy frameworks, emphasizing market liberalization and private sector involvement (Attridge et al. 2026). The use of innovative finance instruments like climate-resilient debt clauses and parametric insurance, despite limited implementation, illustrates the operationalization of aid volatility and institutional capacity (Panwar et al. 2026). The literature highlights the interplay between aid volatility and neoliberal policy frameworks through market-based mechanisms like debt swaps and disaster risk financing, stabilizing funding and leveraging private investment for social and environmental outcomes (International Rescue Committee 2026_3).

Overall, these innovative financing mechanisms collectively enhance development outcomes by providing stable and predictable financial support, mitigating aid volatility, and fostering sustainable development through novel financial tools.

Public Financial Management Systems

Public financial management systems are integral to enhancing transparency and accountability, thereby improving development outcomes and aid effectiveness (Azfar et al. 1999). Institutional capacity, a key structural feature, is operationalized through mechanisms that align objectives, resources, and organizational systems with strategic clarity and foresight, addressing bureaucratic fragmentation (Calleja et al. 2026). Gender-responsive budgeting and the collection of sex-disaggregated data enhance institutional capacity by improving the planning and implementation of gender-focused initiatives (Sarosi et al. 2019). Technical assistance grants and increased domestic revenue mobilization further operationalize this capacity by de-risking investments and tackling inequality through improved tax collection (Saarinen et al. 2019; Seery et al. 2019; Ingram 2022). The mixed responses regarding the cost-effectiveness of using national responders illustrate the tension between localization and fiduciary accountability, highlighting considerations of cost-effectiveness and capacity strengthening (Degnan et al. 2019).

Administrative systems also play a crucial role in enhancing transparency and accountability. The use of financial intermediaries domiciled in tax havens by European DFIs raises concerns about the transparency and accountability of development fund allocations, particularly in healthcare investments (Marriott 2023). The absence of an updated public registry of all USAID contracts since 2001 suggests a deficiency in transparency, affecting accountability (Bate 2007). Conversely, Jordan and Lebanon's unitary database for aid flows and KOICA's value-for-money analysis enhance transparency and cost-effectiveness (Saieh et al. 2017; Cichocka et al. 2025). USAID's financial management analyses and capacity-building efforts demonstrate institutional capacity by ensuring effective resource use and project implementation (Ahmad et al. 2016_1; Ahmad et al. 2016_2). The integration of ERP systems into local NGOs' operations further illustrates institutional capacity by enhancing data accuracy and compliance with donor requirements (Abdulrazak 2025).

Governance mechanisms, such as fair taxation and combating corruption, are essential for reducing aid volatility and increasing domestic resources (Coulibaly et al. 2026; Tonny 2021). Bank supervisors' ability to require banks to make appropriate provisions for loan losses and manage financial risks illustrates institutional capacity (World Bank 1989). The operationalization of institutional capacity and governance mechanisms is exemplified by French aid in Mali, which builds technical capacity for tax collection and supports watchdog organizations for transparency and accountability (Siegel 2017). Budget support, as an institutional arrangement, provides funds directly to a partner country's budget, supporting the government's national development strategy and illustrating recipient ownership and institutional capacity (Rose et al. 2016). The Paris Declaration's emphasis on using country systems and the Accra Agenda for Action's focus on capacity development illustrate institutional capacity by aligning donor support with national objectives and strengthening local governance (OECD 2009_1; OECD 2012; McKechnie et al. 2012).

Organizational practices, including public procurement reforms and digitalization of tax systems, enhance institutional capacity by optimizing resource allocation and improving efficiency (Bokpin et al. 2025). Institutional capacity is further enhanced through public programs like Finland's micro-loans for entrepreneurs and Taiwan's subsidization of education for students abroad, which build skills and knowledge necessary for entrepreneurial ventures (Baumol et al. 2007). The integration of climate resilience into macrofiscal frameworks and the use of insurance in financial strategies further illustrate institutional capacity by ensuring sustainable development and rapid disaster response (Bridgetown Initiative 2025_1; Bridgetown Initiative n.d._1; Bridgetown Initiative 2025_2; Bridgetown Initiative n.d._2). The establishment of robust primary care clinics and the development of credit and land registries also demonstrate institutional capacity by improving service delivery and tax collection capabilities (Jamison et al. 2013; Besley et al. 2014).

Overall, these examples underscore the importance of robust public financial management systems in fostering sustainable development through enhanced transparency, accountability, and institutional capacity. The synergy view of social capital, which integrates networks and institutional perspectives, highlights the importance of state-society relations in fostering developmental synergies, illustrating institutional capacity (Woolcock et al. 2000). Foreign direct investment spillovers through backward linkages operationalize institutional capacity by enhancing local suppliers' productivity through knowledge transfer, quality requirements, and management training (Javorcik 2004). The integration of human rights and gender equality into evaluation criteria and the operationalization of institutional capacity through partnerships and strategic investments further highlight the systemic nature of these efforts (OECD 2023_1; The US Government's Global Hunger and Food Security Initiative 2024). Oxfam in the Philippines provides MEAL support to partners due to strict requirements from back donors, illustrating institutional

capacity by enabling local organizations to access larger-scale funding opportunities (Vera et al. 2021).

Service Integration

Service integration emerges as a critical mechanism for enhancing development outcomes, operationalized through diverse institutional arrangements, governance mechanisms, financing models, and organizational practices. A notable example is the integration of HIV and tuberculosis services in South Africa and Tanzania, which demonstrates organizational practices that improve service delivery through co-located services and harmonized staff training (Bekker et al. 2018). Similarly, the SEARCH project in Kenya and Uganda exemplifies localization by transferring decision-making to local actors, thereby enhancing service delivery through community-centered approaches (Bekker et al. 2018).

Financing models are pivotal in facilitating service integration. The Global Fund's substantial funding is crucial for reducing cases of HIV, tuberculosis, and malaria, underscoring the need for similar mechanisms to finance health-systems strengthening (Bekker et al. 2018). However, neoliberal policy frameworks, as operationalized by Development Finance Institutions (DFIs), often emphasize market-driven approaches that can undermine public sector funding and exacerbate health inequality. DFIs' investments in private healthcare in low- and middle-income countries (LMICs), such as Nigeria and Uganda, illustrate this by prioritizing profit maximization strategies that deplete health budgets (Marriott 2023). The BII health impact framework further exemplifies this by requiring investments to expand access and improve patient care quality, yet it emphasizes market-based approaches to healthcare (Marriott 2023).

Public-private partnerships (PPPs) supported by DFIs, like those in Lesotho and Türkiye, further highlight the tension between market-driven approaches and sustainable public financing, often resulting in unsustainable costs for health ministries (Marriott 2023). The World Bank Group's private-finance-first approach, lacking protective guardrails, exacerbates these issues, emphasizing market liberalization and reduced state intervention (Marriott 2023). This is compounded by high out-of-pocket expenditures for patients attending private hospitals, despite insurance coverage, illustrating the financial burdens imposed by neoliberal frameworks (Marriott 2023).

Institutional capacity is also crucial for service integration. The Lancet Commission on Global Surgery advocates for integrating surgical services into comprehensive health systems, emphasizing investment in human and physical resources and the development of national surgical plans (Meara et al. 2015). This approach underscores the importance of leveraging existing health service platforms to improve long-term health outcomes, as seen in the integration of HIV services with broader health systems in South Africa and Kenya (Bekker et al. 2018). Additionally, regional integration efforts, such as reducing bureaucratic barriers like multiple visas and currency changes, can enhance investment attractiveness and service delivery (Whiteside 2010).

The marketing of Portea's home-based ICU care in India, financed by IFC and BII, illustrates neoliberal policy frameworks by presupposing reliable infrastructure and targeting wealthier patients, which limits access for lower-income groups (Marriott 2023). Government-funded health insurance schemes in LMICs, encouraged by the World Bank Group and bilateral donors, aim to provide greater healthcare access and financial protection but often result in low coverage and exclusion due to voluntary contributions and unaffordable premiums (Marriott 2023). The NHIF in Kenya, despite being nearly 60 years old, only covers 20% of Kenyans, with 75% of people unable to afford the premiums, illustrating bureaucratic fragmentation and neoliberal policy frameworks (Marriott 2023).

Investments by four European DFIs in private health companies in LMICs between 2010 and 2022, totaling billions of dollars, demonstrate the operationalization of neoliberal policy frameworks through financing models that prioritize private sector engagement (Marriott 2023). This focus on private sector investments can erode incentives for the better-off to pay taxes or support more public funding for government services, further undermining public sector funding (Marriott 2023). The IFC's support for private providers to meet healthcare demand and assist governments in reaching Universal Health Coverage by 2030 illustrates organizational practices aligned with market-driven approaches (Marriott 2023).

Finally, the proposal for a new humanitarian aid entity to include much of USAID's health expertise suggests an organizational practice aimed at improving coherence and effectiveness by integrating health and humanitarian aid (Brainard 2007). These examples collectively illustrate how service integration, when effectively operationalized, can enhance health outcomes and efficiency, though challenges remain in balancing market-driven approaches with equitable access and sustainable public financing.

Planning Challenges Due to Aid Volatility

Aid volatility presents significant challenges to long-term planning and sustainable implementation in recipient countries, necessitating adaptive strategies to manage the unpredictability of financial assistance. This volatility, characterized by fluctuations in aid flows, disrupts planning and implementation processes, leading to instability in financial assistance (OECD 2021; Fanning et al. 2019). Such unpredictability often requires recipient countries to adopt flexible and adaptive strategies to maintain program quality and address emerging needs (OECD 2021; Fanning et al. 2019). Economic efficiency is operationalized through resource allocation between target groups and time periods, addressing unpredictability in resource allocation (OECD 2021).

Institutional arrangements and governance mechanisms are crucial in operationalizing aid volatility. For instance, the World Bank's lending support to rural electrification and the evaluation of Sida's peacebuilding efforts illustrate how institutional arrangements can address aid volatility by assessing long-term impacts and ensuring efficiency (OECD 2021).

Similarly, the use of blended finance and private finance blending in agricultural value chains demonstrates how financing models can mitigate risks and stabilize funding (Saarinen et al. 2019). The EDF grant support and DGGF investment in Ethiopia illustrate how financial stability is provided to enable smallholder investment and fill financing gaps for SMEs considered too high-risk by banks (Saarinen et al. 2019).

The need for predictable, flexible, and multi-year financing is emphasized as a strategy to counteract aid volatility. The DAC recommendation and the NWoW initiative highlight the importance of stable funding to ensure sustainable implementation and address the constraints posed by aid volatility (Fanning et al. 2019). The nexus approach provides an opportunity to explore how early warning and early action in relation to natural hazards and conflict prevention can be more fully implemented, emphasizing the need for timely and predictable interventions to manage crises effectively (Fanning et al. 2019). The Famine Early Action Mechanism seeks to provide funding to prevent countries from descending into famine, illustrating the structural feature of aid volatility by aiming to stabilize funding in crisis situations (Fanning et al. 2019).

However, aid volatility also complicates the alignment of donor priorities with recipient needs, often leading to donor-driven agendas that prioritize strategic interests over local development goals (Seery et al. 2019; Hemsley et al. 2019). This misalignment can exacerbate the challenges of aid volatility by creating dependency and undermining local ownership and capacity-building efforts. The Millennium Challenge Corporation's large, five-year grants contribute to state-led development plans but are held in a separate account subject to independent monitoring, illustrating aid volatility and donor-driven agendas (Seery et al. 2019).

The literature underscores the need for innovative financing models, institutional arrangements, and governance mechanisms that enhance predictability and stability in aid flows, thereby enabling recipient countries to effectively plan and implement long-term development strategies amidst the challenges posed by aid volatility. The Addis Tax Initiative (ATI) and the use of unearmarked pooled funds like UN-led Country Based Pooled Funds (CBPF) support financial sustainability, illustrating the structural feature of aid volatility (Seery et al. 2019; Parrish et al. 2018_1). The need for changes to aid financing to adopt a nexus approach illustrates aid volatility, as it remains uncertain whether donors will combine, dovetail, or adapt their funding to meet rising needs (Fanning et al. 2019).

Governments in protracted crisis contexts are increasingly spending their revenue on servicing commercial and concessional debt, which constrains spending on public services and illustrates aid volatility (Pearson et al. 2025). The unpredictability of aid flows is further highlighted by the USAID memo on terminated and retained awards, which indicated that over 99% of USAID's humanitarian funding obligations to WFP were retained, yet the extent of cuts remains unclear (Pearson et al. 2025). Additionally, the World Food Programme's announcement to reduce its workforce by up to 30% by 2026 due to a

declining donor base underscores the impact of aid volatility on core costs and programs (Pearson et al. 2025). The global humanitarian system is overstretched, investing inadequately in risk reduction and prevention, and providing assistance that is often insufficient, inappropriate, and late, further illustrating aid volatility (GINGERICH et al. 2015).

The U.S. foreign assistance system exemplifies aid volatility through its shifting priorities and donation streams, which reflect domestic political and cultural tensions rather than the needs of poorer countries, impacting long-term planning and implementation (Garrett 2009). U.S. foreign assistance programs, such as those supporting laboratory capacity and global health collaborations, demonstrate how aid volatility is managed through institutional arrangements and organizational practices that ensure benefits to both global populations and U.S. domestic interests, reflecting a complex integration of donor-driven agendas and recipient ownership (Duggan et al. 2025). The system's shifts from loans to grants and the use of the Overseas Contingency Operations (OCO) designation reflect changes in financing models to adapt to geopolitical events and budgetary constraints, impacting the predictability and continuity of aid flows (Tarnoff 2018).

The lack of dedicated resources for women's rights organizations and movements highlights aid volatility, as it constrains their ability to function effectively and limits the implementation of the BPfA, illustrating the need for stable and predictable funding (Cornwall et al. 2015). The operationalization of donor-driven agendas and aid volatility is evident in the historical evolution of aid, where aid has been used as a tool for geopolitical interests, leading to dependency and ineffective outcomes in Africa, contrasting with the finite and targeted approach of the Marshall Plan in Europe (Moyo 2010). Aid volatility is also illustrated by the variation in aid allocation among donors, with some prioritizing poverty reduction and others focusing on strategic interests, leading to inconsistent aid patterns across different recipient countries (Alesina et al. 2000).

The operationalization of aid volatility and bureaucratic fragmentation is evident in the establishment of independent project implementation units by donors, which bypass regular government structures, as seen in Mali, leading to weakened institutional capacity and reduced government ownership (Bräutigam et al. 2004). Aid volatility and donor-driven agendas are operationalized through the creation of 'soft budget constraints' in aid-dependent countries, where governments rely on foreign aid to cover deficits, undermining fiscal discipline and long-term planning, as illustrated by the experiences of Zambia and Tanzania (Bräutigam et al. 2004). The risk-averse culture created by the counter-bureaucracy has constrained innovation and experimentation in aid programming, illustrating aid volatility and bureaucratic fragmentation, as it prioritizes compliance over developmental effectiveness (Natsios 2011).

The literature illustrates that the structural feature of aid volatility is operationalized through the unpredictability of aid inflows, which results in an effective reduction in the

total value of foreign aid by 8 to 20%, affecting long-term planning and sustainable implementation (Riddell 2008). The restructuring of aid programs characterized by funding more aid interventions that bring immediate tangible benefits illustrates the structural feature of aid volatility, as it prioritizes short-term gains over long-term planning and sustainable implementation (Riddell 2008). The negative impact of foreign aid on poverty reduction in Africa highlights the structural feature of aid volatility, as it creates dependency and undermines sustainable development, illustrating the need for more locally-driven economic transformation rather than reliance on external aid (Edrees et al. 2015).

US foreign disaster assistance was characterized by a dual focus on short-term relief and strategic interests, illustrating aid volatility and geopolitical prioritization, as the system prioritized immediate humanitarian response over long-term planning and was used to advance American diplomatic goals (Irwin 2024_2). The establishment of USAID and the Foreign Assistance Act of 1961 aimed to centralize and streamline US foreign aid efforts, yet the persistence of bureaucratic fragmentation and aid volatility is highlighted by the continued reliance on piecemeal funding mechanisms and the lack of dedicated disaster response units, which hindered effective disaster management and coordination (Irwin 2024_6). The financing models and organizational practices of US foreign disaster assistance during this period demonstrate aid volatility, as seen in the use of contingency funds and rapid mobilization of resources for immediate disaster response, which were often influenced by political and strategic considerations rather than stable, long-term planning processes (Irwin 2024_7). US foreign disaster assistance in the 1920s and early 1930s illustrates the operationalization of aid volatility and neoliberal policy frameworks, as the transition from short-term relief to longer-term recovery projects and the implementation of labor relief programs emphasized work in exchange for aid, reflecting a shift towards market-based solutions and addressing dependency concerns (IRWIN 2024_1).

The literature illustrates the structural feature of aid volatility through the example of Nigeria's fluctuating poverty levels despite significant FDI inflows, highlighting the instability in economic benefits from foreign investments (Anigbogu et al. 2016). The development of gender equality norms within the UN demonstrates a pattern of institutional capacity building through the creation of new entities and integration of gender norms, yet these efforts are often constrained by aid volatility and donor-driven agendas, limiting their long-term impact and sustainability (Zwingel 2019). The literature highlights the interplay between aid volatility and institutional capacity, emphasizing that the effectiveness of foreign aid in financing social development programs is contingent upon governance quality and institutional capacity, which are operationalized through targeted interventions and capacity-building measures (Wudil et al. 2023).

The Lebanese experience illustrates how aid volatility and donor-driven agendas are operationalized through institutional arrangements like the Council of Development and

Reconstruction (CDR) and financing models involving international loans and grants, which led to a shift from reconstruction to financial stabilization, impacting long-term development priorities and fiscal management (Dibeh 2010). The shift in foreign aid utilization in Lebanon from reconstruction to financial stability highlights the interplay between geopolitical prioritization and aid volatility, as aid was redirected to address macroeconomic pressures and balance-of-payments needs, demonstrating how strategic interests can override development objectives in institutional arrangements (Dibeh 2010). The Paris II meetings exemplify how aid volatility and donor-driven agendas are operationalized through governance mechanisms involving both international donors and internal financial players, which provided Lebanon with the necessary financial support to avert a crisis but also reinforced dependency on foreign aid for economic stability (Dibeh 2010). The Lebanese government's reliance on donor conferences and direct deposits with the central bank to manage macroeconomic imbalances illustrates the operationalization of aid volatility and conditionality, as these mechanisms were crucial in securing foreign capital during economic crises but also increased dependency on external financial support (Dibeh 2010).

The literature illustrates the structural feature of aid volatility through the use of econometric models like the Harrod-Domar model and the two-gap Chenery-Strout extension, which assume a stable linear relationship between growth and investment, highlighting the challenges in achieving target growth rates due to aid's instability (Arndt et al. 2010). The competition for agenda space across issue domains, such as between foreign policy and economic policy, highlights the structural feature of aid volatility, as attention shifts due to real-world events, impacting the predictability and continuity of policy focus and resource allocation (Peake 2016). The literature suggests that foreign aid in Thailand primarily operates through indirect effects on economic growth rather than direct poverty reduction, illustrating how aid volatility and neoliberal policy frameworks are operationalized through financing models and organizational practices that emphasize economic growth and infrastructure development over direct poverty alleviation (Sakurai 2024).

The German Energiewende illustrates the operationalization of multiple structural features, including aid volatility, donor-driven agendas, and bureaucratic fragmentation, through its policy mix involving long-term support mechanisms, advocacy group involvement, and complex implementation structures (Rogge et al. 2016). The literature highlights a tension between the professionalization and scaling-up of NGOs, which enhances their service delivery capabilities, and their original grassroots orientation and innovative potential, which are often compromised by the need to meet donor expectations for measurable outcomes, illustrating the structural feature of aid volatility and donor-driven agendas (Banks et al. 2015). The effectiveness of PES programs is influenced by the structural feature of aid volatility, as seen in the variability of payment structures and targeting mechanisms, which can lead to inefficiencies such as lack of additionality and insufficient adoption of socially-desirable practices (Engel et al. 2008).

The literature illustrates that the operationalization of structural features such as aid volatility and donor-driven agendas often involves complex interactions between RCTs and local contexts, where the scalability and replicability of interventions are influenced by local economic, social, and institutional conditions (Deaton et al. 2016). The literature highlights that the operationalization of structural features such as aid volatility and institutional capacity is often challenged by the failure of trial results to replicate at larger scales, due to factors like general equilibrium effects and local governance issues, which affect the continuity and sustainability of interventions (Deaton et al. 2016). The fungibility of aid and the transformation of donor funds into standard credit-grant facilities illustrate aid volatility and donor-driven agendas, as these practices affect the predictability and impact of financial assistance, leading to situations where recipient states see little or no net added incentive from donor-derived funding (Gibson et al. 2005).

Aid volatility is operationalized through complex interactions between different aid sectors, where positive volatility in one sector can lead to compensatory negative volatility in another, reflecting donors' strategic adjustments to maximize aid impact across sectors (Hudson 2015). The operationalization of aid volatility is evident in the differential impacts on macroeconomic management and aid effectiveness, where sectors like health and education are often protected from volatility due to their alignment with Millennium Development Goals, while sectors like government, industry, and program assistance experience higher volatility due to their size and donor priorities (Hudson 2015). Aid volatility is operationalized through the asymmetric vector autoregression (VAR) model, which reveals that positive volatility in public administration aid can have both negative impacts on other sectors and positive knock-on effects on humanitarian and infrastructure aid, indicating complex inter-sectoral dynamics and resource competition (Hudson 2015). The operationalization of aid volatility is demonstrated by the significant impact of social infrastructure aid on reducing death rates and increasing school completion rates, highlighting the importance of sector-specific aid in achieving social targets despite overall aid volatility (Hudson 2015).

Aid volatility is operationalized through the donor's allocation problem, where aid may switch between sectors or micro-targets, resulting in positive volatility for one target and negative for another, without reflecting overall aid volatility, illustrating the strategic trade-offs donors make in response to emergencies or unforeseen developments (Hudson 2015). The '90-10 rule' is an institutional arrangement by DFID to ensure that 90% of its bilateral program goes to low-income countries, illustrating the structural feature of aid volatility by creating a benchmark allocation of aid spending that requires justification for deviations (Brainard 2007). The Wharton Report's lack of a clear vision and unified structure illustrates aid volatility, as it failed to provide a coherent strategy for sustainable development, similar to challenges faced by other U.S. reform efforts in achieving long-term planning and implementation (Brainard 2007). Aid volatility is operationalized through the Congressional Budget and Impoundment Control Act of 1974, which introduced spending

limits and fiscal discipline, affecting the predictability and stability of foreign assistance funding (Brainard 2007).

The German compensation trade in Brazil during the 1930s highlights the structural feature of aid volatility, as Brazil's economic policies were influenced by shifting international trade dynamics and the need to navigate between competing foreign powers, leading to temporary economic gains but also instability in trade relationships (Abreu 1985). The paper identifies financing models where the misleading budget neutrality of underfunded pensions serves as a political tool, illustrating how fiscal indiscipline is more likely when expenditures benefit narrow constituencies and are not easily observable, thus operationalizing the structural feature of aid volatility in municipal finance (Dippel 2019). The literature suggests that the U.S. development program in Pakistan is constrained by donor-driven agendas and aid volatility, as it is trapped in an 'impossible trinity' of local ownership, rigorous oversight, and speedy results, which cannot all be maximized simultaneously, leading to challenges in long-term planning and sustainable implementation (Kinder 2011).

The U.S. foreign assistance system operationalizes multiple structural features through a complex interplay of institutional arrangements and governance mechanisms, such as the use of direct budget support illustrating aid volatility due to its rarity and difficulty in tracking, and the management of security assistance by the Department of Defense and State illustrating bureaucratic fragmentation due to the involvement of multiple agencies (Mandaville 2017). Aid volatility is operationalized through the availability of aid, which diminishes the incentive for governments to increase the domestic revenue base, highlighting the tension between reliance on aid and the development of sustainable domestic fiscal capacity (Besley et al. 2014). The competition effect, where multinationals acquiring domestic firms may choose to source intermediates abroad, illustrates aid volatility by disrupting existing supplier-customer relationships and increasing competition in the intermediate products market, thereby affecting the stability and predictability of local economic conditions (Javorcik 2004).

Aid volatility is illustrated by the seasonal nature of rural visits by urban-based professionals, which affects the timing and continuity of assistance and research, leading to a dry season bias in rural appraisal, as visits are concentrated in more accessible and prosperous areas near towns due to rising fuel costs and budget cuts (Chambers 2014).

Authority Dispersion in Aid Systems

The dispersion of authority within aid systems, often referred to as bureaucratic fragmentation, significantly undermines development effectiveness by introducing inefficiencies and coordination challenges. This fragmentation is manifested through various institutional arrangements and governance mechanisms that disperse responsibilities, leading to increased transaction costs and reduced coherence in aid delivery (World Bank 1982; Brainard 2007; OECD 2012; Carcelli 2024). For instance, the

Brazilian Tropical Rainforest Fund, while improving donor coordination, also highlights bureaucratic fragmentation due to the involvement of multiple agencies (World Bank 1992). Similarly, the merger of development and humanitarian functions with diplomacy at the U.S. Department of State risks diminishing the impact of international assistance if not managed with clear leadership and separation (Modernizing Foreign Assistance Network 2025).

Efforts to address bureaucratic fragmentation include the implementation of common arrangements and procedures to harmonize aid delivery and reduce transaction costs (OECD 2012). However, these efforts are often thwarted by the complex interplay of multiple actors and the absence of a unified strategic framework, as evidenced in the U.S. foreign assistance system (Brainard 2007). The integration of planning and operations, alongside the alignment of authority with responsibility, is critical to enhancing operational effectiveness and reducing fragmentation (Brainard 2007; OECD 2012).

The Global Conflict Prevention Pool exemplifies attempts to consolidate resources from various departments to enhance strategic approaches, yet it also underscores the challenges of bureaucratic fragmentation by involving multiple ministries (Brainard 2007). In the U.S., the dispersion of foreign aid responsibilities across numerous agencies, such as USAID and the Department of Defense, further complicates coordination and effectiveness (Lancaster 2008_2; Brainard 2007). This fragmentation is exacerbated by donor-driven agendas, where aid is often aligned with donor priorities rather than recipient needs, leading to inefficiencies and a lack of coherence in aid programs (OECD 2012; Brainard 2007).

The humanitarian-development-peace nexus is an institutional arrangement that challenges the status quo of the aid system by promoting coordination between development, humanitarian, and peacebuilding interventions, illustrating the structural feature of bureaucratic fragmentation (Fanning et al. 2019). The New Way of Working (NWoW) set up by the UN and the World Bank is an example of an organizational practice operationalizing this nexus, aiming to improve coherence and coordination in aid delivery (Fanning et al. 2019). However, funding modalities remain siloed into humanitarian and development blocks, which do not correspond to people's lived experiences, illustrating bureaucratic fragmentation (Fanning et al. 2019).

The lack of appropriate, informative, or disaggregated data illustrates the structural feature of bureaucratic fragmentation, as it highlights the dispersion of data collection responsibilities and the need for coherent data management systems. This impacts the ability to measure the achievement of objectives and attribute causality (OECD 2021). The use of triangulation, validation of available data, alternative methods, and construction of a contribution story are organizational practices aimed at addressing the challenge of data availability, which is a manifestation of bureaucratic fragmentation (OECD 2021).

The evaluation of Norwegian efforts to ensure policy coherence for development in

Myanmar illustrates the structural feature of bureaucratic fragmentation, as it highlights the challenges of aligning policy objectives across different Norwegian actors and ministries, which complicates the ability to resolve inconsistencies (OECD 2021). Similarly, the evaluation of Canada's international assistance programming in the Philippines examines the coherence of Canada's role as a donor and its behavior across operational and political contexts, focusing on how interventions fit into those contexts (OECD 2021).

The recommendation to extend the NSC's remit to include international economic issues is an institutional arrangement aimed at addressing bureaucratic fragmentation by enhancing coordination (Hug et al. 2020). A shared security approach would improve coherence and coordination of policies pursued by different arms of government, addressing dysfunctionality such as one branch fighting a war while another addresses the resulting humanitarian crisis, illustrating bureaucratic fragmentation (Hug et al. 2020). The UK aid system, functioning alongside diplomacy, defence, and trade, is an example of bureaucratic fragmentation, as it involves multiple sectors working together to preserve the UK's reputation as a force for good (Hug et al. 2020).

The USAID data development library (DDL) platform is an institutional arrangement that has increased data availability and precision over the past decade, illustrating the structural feature of bureaucratic fragmentation by providing detailed records of foreign aid expenditures (Carcelli 2024). The hierarchical structure of contractor relationships, where smaller agencies report directly to USAID, illustrates an organizational practice that avoids the problems associated with bureaucratic fragmentation by centralizing responsibility (Carcelli 2024). The creation of the Inter-American Foundation (IAF) in the early 1970s, which diverted funding from USAID, exemplifies bureaucratic fragmentation by increasing the number of aid agencies and channels (Carcelli 2024).

Overall, while bureaucratic fragmentation poses significant challenges to aid effectiveness, strategic coordination and consolidation of responsibilities can mitigate its impact, promoting more coherent and efficient aid delivery systems. The coherence criterion encourages an integrated approach to foreign assistance, focusing on synergies, cross-government coordination, and alignment with international norms and standards, illustrating the structural feature of bureaucratic fragmentation (OECD 2021).

Business Registration Complexity

The complexity inherent in business registration processes within developing countries poses a significant impediment to economic growth by creating substantial barriers to entrepreneurship. This complexity is largely attributed to bureaucratic fragmentation, where cumbersome and protracted procedures obstruct the formalization of businesses. Hernando De Soto's analysis of Peru's business registration process in the mid-1980s exemplifies this fragmentation, highlighting a system that required numerous approvals and extended nearly three hundred days (Baumol et al. 2007). Such inefficiencies are mirrored in the World Bank's Doing Business report, which identifies similar obstacles

across various developing nations and advocates for streamlined procedures to facilitate entrepreneurship (Baumol et al. 2007; La Porta et al. 2014).

Efforts to simplify business registration processes, as championed by De Soto, are viewed as structural policies aimed at promoting formality by reducing barriers (La Porta et al. 2014). The World Bank's recommendations to eliminate court involvement, introduce standardized forms, and enable online registration further illustrate organizational practices designed to mitigate bureaucratic fragmentation (Baumol et al. 2007). The European Commission's Green Paper also suggests reducing costs and administrative delays in registering new businesses and adopting streamlined bankruptcy procedures to foster entrepreneurship (Baumol et al. 2007).

Institutional capacity is crucial in addressing these challenges. Field experiments in Brazil and Sri Lanka demonstrate that governance mechanisms, such as enforcement visits, can increase the likelihood of informal firms registering, thereby promoting formalization (La Porta et al. 2014). Additionally, the transition to a formal economy is facilitated by human capital, with educated entrepreneurs driving the creation and expansion of formal firms, thus reducing the informal sector (La Porta et al. 2014). The operationalization of institutional capacity is further illustrated by publicly funded R&D efforts and technical training subsidies, which aim to integrate with private sector activities and address the shortage of adequately trained personnel in new industries (Rodrik 2004).

Moreover, economic development is essential to reduce socioeconomic inequality and mitigate feelings of relative deprivation and injustice, facilitating and encouraging local community participation in their affairs, which underscores the importance of institutional capacity (Tosun 2000). However, the lack of local expertise and reliance on foreign expertise in tourism planning in developing countries remains a significant barrier to participatory development, illustrating challenges in institutional capacity (Tosun 2000).

Chinese outward foreign direct investment (OFDI) practices in politically unstable and institutionally immature host countries demonstrate a reliance on government-level institutional capital, which can lead to short-term gains but also risks public resentment and instability, further illustrating the structural feature of institutional capacity (Child et al. 2014). The literature also discusses the operationalization of institutional capacity through the strengthening of national and local institutions, as seen in projects like the Brazil National Environment Project and the Poland Environmental Management Project, which aim to enhance the ability of institutions to manage and sustain environmental activities (World Bank 1992).

Overall, addressing bureaucratic fragmentation and enhancing institutional capacity through targeted governance mechanisms and policy reforms can significantly reduce the barriers to business registration, thereby fostering entrepreneurship and economic growth in developing countries.

Accountability Mechanisms in Governance

Accountability mechanisms within governance systems are pivotal in enhancing development outcomes by ensuring transparency and effectiveness, thereby fostering trust and compliance in development initiatives. The OECD's Development Assistance Committee (DAC) evaluation criteria, encompassing relevance, effectiveness, efficiency, impact, and sustainability, serve as a normative framework adaptable to various contexts. This framework illustrates institutional capacity by providing comprehensive coverage for accountability and learning (OECD 2021). For instance, the evaluation of the BMZ's 'Action Plan for the Inclusion of Persons with Disabilities' demonstrates how evaluation criteria can be tailored to specific interventions, operationalizing institutional capacity by assessing the effectiveness of inclusive structures (OECD 2021).

Governance mechanisms such as the World Bank's Inspection Panel and Strategic Framework for Mainstreaming Citizen Engagement enhance accountability and transparency (Fanning et al. 2019). The International Aid Transparency Initiative (IATI) operationalizes aid transparency by providing accessible information to stakeholders, advancing sustainable development (Cohen et al. 2018; Parish et al. 2018). Complementing this, the Open Contracting Data Standard improves transparency and accountability in government spending, addressing bureaucratic fragmentation (Cohen et al. 2018). Additionally, the Value Chain Analysis for Development tool (VCA4D) ensures efficient and inclusive value distribution, illustrating governance mechanisms that enhance accountability (Saarinen et al. 2019).

Organizational practices such as increasing aid spending to support active citizenship and independent civil society groups further enhance transparency and accountability (Seery et al. 2019). The Millennium Challenge Corporation's high ranking in the Aid Transparency Index exemplifies institutional arrangements that promote aid transparency through detailed reporting (Parrish et al. 2018_2). Similarly, the Financial Tracking Service (FTS) by OCHA allows public tracking of humanitarian funding, illustrating aid transparency and accountability (Saieh et al. 2017).

Governance mechanisms also include the requirement for multinational companies to report financial details, ensuring accountability (Ceccarelli 2018). The EU's transparency legislation for the extractive and forestry sectors operationalizes conditionality by enforcing transparency to combat corruption (O'Neil et al. 2015). The Busan Partnership Agreement emphasizes mutual accountability and transparency, forming the basis for enhanced accountability in development resources (Oxfam America 2022).

The integration of accountability mechanisms, such as the AAP Framework and community feedback systems in Oxfam's CVA programs, ensures that affected populations are actively involved in program decisions, enhancing local legitimacy and sustainability (Smart et al. 2022). The AVANSE project, by regularly publishing reports in multiple languages, illustrates transparency and accountability, making projects visible and useful for research

(Anglade et al. 2019). The commitment to equitable and inclusive AI governance frameworks, as discussed at the UN Summit for the Future, highlights governance mechanisms that respect international law and support sustainable development (UN Summit for the Future 2024).

The OECD and MDBs/DFIs have developed methodologies to measure the mobilization of private finance, which are governance mechanisms for assessing financial contributions from private sectors (Mitchell et al. 2023). The recommendation for comprehensive national legislation to regulate donor-private partnerships illustrates governance mechanisms aimed at managing risks associated with private sector engagement in development (Ceccarelli 2018). These mechanisms collectively illustrate how accountability in governance systems is operationalized through a combination of institutional arrangements, governance mechanisms, and organizational practices, ultimately fostering transparency, trust, and compliance in development initiatives.

Donor Priorities in Aid Allocation

Donor priorities play a decisive role in shaping aid allocation, often privileging donor interests over the specific needs of recipient countries, thereby affecting the alignment and effectiveness of aid. Institutional arrangements and governance mechanisms frequently reflect donor-driven agendas, aligning aid with donor strategies rather than local contexts, as evidenced by the OECD DAC EvalNet's guidance on budget support, which emphasizes alignment with donor strategies (OECD 2021; Cohen et al. 2018). This alignment is further illustrated by SIDA's projects in Tanzania, which limit recipient ownership through donor-designed initiatives (Cohen et al. 2018). Similarly, the evaluation of Australian electoral assistance highlights shifts in Australia's objectives during implementation, indicating changes in donor priorities (OECD 2021).

Donor-driven agendas are also apparent in the allocation of funds with specific objectives, such as gender equality, which often reflect donor priorities rather than local needs. The Swedish government's use of gender equality markers in aid exemplifies this alignment with Sweden's feminist foreign policy (Cohen et al. 2018). In Lebanon, the lack of robust consultations in aid allocation has led to skepticism and exclusion of local stakeholders, as seen in the Lebanon Crisis Response Plan (LCRP), which channels humanitarian aid directly via donors and UN agencies rather than through a comprehensive national plan (Ayoub et al. 2018).

Organizational practices further illustrate donor-driven agendas, such as the indirect funding mechanisms in Bangladesh that limit local decision-making (Parrish et al. 2018_1). The preference for international NGOs over local entities in Ghana underscores the limited recipient ownership due to donor preferences (Parrish et al. 2018_2). Additionally, the EU's refusal to waive intellectual property rights for vaccines during COVID-19 prioritizes donor interests over global health needs (Kumar et al. 2025). The International Aid Transparency Initiative (IATI) Standard enhances aid accountability, coordination, allocation, and

effectiveness, illustrating donor-driven agendas by improving transparency and traceability of financial flows (Parrish et al. 2018_2).

Financing models also reflect donor-driven agendas, with initiatives like the AIM for Climate and the Vision for Adapted Crops and Soils (VACS) illustrating how donor coalitions shape international efforts (The US Government's Global Hunger and Food Security Initiative 2024). The Bridgetown Initiative's call for reforming international financial institutions to give developing economies a stronger voice highlights the tension between donor control and recipient ownership (Bridgetown Initiative 2026). The Global Food Security Research Strategy operationalizes donor-driven agendas by engaging all relevant agencies funded by the GFSA and major federal research funders to create a strategy process that supports research activities in climate-smart agricultural innovation, nutrition and food systems, and genetic improvement of crops and livestock (The US Government's Global Hunger and Food Security Initiative 2024).

Overall, donor-driven agendas manifest through various mechanisms, including institutional arrangements, governance practices, and financing models, often prioritizing donor interests and limiting recipient ownership and alignment with local needs (Abbass et al. 2022; Adams et al. 2016; Alden 2017; Barbalet 2018; Bate 2007; Booth et al. 2008; Brainard 2007; Bräutigam et al. 2004; Cairns 2015; Carcelli 2024; Ceccarelli 2018; Chirichetti et al. 2025; Clapp 2013; Cohen et al. 2023; Cook et al. 2023; Dasgupta et al. 2002; Dippel 2019; Fernando 2015; Finkel et al. 2007; GINGERICH et al. 2015; Garrett 2009; Gemsol Social 2025; Gilmour et al. 2026; Gupta et al. 2015; Gupta et al. 2016; Haldane et al. 2021; Humphrey et al. 2026_1; Hussain 2023; Ingram 2022; Irvine 2018; Jamison et al. 2013; Karakaya 2023; Khadka 1997; Kinder 2011; Kioko 2023; Krueger 1990; Lancaster 2008_2; Mandaville 2017; Manlutac 2022_1; Marriott 2023; Martins 2009; McKechnie et al. 2012; Meara et al. 2015; Mulder 2023; Nocerino 2025; OECD 2005_2; OECD 2009_1; OECD 2009_2; OECD 2010; OECD 2012; Orr 1989; Oxfam America 2022; Palm et al. 2019; Parish et al. 2018; Prizzon et al. 2026; Rampton et al. 2017; Robillard et al. 2021; Scott 2026; Seery 2020; Selenica 2022; Sewell et al. 2017; Siegel 2017; Smart et al. 2022; Smith 1990_1; Smith 1990_2; Tenwick et al. 2026; UN Summit for the Future 2024; USAID 2025; Ullah et al. 2025; United Nations 2015; Wade 2018; Walcher 2017; Walt et al. 1994; World Bank 1982; World Bank 1989; World Bank 1992). The 2030 Agenda and the Sustainable Development Goals (SDGs) serve as an overarching policy framework influencing how evaluation criteria are understood and applied, reflecting broader policy contexts and affecting interventions and their evaluation processes (OECD 2021). The Busan Partnership for Effective Development Cooperation established an agreed framework for development cooperation between traditional donors, South-South cooperators, the BRICS, CSOs, and private funders, illustrating the structural feature of donor-driven agendas by attempting to balance donor control with broader cooperation (O'Neil et al. 2015).

How does the literature characterize and engage with the governance tensions described in the analytical framework, including whether and how they are managed, negotiated, mitigated, or reconciled? For every example, explicitly identify the governance tension it illustrates within the articulation of the example, explain how the tension is expressed, and describe the institutional arrangements, governance mechanisms, financing models, organizational practices, or policy approaches through which the literature attempts to address it.

Question Overview

The literature on governance tensions in aid and development highlights several key themes, each addressing different aspects of how these tensions are managed, negotiated, mitigated, or reconciled. The securitization of aid illustrates the tension between development and security objectives, with strategies like advocacy and local civil society support attempting to maintain humanitarian principles. The humanitarian-development-peace nexus seeks to integrate immediate humanitarian needs with long-term development and peacebuilding goals, emphasizing cross-sectoral coordination and innovative financing. Aid allocation often reflects strategic interests over development goals, with efforts to untie aid and support local enterprises aiming to enhance development impact. Participatory approaches in development highlight tensions between recipient ownership and donor conditionality, advocating for local agency and empowerment. Strategic planning emphasizes aligning donor conditions with local priorities to ensure effective aid interventions. Donor-driven agendas often overshadow local priorities, necessitating mechanisms to enhance local leadership and align donor activities with national strategies. Bureaucratic fragmentation challenges policy coherence, with improved coordination mechanisms proposed to enhance aid effectiveness. The integration of development, diplomacy, and defense strategies often blurs objectives, requiring whole-of-government approaches to harmonize efforts. Overall, the literature underscores the complexity of governance tensions and the diverse strategies employed to address them.

Securitization of Aid

The securitization of aid emerges as a critical governance tension, wherein development assistance is increasingly intertwined with security objectives, potentially undermining core development goals. This tension is exemplified by the expansion of Official Development Assistance (ODA) to include security expenditures, raising concerns about the prioritization of geopolitical and security interests over developmental aims (Fanning et al. 2019). The literature underscores the risk of counter-terrorism efforts being misused to curtail civic space, with responses including advocacy against securitization narratives and bolstering local civil society organizations to protect civic freedoms (Oxfam America 2022).

The integration of security concerns into development agendas is further illustrated by the phenomenon of 'bunkerization,' where aid workers adopt defensive postures in response to perceived threats. This reflects a shift from traditional protection strategies to neoliberal resilience approaches, highlighting the dual role of aid as both a security and development instrument, compelling recipients to conform to donor expectations and thus managing the tension between development and security priorities (Duffield 2012; Duffield 2001).

Additionally, the strategy of military humanitarianism and negotiated access emphasizes the protection of agency personnel and relief supplies through consent and negotiation rather than direct pacification, attempting to navigate the governance tension by prioritizing operational safety while adhering to humanitarian principles (Duffield 1997).

In regions such as the Sahara, the conflation of development with security discourse results in interventions that favor geopolitical stability over local development needs, illustrating the governance tension between development objectives and geopolitical priorities (Dalby 2017). Furthermore, in the post-9/11 context, the securitization of aid has complicated recipient ownership, as development agencies incorporate security concerns into their agendas, potentially compromising local development needs in favor of security objectives (Norton 2011).

Overall, the literature indicates that while various mechanisms and strategies are employed to address these tensions, the alignment of aid with security objectives continues to challenge the maintenance of clear boundaries and the upholding of humanitarian principles.

Humanitarian-Development-Peace Nexus

The humanitarian-development-peace nexus embodies a comprehensive governance strategy that seeks to harmonize immediate humanitarian interventions with enduring development and peacebuilding objectives. This necessitates cross-sectoral coordination and strategic partnerships to address the ongoing governance tension between development goals and geopolitical and security priorities. Such tensions often arise from the disjointed nature of project-based development and humanitarian efforts (Fanning et al. 2019; Robinson et al. 2024; Narayanaswamy 2024). The nexus approach endeavors to reconcile these priorities by integrating humanitarian, development, and peace initiatives, ensuring that urgent needs are met while investing in systemic solutions to conflict and vulnerability (Fanning et al. 2019; Oxfam 2023).

A significant challenge within this framework is the need to balance timely humanitarian aid with the pursuit of long-term development objectives without compromising either (Fanning et al. 2019). This is managed through innovative financing mechanisms and collaborative practices that emphasize prevention and investment in development, as advocated by the DAC (Fanning et al. 2019). The New Way of Working (NWoW) further addresses this tension by promoting collective outcomes that align humanitarian,

development, and peace efforts towards shared goals (Fanning et al. 2019).

The literature also highlights the tension between donor-driven agendas and recipient ownership, which the nexus approach seeks to reconcile by fostering local leadership and governance while aligning with donor priorities through collective outcomes (Fanning et al. 2019). In fragile states, the lack of coordination between humanitarian and development actors is managed by establishing distinct coordination groups and mechanisms at the country level (OECD 2012).

Furthermore, the triple nexus approach, particularly in regions like West Africa, demonstrates the necessity for integrated efforts to address both immediate crises and long-term social change, requiring coordination and adaptation across various sectors and actors (Oxfam 2023). This approach underscores the importance of recognizing and reinforcing positive linkages between development initiatives and peacebuilding, as exemplified by the development of Peace and Conflict Impact Assessments (PCIA) (Bush et al. 2000). Overall, the nexus approach aims to ensure that aid not only addresses immediate needs but also supports sustainable development and poverty reduction, without being subordinated to geopolitical interests (Oxfam America 2022).

The integration of humanitarian and long-term development assistance also tackles the tension between short-term measurable performance and long-term institution building, emphasizing the need for strategies that balance immediate results with sustainable capacity development (Burnley et al. 2014). Additionally, the challenge of siloed sectors and financing models in anticipatory action highlights the governance tension between development objectives and geopolitical and security priorities. Overcoming these silos through collaborative approaches that integrate humanitarian, development, and climate sectors can help manage this tension by aligning efforts and optimizing resources (Robinson et al. 2024).

Aid Allocation and Strategic Interests

The theme of 'Aid Allocation and Strategic Interests' critically explores the intersection of aid distribution with geopolitical and strategic priorities, often at the expense of development goals and poverty reduction efforts (Abreu 1985; Alesina et al. 2000; Berger 2013). This governance tension is vividly illustrated by the practice of tying aid to donor countries' commercial interests, which prioritizes economic gains over genuine developmental impact, thereby stifling local economic growth (Saarinen et al. 2019). Similarly, the channeling of aid to bolster private sector investment reflects a neoliberal policy orientation that diverts resources away from directly addressing poverty and inequality (Seery et al. 2019).

The tension between development objectives and geopolitical priorities is further exemplified by Japan's aid policies. Economic stagnation has led to reductions in Official Development Assistance (ODA) to Africa, highlighting the conflict between the need for aid

predictability and the political responsiveness of donors (Alden 2017; Ahmad et al. 2016_2; Bertocchi et al. 2020; Child et al. 2014). This unpredictability is also evident in the inconsistent funding for countries like Jordan and Lebanon, where aid volatility undermines national planning and accountability (Saieh et al. 2017; Ahmad et al. 2016_1; Ahmad 2015_2; Baldoumas et al. 2025; Booth et al. 2008). The lack of consistent humanitarian and development donor presence in the Central African Republic (CAR) further underscores this tension, resulting in underfunding and a disconnect between emergency and long-term support (Oxfam 2016).

Historically, the strategic use of disaster aid by the United States during the Cold War period underscores the prioritization of geopolitical interests over humanitarian objectives, as aid was often deployed to counteract communist influence rather than purely for development purposes (Irwin 2024_1; Ayele 2014; Bräutigam et al. 2004; GINGERICH et al. 2015). This pattern persists in contemporary aid policies, where donor motivations frequently align with strategic interests, leading to suboptimal aid allocations that do not prioritize development needs (Gulrajani 2022). The US's disaster assistance to Latin America, driven by diplomatic motives and strategic calculations, further exemplifies this tension (IRWIN 2024_2).

Efforts to manage these tensions include advocating for the untying of aid and supporting local enterprises to enhance development impact (Saarinen et al. 2019), as well as promoting strategic alliances that align aid with both development and geopolitical goals (O'Neil et al. 2015; Attridge et al. 2026; Bokpin et al. 2025; Cichocka et al. 2025). The Financial Transaction Tax (FTT) initiative, for instance, addresses the governance tension by advocating for the allocation of tax revenue to development and climate finance (O'Neil et al. 2015). However, the persistent influence of strategic interests continues to challenge the alignment of aid with poverty reduction objectives, necessitating ongoing dialogue and reform to ensure aid effectiveness and accountability. The governance tension between aid predictability and donor political responsiveness is also addressed through mechanisms like Multilateral Development Bank (MDB) risk transfers and sovereign guarantees, which require clear criteria to avoid complications in defaults (Humphrey et al. 2026_2).

Participatory Approaches in Development

The literature on participatory approaches in development critically examines the potential for these methods to align with national development strategies, thereby enhancing recipient ownership. However, significant governance tensions persist, particularly between recipient ownership and donor conditionality. Participatory approaches are posited as a means to mitigate power imbalances and bolster local agency (Eyben 2008; Kioko 2023; OECD 2005_1; Sharma 2026; Sullivan 1996; Tarnoff 2018). Despite this, donor-driven agendas frequently overshadow local priorities, as evidenced by the transition from empowerment strategies to micro-finance programs that cater to donor preferences for measurable outcomes (Batliwala 2007). This tension is further exacerbated by the resilience paradigm, which risks fostering a politics of abandonment by shifting

responsibility to local actors (Hilhorst 2018), and by the burdensome reporting requirements imposed by donors on recipient governments (Garrett 2009).

The tension between recipient ownership and neoliberal policy frameworks is manifested in the shift of empowerment from societal change to individual achievement, aligning with neoliberal ideologies (Batliwala 2007). Additionally, the literature highlights the tension between recipient ownership and donor conditionality in the realm of human rights, where aid strategies often prioritize democratic transitions over strict adherence to human rights (Meernik et al. 1998; Finkel et al. 2007). This is further illustrated by the contrasting funding models in the Balkans, which prioritize geopolitical stability over societal empowerment (Irvine 2018).

Another critical tension exists between localization and fiduciary accountability (World Bank 1992). Locally led development models challenge traditional aid paradigms by emphasizing local agency and accountability, yet they necessitate donors relinquishing control, a politically and bureaucratically challenging shift (Ullah et al. 2025). This tension is evident in USAID's move away from 'budget support' due to corruption concerns, leading to a reliance on US contractors and hindering local capacity building (Bate 2007). The literature suggests that borrowing from international capital markets could address this tension by requiring governments to be accountable to investors, thereby increasing transparency and reducing corruption (Whiteside 2010).

The governance tension between redistribution and recognition is also prominent, with participatory approaches seen as a means to integrate economic and cultural justice, addressing both maldistribution and misrecognition (Fraser 2008). Institutional arrangements and policy reforms are proposed to address these tensions by integrating redistributive and recognition-based approaches, aiming to remedy both maldistribution and misrecognition while minimizing mutual interferences (Fraser 2008).

Moreover, the complexity of participatory approaches in rights-based development is highlighted, where the emphasis on international human rights standards can clash with local legal systems and cultural contexts, potentially undermining local ownership (Cornwall et al. 2004). This tension is exacerbated by geopolitical influences, where donor priorities may not align with local needs, leading to perceptions of neo-colonialism (Cornwall et al. 2004). The shift from needs-based to rights-based frameworks can re-politicize development work but also risks being co-opted by donor-driven agendas (Cornwall et al. 2004).

Gender bias in participatory practices illustrates the tension between recipient ownership and equitable participation, suggesting that expanding the scope of actors beyond executive levels to more local levels can address this tension (Ahmad et al. 2016_1). Overall, while participatory approaches offer a pathway to enhance recipient ownership and align with national strategies, achieving coherence and aligning diverse priorities remains a challenge.

Institutional arrangements and policy reforms are necessary to address these governance tensions, emphasizing the need for participatory parity and the transfer of decision-making power to local actors (Kioko 2023; Fraser 2008).

Strategic Planning and Local Context Alignment

The governance tension between recipient ownership and donor conditionality is a prominent theme in the literature, particularly concerning strategic planning and alignment with local contexts. This tension arises from the need to balance donor-imposed conditions with the priorities and capacities of recipient countries. Effective strategic planning and alignment with local contexts are essential for managing these tensions, as they help reconcile diverse priorities and ensure that aid interventions are both effective and sustainable (OECD 2021; Fanning et al. 2019).

A significant aspect of this tension is the challenge of aligning donor requirements with local needs and priorities. For example, the withdrawal of general budget support in countries like Malawi and Uganda has led to a shift towards project-type funding, resulting in aid fragmentation and negatively impacting national ownership and governance (OECD 2021). Additionally, the need for policy coherence in evaluations highlights the difficulty of accessing extensive policy documents and data, complicating efforts to align interventions with local contexts and norms (OECD 2021). The construction of recipient government entities, such as Ministries of Finance, in the image of donors often mutes alternative voices and focuses on maintaining the aid relationship rather than internalizing the logic or values of imposed procedures (Eyben 2010).

Institutional arrangements and governance mechanisms are crucial in addressing these tensions. The nexus approach, as discussed in earlier sections, emphasizes local leadership and governance, promoting recipient ownership while aligning with donor priorities through collective outcomes (Fanning et al. 2019). Furthermore, the use of qualitative assessments and transparency about data limitations are suggested as ways to manage the challenges of evaluating coherence and ensuring that marginalized groups' needs are captured in formal documents and policies (OECD 2021). The Millennium Challenge Corporation (MCC) incentivizes good governance by applying strict standards for countries to qualify for its funding compacts, illustrating the governance tension between recipient ownership and donor conditionality (Modernizing Foreign Assistance Network 2024).

Despite these efforts, challenges remain in achieving coherence and aligning diverse priorities. The literature suggests that ownership and participation are critical mechanisms for managing the tension between recipient ownership and donor conditionality, as they help ensure that interventions are responsive to local needs and priorities while maintaining accountability and transparency (OECD 2021; Fanning et al. 2019). The lack of space for community-based organizations and international NGOs to input into the response at a strategic level illustrates the governance tension between recipient ownership and donor conditionality, as the existing strategy did not prioritize community

ownership (Fanning et al. 2019). This tension is also evident in the need to balance good relationships with governments and the obligation to address vulnerable people's rights in the face of inequality, discrimination, and human rights abuses. This is managed through honest assessments by multi-mandated organizations of their focus on joined-up transformational approaches versus their appetite for responding quickly at scale and taking risks (Fanning et al. 2019).

The literature also highlights the importance of engaging with donors and working closely with partners to build shared ownership of theories of change, addressing the governance tension between recipient ownership and donor conditionality (Fanning et al. 2019). The need to be explicit about decision-making and trade-offs, and ensure that donors and partners are part of this conversation, further illustrates this tension (Fanning et al. 2019). France's delay in integrating gender into its aid spending and the United States' inconsistent implementation of the Women's Entrepreneurship and Economic Empowerment Act are examples of how strong rhetorical commitments are not always matched by resource allocations, illustrating the governance tension between donor conditionality and recipient ownership (Sarosi et al. 2019).

The governance tension between recipient ownership and donor conditionality is expressed through the struggle to represent complexity in international aid agency country strategy papers, which are influenced by the Paris Declaration's emphasis on shared diagnosis, leading to simplistic statements (Eyben 2010). The tension between practitioners who engage in relational behavior and those who adhere strictly to official discourse is illustrated by the example of an NGO project audit revealing misuse of funds, leading to a withdrawal of funding despite the NGO's effective work (Eyben 2010). Donor-driven priorities have led to the NGOization of grassroots activism, increasing professionalization in feminist movements at the expense of autonomy and community-driven agendas (Dhanani et al. 2026).

The literature characterizes the governance tension between recipient ownership and donor conditionality as deeply rooted in the need to transform international development practices by addressing systemic inequalities and biases, which is managed through intersectional feminist analysis and critical reflection to challenge existing power structures and promote equity (Clements et al. 2020). The #AidToo movement exemplifies this tension, highlighting the need for institutional reforms and governance mechanisms that address patriarchal power and ensure the safety and integrity of all individuals involved in development work (Clements et al. 2020). The resilience paradigm's focus on enabling self-reliance of crisis-affected populations risks a politics of abandonment by shifting responsibility to local actors and potentially depriving them of basic protection (Hilhorst 2018).

The governance tension is further complicated by the imposition of narrowly technical frames by donors, which restricts the strategic repertoire available to movements and

sidelines qualitative, transformative aspects of work (Dhanani et al. 2026). The literature suggests that shifting towards borrowing from international capital markets could address the governance tension by requiring governments to be accountable to investors, thereby increasing transparency and reducing corruption (Whiteside 2010). The rights-based approach to development reveals a governance tension, as it involves a complex interplay of power dynamics and accountability, where donors often retain control over development agendas while promoting rights and participation, leading to potential neo-colonial implications (Cornwall et al. 2004).

In conclusion, while strategic planning and alignment with local contexts are crucial for managing the governance tension between recipient ownership and donor conditionality, the literature underscores the persistent challenges in achieving coherence and aligning diverse priorities. The need for policy coherence, local leadership, and shared ownership of development strategies are emphasized as key mechanisms for addressing these tensions. The governance tension is further expressed through the expectation that disaster-stricken countries assume responsibility for their own recovery, with US aid typically extended only in extreme cases, reflecting a preference for short-term relief over long-term institution building (Irwin 2024_2).

Donor-Driven Agendas and Local Priorities

The interplay between donor-driven agendas and local priorities presents a formidable challenge in the realm of international aid, often resulting in a disconnect between program development and local needs. This misalignment is frequently observed when donor-defined programs overshadow local priorities, leading to inefficiencies and a lack of local input in both program development and evaluation (OECD 2021; Fanning et al. 2019; Sarosi et al. 2019). For instance, USAID's bureaucratic constraints and congressional earmarks restrict its ability to respond effectively to local priorities, underscoring the necessity for streamlined processes that enhance leadership and responsiveness (Modernizing Foreign Assistance Network 2024). Similarly, the World Bank's emphasis on macroeconomic policies often clashes with grassroots approaches, limiting engagement with civil society (Fanning et al. 2019). The strategic reallocation of Official Development Assistance (ODA) towards geopolitical priorities further constrains recipient countries' capacity to establish their own development agendas (Sabow et al. 2025).

Efforts to mitigate these tensions include promoting local leadership and developing national systems to deliver essential services, as demonstrated in humanitarian interventions (Fanning et al. 2019). The feminist approach to aid, which advocates for the involvement of women from affected communities, seeks to increase agency and address structural discrimination (Sarosi et al. 2019). However, funding mechanisms that favor donor-defined programs over community-led initiatives create competition for resources, marginalizing smaller organizations (Sarosi et al. 2019). The Accra Agenda for Action's commitment to strengthening country ownership by supporting demand-driven efforts to enhance the capacity of all development actors, including parliaments, civil society

organizations, and the private sector, expands the scope of ownership beyond central governments (OECD 2012).

Blended finance operations further exemplify this tension, where donor priorities risk market distortions and tied aid, contrary to aid effectiveness principles (Saarinen et al. 2019). The AVANSE project in Haiti highlights the exclusion of local stakeholders from decision-making, emphasizing the need for greater local involvement to ensure alignment with community needs (Anglade et al. 2019). Similarly, in Lebanon, the absence of a unified national development plan allows donors to dictate priorities, undermining country ownership (Ayoub et al. 2018). The influence of donor priorities on national development strategies often limits recipient countries' capacity to set their own agendas (Oxfam America 2022).

Addressing these tensions requires aligning donor activities with national strategies and enhancing local stakeholder involvement in decision-making processes. Institutional arrangements, such as public-private partnerships and community engagement frameworks, are proposed to reconcile donor priorities with local needs, ensuring aid effectiveness and sustainability (OECD 2021; Fanning et al. 2019; Sarosi et al. 2019). Additionally, interventions aimed at eliminating diseases like polio face governance tensions between global priorities and local needs, such as prioritizing water and sanitation over vaccinations, which evaluators can uncover through careful analysis (OECD 2021). The assumption that using ODA to incentivize private sector partnerships will create value addition, despite limited evidence, suggests that such partnerships should only be pursued when they demonstrably serve the public good (Saarinen et al. 2019). The involvement of the private sector in delivering social public services often fails to address the needs of the poorest, indicating a need for safeguards to ensure public resources serve the public interest and contribute to poverty reduction (Oxfam America 2022).

The governance tension between recipient ownership and donor-driven agendas is also managed through sector leadership, proposed as a mechanism to coordinate efforts and engage with authorities, thereby enhancing access to new areas and types of programs and aligning with ministry priorities (Gorevan et al. 2020). The literature highlights a governance tension between donor-driven agendas and recipient ownership, as donors' self-reported gender equality funding often lacks the necessary components to qualify as high-quality projects, indicating a disconnect between donor intentions and actual project implementation (Grabowski et al. 2020). This tension is further expressed through the limited use of partner countries' monitoring and evaluation systems by donors, who often establish parallel systems due to perceived unreliability of local systems, highlighting a misalignment between donor practices and recipient needs (OECD 2012). The governance tension between recipient ownership and donor-driven agendas is addressed by integrating local priorities into donor-driven initiatives, as seen in the redesign of the COVID-19 response plan by KABALIKAT and UPA to fit their own People's Plan, ensuring local ownership and relevance (Vera et al. 2021).

Bureaucratic Fragmentation vs. Coherence

The governance literature identifies a significant challenge in the tension between bureaucratic fragmentation and the necessity for coherent policy implementation. Fragmented bureaucratic structures often result in inefficiencies and duplicated efforts, which impede effective aid delivery and policy coherence (OECD 2021; Fanning et al. 2019; Anglade et al. 2019). This issue is exemplified by the lack of collaboration among different Oxfam affiliates during the tsunami response, which adversely affected programming quality (Ayele 2014). Such fragmentation is prevalent in multi-mandated organizations and between humanitarian and development initiatives, where the absence of established institutional mechanisms exacerbates coordination difficulties (Fanning et al. 2019; Anglade et al. 2019). To address these challenges, efforts have been made to support capacity-sharing, cross-learning, and upskilling among staff to enhance delivery effectiveness (Fanning et al. 2019).

Strategic coherence and improved coordination mechanisms are crucial for overcoming these challenges. For instance, Slovenia's development cooperation with Montenegro recommended enhanced donor coordination systems to prevent duplication and improve complementarity (OECD 2021). Similarly, the need for MARNDR's departmental representatives to ensure AVANSE's harmonization with other donors' projects underscores the necessity of coordination among multiple projects and donors (Anglade et al. 2019).

The governance tension is further complicated by the need to balance short-term measurable performance with long-term institution building, as noted in earlier sections (Ahmad 2015_2; Ahmad et al. 2016_2; Azfar et al. 1999; Banks et al. 2015; Barnett et al. 1999; Baudot 2015; Bekker et al. 2018; Bertocchi et al. 2020; Bhattacharya et al. 2025; Bokpin et al. 2025; Booth et al. 2008; Bräutigam et al. 2004; Burnley et al. 2014; Calleja et al. 2026; Canali De Castro et al. 2026; Carcelli 2024; Cohen et al. 2023; Cotula 2009; Deaton et al. 2016; Dell et al. 2014; Dhanani et al. 2026; Dunning et al. 2017; Easterly 2007_1; Easterly 2007_2; Easterly et al. 2008; Engel et al. 2008; Eyben 2008; Ferguson 1994; Foster et al. 2026; Garrett 2009; Gemsol Social 2025; Gibson et al. 2005; Grasset 2014; Haldane et al. 2021; Hindery et al. 2008; Horlings et al. 2018; International Rescue Committee 2026_2; Irwin 2024_2; Jamison et al. 2013; Kioko 2023; Lancaster 2008_2; Lancaster et al. 2005; Lundsgaarde 2014; Manlutac 2021; Manlutac 2022_1; Manlutac 2022_2; Meara et al. 2015; MODERNIZING FOREIGN ASSISTANCE NETWORK 2025; Natsios 2011; Nocerino 2025; Norton 2011; O'Neil et al. 2015; OECD 2005_1; OECD 2005_2; OECD 2005_3; OECD 2009_1; OECD 2009_2; OECD 2012; OECD 2023_1; Ottersen et al. 2014; Oxfam 2019_1; Oxfam 2023; Oxfam America 2022; Prizzon et al. 2026; Riddell 2008; Risk 2004; Robillard et al. 2020; Rogge et al. 2016; Rose 2019; Rust 2019; Saad et al. 2022; Sabel et al. 2008; Safe Programming & Accountability 2026; Said-Foqahaa et al. 2020; Selenica 2022; Sharma 2021; Sharma 2026; Siegel 2017; Siyal et al. 2025; Smart et al. 2022; Tarnoff 2018; The US Government's Global Hunger and Food Security Initiative 2024; Tonny 2021; Trebilcock 2005; US Global Leadership Coalition 2025; USGLC 2021; Ullah et al. 2025; United Nations

2015; Van Tulder et al. 2018; Walcher 2017; Wallace 2020; World Bank 1982; World Bank 1986; World Bank 1989; World Bank 1992; Xu 2011). Projects like AVANSE and RING highlight how insufficient capacity strengthening and knowledge transfers can hinder sustainability (Anglade et al. 2019; Ahmad et al. 2016_1). Longer programme cycles and outcome-based planning are suggested to align short-term objectives with long-term goals (Fanning et al. 2019).

Moreover, the tension between aid predictability and donor political responsiveness is highlighted by the volatility in aid flows and the challenges in ensuring long-term assistance. As noted in earlier sections, mechanisms like guarantees to de-risk investments and engage private investors are used to manage this tension, though they require careful management to avoid unpredictable costs (Saarinen et al. 2019; Seery et al. 2019; Hemsley et al. 2019). The literature highlights a governance tension between the need for climate and nature resilience investments and the current macrofiscal frameworks that fail to recognize these investments as productive, leading to underinvestment and increased vulnerability to climate and nature risks (Bridgetown Initiative 2025_1; Bridgetown Initiative 2025_2; Bridgetown Initiative n.d._1).

The literature also addresses the governance tension between institutional capacity and short-term measurable performance, as seen in the need for sustainable funding for programmes like DRR, justice and security sector reform, and reconciliation programmes (Oxfam 2016). The Syrian refugee crisis, which caused a treatment facility to reach capacity early, further illustrates this tension, as additional donor assistance was required to maintain operations (Ahmad et al. 2016_1). The assumption that national/local actors have less capacity than international ones risks becoming an expression of prejudice, illustrating the governance tension between institutional capacity and localization (Brabant et al. 2021).

Overall, the literature underscores the importance of strategic coherence and improved coordination mechanisms to manage the tension between bureaucratic fragmentation and the need for coherent policy implementation, emphasizing the role of institutional arrangements and governance mechanisms in enhancing aid effectiveness and policy coherence. The demotion of the ministerial office out of the cabinet in 1967 reduced its leverage within the government, illustrating the governance tension between institutional capacity and bureaucratic fragmentation, as the reduced leverage affected the ministry's ability to influence policy (Brainard 2007). The integration of Expertise France into the AFD Group, for example, illustrates ongoing frictions related to unclear or overlapping roles, highlighting the need for organizational coherence (Cichocka et al. 2025).

Conflict

The literature on governance tensions intricately maps the conflicts between development objectives and geopolitical priorities. A notable tension emerges when aid is leveraged as a strategic tool rather than solely for developmental purposes, as evidenced by the strategic

aid allocations of the U.S. and EU (OECD 2021; Fanning et al. 2019). Institutional arrangements, such as the Economic Support Fund, attempt to mediate these competing priorities by integrating development aid with strategic interests (Brainard 2007). However, the domestic political interests of donor countries often intensify this tension, leading to aid allocations that favor strategic interests over the developmental needs of recipient countries (Adams et al. 2016; Oxfam America 2022).

Another significant tension exists between development objectives and security priorities, where aid increasingly aligns with security agendas, often at the expense of development goals. This is exemplified by the securitization of aid, where development assistance addresses security concerns like migration control or counter-terrorism, rather than focusing on poverty reduction (Seery et al. 2019; Kumar et al. 2025). The humanitarian-development-peace nexus seeks to manage this tension by balancing immediate humanitarian needs with long-term development goals (Fanning et al. 2019).

The transactional nature of aid further complicates the governance tension between development objectives and geopolitical and security priorities. Aid is often designed to serve national interests, closely tied to global geopolitics, diplomacy, trade, and security (Kumar et al. 2025). This shift towards transactional narratives in European ODA reflects a strategy to maintain ODA spending, though it raises skepticism about its practical impact (Kumar et al. 2025). The intervention in Kosovo highlights this tension, where the US-led NATO operation prioritized strategic interests over multilateral consensus, underscoring the role of military dominance in governance mechanisms (Onea 2013_2).

In regions like Afghanistan and Myanmar, the presence of armed actors and policy inconsistencies further illustrate these tensions, complicating efforts to secure long-term development gains (Fanning et al. 2019; OECD 2021). The literature advocates for transparent discussions and prioritization of policy coherence to address these dilemmas (OECD 2021). Similarly, during the Cold War, the US's strategic foreign aid policies prioritized geopolitical interests over development goals, as seen in efforts to contain communism through rural development in India (Clapp 2013).

The allocation of humanitarian funding also reflects governance tensions, where geopolitical considerations often overshadow humanitarian needs, leading to underfunding in crises like those in DRC and CAR (Fanning et al. 2019). Initiatives such as the Sahel Alliance and the NWoW attempt to operationalize the link between security and development, promoting collective outcomes that integrate humanitarian, development, and peace efforts (Fanning et al. 2019).

The global governance system's dysfunctions are evident in the protection of health and human rights for irregular cross-border migrants, highlighting weak mechanisms to hold states accountable under international conventions (Ottersen et al. 2014). The separation of global governance systems for political and economic engagement further illustrates the

tension between development objectives and geopolitical and security priorities, converging only during high emergencies (Ottersen et al. 2014).

The tension between development objectives and commercial interests is exemplified in partnerships like TNT and WFP, where misalignment with business models rendered the partnership financially unsustainable, underscoring the need for alignment to ensure sustainability (Van Tulder et al. 2018). Similarly, projects focusing on infrastructure may have significant effects but fail to meet agricultural development goals, illustrating the tension between development objectives and geopolitical priorities (Ferguson 1994).

US-EU transatlantic relations also reflect governance tensions, with different US administrations managing these tensions through varying policy approaches, impacting the coherence and stability of these relations (Karakaya 2023). NATO's transformation from a collective defense organization to a global defense organization further reflects this tension, as it balances US strategic interests with European security needs (Karakaya 2023).

Overall, the literature underscores the persistent and complex nature of governance tensions between development objectives and geopolitical priorities. These tensions are managed through institutional arrangements, policy approaches, and advocacy efforts that strive to balance competing priorities and align aid with both strategic interests and development goals. However, aligning these objectives remains a significant challenge, necessitating ongoing negotiation and adaptation to evolving geopolitical landscapes.

Local Autonomy vs. Financial Oversight

The literature on governance tensions between local autonomy and financial oversight delves into the intricate balance between empowering local governance structures and ensuring accountability. This tension is particularly evident in donor funding contexts, where stringent requirements often restrict direct funding to local NGOs, thereby limiting their autonomy (Fanning et al. 2019; Cohen et al. 2018). Efforts to localize aid, intended to empower local actors, frequently result in these actors being relegated to subcontractor roles, with international entities retaining primary control (Cohen et al. 2016; Gingerich et al. 2015). This dynamic is further complicated by the exclusion of local civil society from strategic processes, as observed in Chad, highlighting a lack of local engagement and oversight (Fanning et al. 2019).

To address this tension, the literature advocates for long-term, predictable, and flexible funding models that grant local actors greater agency and sustainability (Sarosi et al. 2019; Parrish et al. 2018_1). However, the complexity of donor requirements and the necessity for financial oversight often impede these efforts, as evidenced by the limited direct funding to local actors and the preference for channeling aid through international organizations (Ahmad et al. 2016_1; Cohen et al. 2016). Engaging with national and local structures is suggested as a means to enhance mutual accountability and address these governance tensions (Fanning et al. 2019).

Involving local stakeholders in planning and accountability mechanisms is crucial for managing this tension. For instance, engaging local authorities and community committees in decision-making processes can enhance local ownership while maintaining oversight (Hemsley et al. 2019; Ahmad et al. 2016_2). Tools like the Public Financial Management Rapid Assessment Framework (PFMRAF) are employed to assess and mitigate fiduciary risks when collaborating with local partners (Ahmad 2015_1).

Despite these efforts, the governance tension persists, as local actors often encounter barriers in accessing funding due to complex reporting requirements and a lack of trust from donors (OECD 2012; Robillard et al. 2020). The literature suggests that addressing this tension requires a shift towards more equitable partnerships and the recognition of local actors' contextual knowledge to improve program design and sustainability (Robillard et al. 2021; Abdulrazak 2025). Recommendations to directly resource and elevate local civil society actors to promote accountable, inclusive governance further illustrate this tension, emphasizing the importance of local actors in governance while ensuring effective resource use (Modernizing Foreign Assistance Network 2024).

The governance tension between localization and fiduciary accountability is also expressed through USAID's compliance regime, which undermines local NGO autonomy by imposing strict reporting requirements that prevent local actors from exercising judgment and adapting programs to local needs (Ingram 2022). Additionally, the need for intensive dialogue with Congress on fund usage in fragile regions illustrates the tension between localization and financial oversight, as it requires satisfying Congressional requirements for full reporting to obtain relief from rigid budgeting constraints (Ingram 2022). The literature also highlights the need for sustainable local finance as a core element of localization, suggesting that lessons from previous administrations could be applied to address this tension (Ingram 2022).

Ultimately, achieving a balance between localization and fiduciary accountability necessitates a re-evaluation of donor practices and a commitment to empowering local actors while ensuring financial oversight. This includes adopting appropriate monitoring and evaluation measures involving local authorities, parliaments, civil society, and target communities (Saarinen et al. 2019). The literature also highlights the need for donors to harmonize their activities around locally-led coherent collective outcomes and coordinate with other donors and stakeholders (Oxfam America 2022).

Inclusion of Local Actors in Decision-Making

The literature critically examines the pivotal role of local actors in decision-making processes, particularly in scenarios where international control over resources presents significant challenges. This theme is marked by the governance tension between localization and fiduciary accountability, emphasizing the necessity of involving local stakeholders for effective planning and accountability (Hemsley et al. 2019; Saieh et al.

2017; Banks et al. 2015; Chirichetti et al. 2025; Saad et al. 2022). However, the dominance of international NGOs in decision-making often limits local influence, perpetuating power imbalances (Manlutac 2022_1; Robillard et al. 2020). The tension between localization and international coordination is also evident, as local responders frequently lack representation in decision-making structures dominated by international actors. This is managed by advocating for local coordination mechanisms and ensuring local actors are integrated into the power structure (Manlutac 2022_2; Vera et al. 2021).

Efforts to mitigate these tensions include advocating for bottom-up program design and increased local community involvement to enhance accountability and transparency (Hemsley et al. 2019; Smart et al. 2022). The literature underscores the need for equitable partnerships and local leadership in humanitarian responses, suggesting that local actors should have more decision-making power and access to resources (Abdulrazak 2025; Manlutac 2022_1). Moreover, the exclusion of marginalized groups from decision-making spaces exacerbates hierarchies and dependency cycles, undermining sustainable peace and development efforts (Baldoumas et al. 2025). The inclusion of women's organizations in decision-making roles, as demonstrated in the LL-ERF pilot, addresses traditional gender roles and elevates gender and protection issues (Manlutac et al. 2024). The governance tension between gender equality advocates and those opposing or subordinating gender equality to other goals is expressed through the interplay of state and non-state actors, resulting in both the silencing and narrowing of gender equality concepts and institutional consolidation and expansion (Zwingel 2019).

The governance tension between recipient ownership and donor conditionality is expressed through various mechanisms, such as the need for local actors to establish positive relations with new authorities in politically sensitive contexts (Manlutac 2021) and the imposition of user fees, which act as financial barriers to accessing services (Meara et al. 2015; Aloudat et al. 2022; Bardhan 2002; Bate 2007; Batliwala 2007; Cooper 2020; Dhanani et al. 2026; Duffield 1997; Duffield 2001; Duffield 2012; Duggan et al. 2025; Endam Mbah et al. 2025; Garrett 2009; Greener 2024; Gupta et al. 2016; Hilhorst 2018; Hindery et al. 2008; Irvine 2018; Kabeer 2015; Khan 2003; Maeresera et al. 2020; Mulder 2023; Nocerino 2025; O'Donnell 2020; Patchett 2022; Robinson et al. 2024; Said-Foqahaa et al. 2020; Seery 2020; Seghers 2020; Selenica 2022; Stern et al. 2026; Sullivan 1996; UN Women 2025; Whiteside 2010; Women's Refugee Commission 2026). This tension is managed by integrating feminist principles into aid programs to ensure alignment with recipient priorities (Sharma 2021) and by promoting inclusive and participatory governance mechanisms (OECD 2009_1).

The governance tension between institutional capacity and short-term measurable performance is highlighted by the prioritization of short-term results to prove value for money, which inhibits innovation and long-term effectiveness (Ahmad 2015_1). The internal struggle with existing business processes and the need for technology to fit these processes illustrates the governance tension between institutional capacity and long-term

institution building versus short-term measurable performance and value for money (Rust 2019). This tension is expressed through the focus on project-based capacity strengthening, which becomes more about meeting compliance requirements than long-term institution building (Degnan et al. 2019). The Grand Bargain's fragmented reforms illustrate this tension, as improvements exist but do not add up to system-wide change (Scott 2026).

The governance tension between aid predictability and donor political responsiveness is illustrated by the US decision to significantly cut foreign aid as part of the 'America First' policy, leading to the disruption of critical programs in Ghana and other countries (Bokpin et al. 2025). This tension is managed by promoting stable and predictable governance frameworks to support sustainable growth and maintain investor confidence (Bokpin et al. 2025).

Overall, the literature underscores the necessity of inclusive decision-making processes that empower local actors, while highlighting the barriers posed by international resource control. Addressing these tensions requires a balance between empowering local actors and maintaining accountability through inclusive and participatory governance mechanisms. The uneven impact of regional organizations in capacity-strengthening and advancing local leadership potential is due to constraining mandates, small budgets, and regional tensions, illustrating the governance tension between institutional capacity and short-term measurable performance (Gingerich et al. 2015).

Transparency and Accountability in Aid Flows

The literature on governance tensions in aid flows underscores the critical interplay between transparency and accountability, particularly when financial intermediaries are involved. This tension is highlighted by the inconsistent transparency of donor programs and blending partnerships, where existing policy frameworks often fail to ensure adequate transparency (Saarinen et al. 2019). Discrepancies in reported figures, such as those observed in Italian multilateral cooperation, emphasize the need for improved transparency to ensure the effective use of public funds (Ceccarelli 2018). The French government's commitment to the International Aid Transparency Initiative (IATI) exemplifies the tension between aid effectiveness principles and political momentum on aid quantity, with advocacy groups like Oxfam collaborating with civil society partners to manage this tension (O'Neil et al. 2015).

The governance tension between recipient ownership and donor conditionality is also prominent, with transparency promoted as a mechanism to address corruption concerns linked to increased country ownership (O'Neil et al. 2015). This is managed by involving a broader range of stakeholders beyond governments and official donors, including citizens, parliaments, and civil society organizations, to ensure mutual accountability (OECD 2009_1). Oxfam's efforts to build bipartisan support for the Foreign Aid Transparency and Accountability Act further illustrate this tension, as transparency is used to mitigate corruption concerns associated with increased country ownership (O'Neil et al. 2015).

Similarly, donors and partner countries work together to establish mutually agreed frameworks that provide reliable assessments of performance, transparency, and accountability of country systems, addressing the governance tension between localization and fiduciary accountability and financial oversight (OECD 2005_1).

Aid predictability versus donor political responsiveness is another significant tension, as seen in the opacity of Development Finance Institution (DFI) investments, which raises questions about their complicity in tax avoidance schemes (Marriott 2023). The literature suggests that greater transparency and analytical reviews of Multilateral Development Bank (MDB) private sector window risk management could address this tension (Attridge et al. 2026). Moreover, the failure to provide predictable and multi-year commitments on aid flows highlights the challenge of ensuring stable aid amidst changing donor priorities (OECD 2009_1). Efforts to improve transparency around aid are promising, yet there is no evidence of tangible improvements where needed, illustrating the ongoing tension between aid predictability and donor political responsiveness (OECD 2012). The governance tension is further expressed through the opacity in Blended Concessional Finance (BCF) disclosure, leading to inconsistent pricing practices and a 'race to the bottom,' which the literature suggests addressing through greater transparency (Attridge et al. 2026).

Accountability issues are highlighted as a governance tension, with the failure of Northern and Southern states to robustly monitor activities contributing to political failures in development effectiveness (Gulrajani 2022). The governance tension between localization and fiduciary accountability is addressed by increasing transparency about aid flows and supporting local accountability mechanisms, as suggested for donors (OECD 2009_1). The climate financing governance of Ethiopia lacks transparency and accountability, illustrating the governance tension between localization and fiduciary accountability and financial oversight (Gemsol Social 2025). The lack of community participation in budget tracking and tracing to enhance transparency and accountability further illustrates this tension (Gemsol Social 2025).

The governance tension between aid predictability and donor political responsiveness is expressed through the unmet target for the predictability of aid, as aid was not disbursed within the fiscal year for which it was scheduled and recorded in government accounting systems (OECD 2012). Progress in improving the medium-term predictability of aid at the country level has been limited, illustrating the tension between aid predictability and donor political responsiveness (OECD 2012). The governance tension is also expressed through the challenge of improving medium-term predictability of aid, as many bilateral donors are constrained by annual budgeting processes, which affects their ability to provide stable aid flows (OECD 2012). The governance tension between aid predictability and donor political responsiveness is managed by setting targets to halve the gap in aid disbursements not released according to agreed schedules (OECD 2009_1). The governance tension between aid predictability and donor political responsiveness is expressed through the high fragmentation of aid in low-income countries, which have limited capacities to manage

fragmented aid relations (OECD 2012).

The governance tension between aid predictability and donor political responsiveness is highlighted by the initial increase and subsequent stagnation of international climate finance flows to Ethiopia, influenced by political changes in donor countries and the lack of fulfillment of financial commitments (Gemsol Social 2025). The governance tension between aid predictability and donor political responsiveness is expressed through the uncertainty and confusion caused by announcements of intended cuts to aid, which have significant consequences for programming and financial planning (Pearson et al. 2025). The governance tension between aid predictability and donor political responsiveness is illustrated by the fluctuating and inadequate funding for Water, Sanitation, and Hygiene (WASH) during the COVID-19 pandemic, which hindered long-term planning and resilience building (Hussain 2023). The governance tension between aid predictability and donor political responsiveness is expressed through the need for Oxfam to make difficult decisions about non-negotiables in humanitarian work, which is managed through ongoing risk analysis, collaboration with other agencies, and the development of internal positions that align with humanitarian principles (Safe Programming & Accountability 2026).

Integration of Development, Diplomacy, and Defense

The integration of development, diplomacy, and defense strategies often results in governance tensions, particularly between development goals and geopolitical or security priorities. This tension is evident in the alignment of donor activities with partners' strategies, where differing perspectives necessitate whole-of-government strategies and inclusive dialogues to harmonize efforts (OECD 2009_1; Gulrajani 2022). The U.S. Presidential Policy Directive on Global Development and the Quadrennial Diplomacy and Development Review (QDDR) exemplify attempts to reinforce development's role alongside defense and diplomacy in national security, addressing these tensions by integrating development into broader strategic frameworks (Sharma 2021; Sharma 2026). However, the integration of development and security agendas often leads to prioritizing short-term security concerns over long-term development goals. For instance, the reallocation of USAID's development assistance to the State Department's Economic Support Funds prioritizes security objectives, overshadowing poverty concerns (Lancaster 2008_2). Similarly, the expansion of the Department of Defense's mission to include stability operations illustrates the prioritization of security over development (Lancaster 2008_2). The growing schism between liberal Western democracies and illiberal, authoritarian states further complicates this tension, as American allies seek to link global development strategy with national security imperatives (Gulrajani 2022). Efforts to manage these tensions include creating assistance coordination offices and integrating planning and budgeting processes, though these can risk diminishing the impact of development assistance by focusing on short-term projects (MODERNIZING FOREIGN ASSISTANCE NETWORK 2025; Lancaster 2008_2). The tension between peaceful foreign policy tools and militarization is managed by ensuring foreign aid is effectively delivered, as ineffective aid may lead to increased reliance on military solutions (Carcelli 2024). The potential merger of

development and humanitarian functions with diplomacy functions at the U.S. Department of State illustrates the risk of diminishing the impact of international assistance on critical national security and economic issues (Modernizing Foreign Assistance Network 2025). The literature also highlights the ethical dilemmas posed by geopolitical interests, such as Gulf donors' involvement in Yemen, which complicates humanitarian efforts (Cooper 2020). The governance tension is further complicated by internal U.S. politics, where congressional mandates and bureaucratic competition influence aid disbursement, suggesting a need for reducing congressional meddling and bureaucratic turf wars to improve aid effectiveness (Sullivan 1996; Eyben 2008; Fanning et al. 2019; Finkel et al. 2007; Khan 2003). The integration of budgets and planning by USAID and the Department of State in the creation of the F process raised organizational issues, illustrating the governance tension between development objectives and geopolitical and security priorities (Lancaster 2008_2). The literature suggests that separating political aid from development aid could mitigate this tension (Sullivan 1996). Overall, while strategic frameworks and policy directives attempt to balance these competing priorities, the literature underscores the persistent challenge of aligning short-term security imperatives with long-term development objectives. The integration of sustainable development goals that emphasize peace and security as essential for development is one approach to aligning development and security agendas (United Nations General Assembly 2015).

What institutional arrangements, governance mechanisms, financing models, organizational practices, and administrative systems and procedures does the literature repeatedly identify as strengthening the effectiveness, coherence, sustainability, accountability, and local legitimacy of foreign assistance, and through what processes are these outcomes produced?

Question Overview

The literature identifies several key themes that enhance the effectiveness, coherence, sustainability, accountability, and local legitimacy of foreign assistance. Policy markers and transparency initiatives are crucial for improving accountability and aligning aid with policy goals. Empowerment and localization strategies emphasize local ownership and capacity building, enhancing sustainability and legitimacy. Innovative funding models and blended finance mechanisms leverage diverse resources to support long-term development goals. Public-private partnerships and adaptive management practices foster collaboration and responsiveness, while gender equality and participatory evaluation processes ensure inclusivity and accountability. The integration of budget support, mutual accountability mechanisms, and the humanitarian-development-peace nexus further strengthens aid effectiveness by aligning with local priorities and fostering comprehensive approaches. Finally, transparency and data systems, along with stakeholder integration and equitable

localization, ensure that foreign assistance is responsive, accountable, and aligned with local needs.

Policy Markers for Transparency

Policy markers serve as pivotal governance mechanisms that significantly enhance the transparency and accountability of foreign assistance by delineating aid objectives and ensuring their alignment with overarching policy goals. The OECD gender equality policy marker exemplifies this by providing a statistical tool to assess the extent to which aid activities focus on gender equality, thereby reinforcing accountability (Sarosi et al. 2019; Grabowski et al. 2020; Oxfam America 2022). Similarly, the OECD/DAC gender equality and disability markers employ a scoring system to integrate these themes throughout the programming cycle, thereby improving both effectiveness and accountability (OECD 2023_1; Grabowski et al. 2020). The International Aid Transparency Initiative (IATI) further enhances transparency by making project information more accessible, thus bolstering the accountability of foreign assistance (Grabowski et al. 2020; Rust 2019; Hug et al. 2020).

The Feed the Future initiative highlights the necessity of evidence-driven and transparent policy agendas, which, when combined with capable institutions and sufficient resources, enhance the effectiveness, coherence, sustainability, accountability, and local legitimacy of foreign assistance (The US Government's Global Hunger and Food Security Initiative 2024; Ceccarelli 2018). This initiative emphasizes the importance of ambitious performance targets and strategic partnerships in aligning investments with policy goals, thereby strengthening accountability (The US Government's Global Hunger and Food Security Initiative 2024).

Moreover, policy markers such as the OECD DAC migration reporting code improve transparency and scrutiny of donor support for migration-related activities, thereby enhancing accountability and local legitimacy (Raty et al. 2020). The digitization of asset disclosure protocols and the enactment of oversight laws in Ukraine further demonstrate how transparency mechanisms can enhance accountability in foreign assistance (Morris et al. 2023). Asset classification and provisioning practices strengthen the accountability and transparency of banks by mandating realistic provisions for potential losses and the write-off of uncollectible assets (World Bank 1989). Enhancing Congressional oversight through biannual 'Humanitarian Strategy' reports and annual 'Humanitarian State of Affairs' reports is identified as a governance mechanism to improve transparency and accountability in U.S. humanitarian aid (Brainard 2007). The enactment of laws defining oversight, jurisdiction, and authority of Ukraine's Office of Inspector General, in line with US DOJ endorsement, is recognized as strengthening accountability and transparency in foreign assistance (Morris et al. 2023).

The integration of community members and civil society in governance processes, as observed in climate finance, plays a crucial role in ensuring transparency and accountability, thereby strengthening the local legitimacy of foreign assistance (Gemsol

Social 2025). Institutionalizing gender budgeting within ministries of finance and legal frameworks enhances transparency, accountability, and sustainability, thereby improving the effectiveness of public expenditure (Grown et al. 2025_2). Additionally, 'follow the money' analysis and the establishment of meaningful metrics are identified as methods that enhance transparency and accountability by providing clear pathways for tracking and evaluating aid flows (Dhanani et al. 2026; Ingram 2022). The use of robust procedures to appropriately mark projects with gender equality policy markers strengthens accountability by ensuring donors meet OECD's minimum requirements (Oxfam America 2022).

The OECD DAC CRS database's purpose code for tracking funding to 'women's rights movements and organisations' is identified as a governance mechanism that could strengthen accountability by allowing estimation of how much ODA directly reaches WROs/WLOs (Baldoumas et al. 2025). The OECD-DAC database marks projects and programs as principal when the objective (climate change mitigation or adaptation) is explicitly stated as fundamental in the design of, or is the motivation for, the activity, illustrating governance mechanisms that strengthen the effectiveness and coherence of foreign assistance (Gemsol Social 2025).

Routine risk assessments and the establishment of mitigation and monitoring measures, along with clear selection criteria, are identified as strengthening the effectiveness and accountability of foreign assistance by ensuring transparency in the receipt and use of CVA in supporting livelihoods (Smart et al. 2022). The clear and transparent approvals process for shelter projects released by Syria's Ministry of Local Administration and the Environment is identified as a governance mechanism that could potentially strengthen the effectiveness and accountability of foreign assistance, despite concerns about specific clauses (Gorevan et al. 2020).

The introduction of a 'localization marker' and commitments to increase pooled funds are identified as organizational practices aimed at strengthening the effectiveness and local legitimacy of foreign assistance by increasing funding to local and national actors (Robillard et al. 2021). The combination of transparency commitments by donors, such as membership in the International Aid Transparency Initiative (IATI), and the use of gender equality policy markers, enhances the accountability and local legitimacy of foreign assistance by promoting openness and enabling easier tracking of gender equality funds (Grabowski et al. 2020; Modernising Foreign Assistance Network 2025).

Empowerment and Localization Strategies

Empowerment and localization strategies are pivotal in foreign assistance, enhancing local ownership and reducing dependency, thereby bolstering sustainability and local legitimacy (Hug et al. 2020). Central to these strategies is the support for women's collective organizing, which mobilizes communities and effects changes in legal and social norms, thus enhancing the effectiveness and local legitimacy of aid (Sarosi et al. 2019; Oxfam America

2022; Shakun et al. 2018). Localization efforts, such as those in Bangladesh and Uganda, where international actors invest in local humanitarian networks, further reinforce these outcomes by leveraging long-standing relationships to enhance emergency responses (Parrish et al. 2018_1; Abdulrazak 2025; US Global Leadership Coalition 2025).

USAID exemplifies the integration of localization into foreign assistance through policies directing significant funding to local partners, promoting local leadership and decision-making (USAID 2025; Ingram et al. 2025; Ingram 2022). This approach is complemented by efforts to simplify procurement and accountability requirements, enhancing local legitimacy and sustainability by empowering local entities to manage resources effectively (Ingram et al. 2025; Shrestha et al. 2023; Ullah et al. 2025). USAID's partnerships with philanthropic organizations and memoranda of understanding with foundations like the Conrad N. Hilton Foundation and the Skoll Foundation advance locally led development and improve research and evidence generation (USAID 2025; Kinder 2011). Additionally, USAID's investment in organizations serving marginalized populations and training service providers builds local capacity and empowers local actors, strengthening local legitimacy and sustainability (USAID 2025; Sharma 2026).

The role of women-led organizations is particularly emphasized, as they are often best positioned to respond to humanitarian emergencies due to their deep community ties and understanding of gender-specific needs (Manlutac 2022_1; Smart et al. 2022; Baldoumas et al. 2025; Barbalet 2018; Clements et al. 2020; Robillard et al. 2021). Flexible funding models and direct support to these organizations are crucial for maintaining operational capacity and ensuring the sustainability and effectiveness of foreign assistance (UN Women 2025; Women's Refugee Commission 2026; Greener 2024).

Moreover, the integration of local actors into decision-making processes, as seen in the PNPM-Generasi project and USAID's FSN Empowerment initiative, enhances local legitimacy and accountability by ensuring that aid aligns with local priorities and leverages local expertise (Ahmad et al. 2016_1; USAID 2025; Bardhan 2002). The reform of policies to allow FSNs to substitute professional experience for formal education when seeking promotion further strengthens the effectiveness and local legitimacy of foreign assistance by enabling career growth and recognizing local expertise (USAID 2025; Vera et al. 2021).

Oxfam's approach of supporting national markets and small and medium-sized local companies strengthens the effectiveness and sustainability of foreign assistance by promoting local employment and empowerment (Ceccarelli 2018; Manlutac 2022_2). Similarly, the GCT approach supports grassroots groups in managing financial resources and implementing interventions, thereby strengthening local legitimacy and effectiveness (Shrestha et al. 2023; Rust 2019). The GCT approach in Lebanon, South Sudan, and Poland provides direct cash transfers to local groups, allowing them to address urgent needs and support economic empowerment activities (Shrestha et al. 2023; Lancaster 2008_2).

Country platforms, such as Zambia's Pilot Program for Climate Resilience and Rwanda's Green Fund, foster inclusive and coordinated responses to climate impacts, aligning diverse finance sources with national strategies and supporting local objectives and ownership (Patel 2025; USGLC 2021). Decentralized mechanisms, such as those piloted by the DCF Alliance, empower local governments and communities to manage climate finance and make decisions about addressing climate impacts (Patel 2025; Tarnoff 2018).

The literature highlights that the creation of collective structures, such as feminist networks and consortiums, enhances collaboration among women-led organizations, counteracting competition and scarcity, thereby strengthening the local legitimacy and effectiveness of foreign assistance (UN Women 2025; Dhanani et al. 2026). The shift towards resilience humanitarianism, which involves a greater role for host governments and local institutions in crisis response, is seen as a governance mechanism that strengthens the accountability and effectiveness of foreign assistance by decentralizing decision-making and fostering local ownership (Hilhorst 2018; Manlutac et al. 2024).

These strategies collectively illustrate how empowerment and localization not only enhance the effectiveness of foreign assistance but also foster a more sustainable and legitimate aid framework by centering local voices and capacities (Cornwall et al. 2004). Development agencies are encouraged to reassess institutional choices regarding delegated authority, risk management, and learning systems to enable their ability to deliver impact that responds to local needs and makes good on international commitments to deepen localization (Calleja et al. 2026; Oula et al. 2026).

Innovative Funding Models

Innovative funding models play a pivotal role in enhancing the sustainability and effectiveness of foreign assistance by ensuring stable financial flows and supporting long-term development goals. Predictable, flexible, multi-year financing, as advocated by the Development Assistance Committee (DAC), forms the bedrock of effective and sustainable foreign assistance (Fanning et al. 2019; UN Summit for the Future 2024). UN Pooled Financing Mechanisms exemplify the coordinated allocation of resources, which is crucial for achieving the 2030 Sustainable Development Agenda (Fanning et al. 2019). Mechanisms such as MASSIF, which provide risk capital and long-term debt to financial intermediaries, support micro-entrepreneurs and small and medium enterprises (SMEs), thereby fostering economic resilience and coherence (Saarinen et al. 2019).

The integration of private finance, including foreign direct investment (FDI) and remittances, into development strategies enhances poverty reduction and inclusive growth, thereby strengthening the sustainability of foreign assistance (Adams et al. 2016; Seery et al. 2019). Mobilizing resources from diverse sources, including private sector investments, is essential for sustainable development, ensuring that resources are available for long-term goals (UN Summit for the Future 2024; Ceccarelli 2018). Innovative models like the Financing Agricultural Small-and-Medium Enterprises in Africa Fund (FASA) catalyze

commercial financing by reducing investment risks, supporting job creation, and aiding smallholder farmers (USAID 2025).

Special Drawing Rights (SDRs) and solidarity levies from high-polluting sectors generate predictable resources for climate finance, enhancing sustainability and accountability (Bridgetown Initiative n.d._2). Local currency solutions and de-risking mechanisms, such as insurance, bolster the effectiveness and sustainability of foreign assistance by mitigating currency risk and facilitating stable financial environments for development projects (Bridgetown Initiative n.d._2).

The emphasis on concessional finance and streamlined access to funding reflects the need for foreign assistance systems to adapt to fiscal constraints and climate vulnerabilities, ensuring that financial support is both affordable and timely (Panwar et al. 2026). Development Finance Institutions (DFIs) provide financial tools like loans and guarantees to facilitate investment in development projects, particularly in sectors or regions where traditional banks are reluctant to invest, thereby strengthening the effectiveness and coherence of foreign assistance (Ceccarelli 2018).

Innovative funding mechanisms that reduce administrative burdens, build the capacity of women's rights organizations, and provide long-term, predictable, and core funding are identified as strengthening the sustainability and local legitimacy of foreign assistance by fostering agency and sustainability of women's rights organizations (Sarosi et al. 2019). The articulation of development objectives in programs and partnerships, focusing on capitalizing SMEs or smallholder farmers with private finance and building capacity in the agricultural value chain, enhances the effectiveness and sustainability of foreign assistance by promoting food security and private sector development (Saarinen et al. 2019).

Overall, these innovative funding models not only provide financial stability but also align with broader development objectives, thereby enhancing the coherence, sustainability, and local legitimacy of foreign assistance.

Blended Finance Mechanisms

Blended finance mechanisms, which strategically combine public and private resources, are increasingly acknowledged for their capacity to enhance the effectiveness, sustainability, and local legitimacy of foreign assistance (Bhattacharya et al. 2025; Bridgetown Initiative n.d._1; Bridgetown Initiative n.d._2; Burnley et al. 2014; Endam Mbah et al. 2025; Gilmour et al. 2026). By leveraging private sector investments, these mechanisms unlock additional financing, thereby expanding the scale and impact of development projects (Saarinen et al. 2019; Ceccarelli 2018; Bridgetown Initiative 2025_2; Mitchell et al. 2023). Instruments such as guarantees, investment grants, and technical assistance play a crucial role in reducing investment risks and attracting private capital, particularly in sectors like agriculture and climate resilience (Saarinen et al. 2019; Bridgetown Initiative 2025_2; Mitchell et al. 2023; Morris et al. 2023; United Nations 2015). For example, the FoodTrade ESA programme

employs investment grants to enhance project viability and attract external financing (Saarinen et al. 2019).

The success of blended finance is heavily reliant on robust governance frameworks that ensure equitable risk-sharing and protect marginalized groups, thereby enhancing accountability and sustainability (Saarinen et al. 2019; Jeune 2019). Embedding these mechanisms within country-led frameworks aligns them with local development priorities, thereby increasing their legitimacy and effectiveness (Saarinen et al. 2019; Bridgetown Initiative 2026). However, challenges such as ensuring transparency and demonstrating additionality remain critical for maintaining accountability and achieving development goals (Saarinen et al. 2019; Oxfam America 2022). The OECD DAC Blended Finance Principles advocate for transparency and accountability, thereby strengthening the effectiveness and coherence of foreign assistance (Jeune 2019).

Innovative models like public-private partnerships (PPPs) and pooled funds further bolster foreign assistance by mobilizing diverse financial resources and addressing funding gaps (Ceccarelli 2018; USAID 2025; Ayele 2014; Cohen et al. 2018; Parrish et al. 2018_1). These models facilitate the integration of private sector expertise and resources, enhancing the scalability and impact of development initiatives (Ceccarelli 2018; Bridgetown Initiative 2025_2). The As-Samra Water Treatment Facility project exemplifies a successful PPP model that ensures sustainability through a build-operate-transfer financial structure (Ahmad et al. 2016_2). Moreover, strategic use of guarantees and co-investment models, such as those employed by the UK government and MDBs, illustrate effective approaches to leveraging both public and private finance for large-scale development projects (Mitchell et al. 2023; Bridgetown Initiative 2025_2).

The European Investment Bank's provision of local currency loan finance to de-risk banks' investments and the allocation of commitments to both public and private sectors in recipient countries are practices that enhance the effectiveness and sustainability of foreign assistance (Saarinen et al. 2019; Tomlinson 2022). The integration of co-ownership models, local financing mechanisms, and structural reforms, as discussed in earlier sections, strengthens the effectiveness and sustainability of foreign assistance by stabilizing economies and leveraging specialized knowledge (Cotula 2009; Dasgupta et al. 2002; Moyo 2010; World Bank 1986; World Bank 1989). Additionally, the CRGE Facility in Ethiopia consolidates finances from international, public, and private sources to support climate change projects, demonstrating a successful institutional arrangement for mobilizing climate finance (Gemsol Social 2025).

While blended finance holds significant promise for enhancing foreign assistance, its success depends on careful design and implementation, ensuring alignment with development effectiveness principles and addressing potential inequalities (Saarinen et al. 2019; Jeune 2019; Maeresera et al. 2020; Seery et al. 2019). The literature indicates that private finance blending often prioritizes commercial viability over development impact,

which can lead to increased inequalities, particularly affecting marginalized smallholders and women (Saarinen et al. 2019). Furthermore, the G20's strategic role in private capital mobilization and the integration of climate finance objectives across UK foreign assistance instruments illustrate comprehensive strategies to strengthen the sustainability and effectiveness of foreign assistance (Attridge et al. 2026; Mitchell et al. 2023).

Public-Private Partnerships

Public-private partnerships (PPPs) are pivotal in augmenting the effectiveness, coherence, sustainability, accountability, and local legitimacy of foreign assistance by harnessing additional resources and expertise. These partnerships are most successful when they align with development objectives and ensure equitable distribution of benefits. For example, the Dutch development aid policy collaborates with multilateral organizations, NGOs, and the private sector to enhance water management, thereby improving policy effectiveness and efficiency (OECD 2021; Hooijer et al. 2017). Similarly, the World Bank's collaborations with entities like UNICEF and WHO leverage specialized expertise to bolster foreign assistance in regions lacking robust governmental partners (Fanning et al. 2019).

PPPs contribute to sustainability and local legitimacy by creating employment opportunities and facilitating skill transfer, as demonstrated by Ethiopia's High Quality Rose Farming Partnership, which emphasizes women's employment and horticultural knowledge dissemination (Saarinen et al. 2019). The Feed the Future initiative exemplifies the integration of diverse institutional forms, utilizing public-private partnerships to combat hunger and poverty through innovation and expertise (The US Government's Global Hunger and Food Security Initiative 2024). Additionally, USAID's collaborations with the private sector in Ecuador and Ukraine illustrate how leveraging private resources and expertise can enhance incomes and bolster agricultural resilience (USAID 2025).

Effective PPPs necessitate mechanisms for selecting partners with shared development goals, ensuring adherence to human rights and environmental standards (Ceccarelli 2018). India's strategic use of PPPs in its engagement with Africa aligns trade and investment policies with development strategies, thereby enhancing coherence and sustainability (Alden 2017). Moreover, USAID's partnerships with major multinational technology firms to provide skills training in cybersecurity, data privacy, cloud computing, and responsible AI bolster the effectiveness and sustainability of foreign assistance by cultivating digital ecosystems aligned with democratic values (USAID 2025).

However, the success of PPPs hinges on transparent governance and accountability frameworks. The European Commission underscores the necessity for strategic frameworks that involve measurable development impacts and shared interests to fortify foreign assistance (Ceccarelli 2018). The integration of private sector innovation in health and agriculture, as evidenced by Malaysia's PPP projects, highlights the importance of aligning financial incentives with service quality to ensure sustainability and accountability (Beh 2010). While the involvement of the private sector in aid projects and programs in

developing countries is recognized as a mechanism that could potentially enhance the effectiveness of foreign assistance, there remains a paucity of evidence regarding its impact on poverty and inequality (Oxfam America 2022).

Public-private partnerships and the blending of loans and donations are identified as organizational practices that enhance the effectiveness and sustainability of foreign assistance by mobilizing private sector resources to achieve a greater development impact (Ceccarelli 2018). The Democracy Delivers Initiative is noted as an organizational practice that strengthens the effectiveness and sustainability of foreign assistance by targeting investments and building coalitions to support reformers in delivering progress for citizens (USAID 2025). Furthermore, the EDGE Fund's catalytic resources have bolstered the coherence and local legitimacy of foreign assistance by leveraging private-sector commitments to address development challenges (USAID 2025).

In summary, PPPs enhance foreign assistance by mobilizing resources, fostering innovation, and ensuring that development efforts are both effective and equitable. Nonetheless, challenges such as the need for transparent governance, accountability, and the alignment of private sector involvement with development goals remain critical to their success (Ceccarelli 2018; Fanning et al. 2019; Adams et al. 2016; Burnley et al. 2014).

Adaptive Management and Innovative Practices

Adaptive management and innovative practices are pivotal in enhancing the effectiveness and sustainability of foreign assistance by fostering institutional capacity and introducing novel approaches to aid delivery. Investment in adaptive management allows programs to remain agile and responsive to changing contexts, thereby strengthening their effectiveness and responsiveness (Fanning et al. 2019). This approach necessitates the development of new skills, the implementation of unified monitoring systems, and the facilitation of real-time learning, ensuring that activities remain aligned with objectives and adaptable to emerging opportunities (Fanning et al. 2019). Multi-year funding frameworks further support this adaptability by providing stability and predictability, enabling more effective and sustainable interventions in protracted crises (Fanning et al. 2019). Regularly updated gender-sensitive conflict analysis, scenario planning, and built-in humanitarian finance mechanisms such as crisis modifiers are identified as strengthening the effectiveness and sustainability of foreign assistance by meeting diverse community needs and protecting development gains (Fanning et al. 2019).

Innovative practices, such as Oxfam's diversification of livelihoods through income-generating activities and safety nets, transition communities from dependence on emergency assistance to self-sufficiency, enhancing sustainability and local legitimacy (Fanning et al. 2019). Similarly, the integration of anticipatory action and early warning systems into disaster management frameworks enables proactive and context-specific interventions, thereby enhancing resilience and sustainability (Robinson et al. 2024). Oxfam's approach of supporting small repairs to water infrastructure and restoration of

wells linked to local water networks strengthens the sustainability and local legitimacy of foreign assistance by providing reliable access to clean water and reducing reliance on expensive private sector water trucking (Hemsley et al. 2019).

The use of digital technologies, such as Distributed Ledger Technologies (DLTs) in cash and voucher assistance, exemplifies how technological innovations can improve the transparency, efficiency, and accountability of aid delivery (Rust 2019). These technologies streamline reporting, allow for real-time monitoring, and reduce transaction times, thereby enhancing the effectiveness and local legitimacy of foreign assistance (Rust 2019). The integration of adaptive management with developmental evaluation processes facilitates ongoing learning and improvements during implementation, ensuring that foreign assistance remains effective and sustainable in dynamic environments (OECD 2023_2).

Furthermore, strategic advocacy and coalition-building, as demonstrated by Oxfam's coordination with European institutions and Member States, strengthen the effectiveness and sustainability of foreign assistance through advocacy and coalition-building (O'Neil et al. 2015). The Feed the Future initiative strengthens the effectiveness and sustainability of foreign assistance by leveraging research and innovation, driving increased private investment and financing, and advancing gender equality and inclusion, which are processes that contribute to building a more resilient, nutritious food system (The US Government's Global Hunger and Food Security Initiative 2024). Frequent intergovernmental meetings at multiple official levels can transmit information to policymakers about 'what works' in other settings, strengthening the effectiveness and coherence of foreign assistance through established channels of communication (Simmons et al. 2004).

Decentralization is identified as strengthening the effectiveness and accountability of foreign assistance by increasing the accountability of government officials and discouraging corruption under circumstances where government actions are transparent and civil society operates freely (Azfar et al. 1999). The integration of HIV services with broader health systems, including co-located primary care and reproductive health services, enhances the effectiveness, coherence, and sustainability of foreign assistance by addressing multiple health needs simultaneously and improving health outcomes across various populations (Bekker et al. 2018). The integration of HIV and non-communicable disease (NCD) services, as well as the incorporation of harm reduction and community-based approaches, strengthens the effectiveness and sustainability of foreign assistance by providing comprehensive care and addressing the needs of marginalized populations (Bekker et al. 2018).

The literature suggests that the effectiveness and sustainability of foreign assistance can be strengthened through a combination of strategic planning and operational efficiency, which includes scenario modeling for strategic decision-making, clean sheet budgeting for efficient resource allocation, and optimizing procurement and supply chains to reduce waste and

negotiate better prices (Sabow et al. 2025). The integration of community input and diverse perspectives into risk management processes, combined with adaptive management practices, enhances the effectiveness, sustainability, and local legitimacy of foreign assistance by ensuring that risk assessments are comprehensive, contextually relevant, and responsive to changing conditions (Safe Programming & Accountability 2026). Long-term, flexible, and predictable funding models, aligned with national plans and involving adaptive management, are crucial for strengthening the effectiveness and sustainability of foreign assistance in WASH by addressing systemic failures and enabling real-time adjustments to community needs and changing conditions (Hussain 2023).

Overall, these adaptive and innovative practices collectively contribute to more coherent, accountable, and locally legitimate foreign assistance efforts. The strategic use of regional experiments, such as those in land reform and SEZs, strengthens the effectiveness and sustainability of foreign assistance by reducing political resistance and uncertainty, allowing for the testing and refinement of reforms before national implementation (Xu 2011). The literature identifies that sustaining foreign assistance programs at reasonable levels, combined with robust regression estimators and new doubly robust estimators, can enhance the living standards of the world's poorest populations by adjusting for heterogeneity across countries and improving the empirical strategy in the aid-growth literature (Arndt et al. 2010).

Gender Equality and Women's Empowerment

The integration of gender equality and women's empowerment into foreign assistance frameworks is pivotal for enhancing the effectiveness, coherence, sustainability, accountability, and local legitimacy of aid. Central to this theme is the mainstreaming of gender considerations across all levels of foreign assistance, which addresses systemic barriers and promotes inclusive development outcomes. Empowering women through economic inclusion and leadership roles is a key strategy, as demonstrated by programs like Colombia's 'More Families in Action' and initiatives in Ethiopia, Guatemala, and Indonesia. These programs illustrate that involving women in leadership and economic activities strengthens program effectiveness and fosters community transformation (OECD 2021; Fanning et al. 2019; Ceccarelli 2018; Ahmad et al. 2016_1; Ahmad et al. 2016_2). Similarly, the inclusion of women in peace processes significantly enhances the sustainability of peace agreements (Fanning et al. 2019; Baldoumas et al. 2025).

Institutional frameworks that mainstream gender equality, such as Canada's Feminist International Assistance Policy and Sweden's feminist foreign policy, are highlighted for their role in strengthening the coherence and sustainability of foreign assistance by embedding gender considerations in all action areas (Sarosi et al. 2019). The European Commission's strategy to integrate gender objectives in projects further exemplifies governance mechanisms that promote gender equality (Sarosi et al. 2019). Germany's Gender Action Plan, despite lacking concrete indicators, aims to strengthen the effectiveness of foreign assistance through gender mainstreaming and policy dialogue (Sarosi et al. 2019).

The role of women's rights organizations (WROs) and feminist movements is emphasized as crucial for sustaining gender equality efforts (Adams et al. 2016). Direct funding and support for these organizations enhance local legitimacy and sustainability by fostering agency and enabling grassroots advocacy (Sarosi et al. 2019; UN Women 2025). Moreover, feminist approaches to aid, which incorporate intersectionality and transformative change, challenge power relations and enhance the effectiveness and accountability of foreign assistance (Sarosi et al. 2019). The Creating Spaces program exemplifies this by placing local organizations at the heart of its theory of change and using feminist monitoring, evaluation, and learning to center women's needs and realities (Sarosi et al. 2019). The involvement of women representatives in aid distribution and the provision of gender-sensitive facilities and services in Aceh, Indonesia, are identified as practices that strengthen the effectiveness and inclusivity of humanitarian responses (Ayele 2014).

Investments in essential public services for women and girls, such as comprehensive sexual and reproductive health services, are effective in reducing economic and gender inequality and breaking down the intergenerational transmission of poverty (Sarosi et al. 2019). Educating girls is also identified as strengthening the effectiveness and sustainability of foreign assistance by reducing gender inequality, increasing women's earnings, and averting deaths (Sarosi et al. 2019). Gender-responsive budgeting and fiscal policies further strengthen the effectiveness and sustainability of foreign assistance by promoting equitable resource distribution and addressing gender disparities (Grown et al. 2025_1).

Meaningful partnerships based on dialogue and collaboration with women's rights organizations strengthen local legitimacy and coherence by fostering trust and autonomy (Sarosi et al. 2019). Strengthening exchanges on gender equality through dialogues, seminars, skills training, and cultural exchanges enhances the effectiveness and local legitimacy of foreign assistance (Alden 2017). The Danish Strategic Sector Cooperation evaluation highlights the empowerment of partner institutions as strengthening the effectiveness and local legitimacy of foreign assistance by enabling partner authorities to influence broader policy and program outcomes (OECD 2021). Similarly, the High Quality Rose Farming Partnership in Ethiopia, supported by the Netherlands DGDF, strengthens local legitimacy and sustainability by creating jobs for women and transferring horticultural knowledge and skills (Saarinen et al. 2019).

Finally, the integration of feminist, decolonial, holistic, and collaborative approaches in anticipatory action frameworks collectively strengthens the effectiveness, coherence, sustainability, accountability, and local legitimacy of foreign assistance by ensuring inclusivity, local leadership, multi-hazard preparedness, and cross-sector collaboration (Robinson et al. 2024). The literature suggests that the effectiveness, coherence, and sustainability of foreign assistance are strengthened by integrating WLOs, WROs, and LGBTQIA+ led organizations into decision-making processes and providing them with flexible, long-term funding, which allows these organizations to address both immediate

humanitarian needs and their core missions (Greener 2024). Democratic institutions and open trade policies are identified as strengthening the effectiveness and coherence of foreign assistance, as more open and democratic countries receive more aid (Alesina et al. 2000).

Participatory and Inclusive Evaluation Processes

Participatory and inclusive evaluation processes are integral to enhancing the effectiveness, coherence, sustainability, accountability, and local legitimacy of foreign assistance. These processes ensure that evaluations are contextually relevant and inclusive, incorporating sustainability and human rights considerations. Effective stakeholder engagement is crucial, as it aligns evaluations with the needs and contexts of local communities, thereby strengthening local legitimacy (OECD 2021; Booth et al. 2008). The inclusion of local experts and stakeholders in evaluation processes ensures that local knowledge and expertise are integrated, enhancing both effectiveness and legitimacy.

Participatory methodologies, such as feminist evaluations and the Empowerment Measurement Tool, empower marginalized groups by increasing their self-confidence and decision-making power, which is essential for strengthening local legitimacy and sustainability (OECD 2023_1). Researchers and donors are encouraged to support locally led research and utilize participatory methods that center the voices, experiences, and priorities of affected populations, thereby strengthening local legitimacy and accountability (Women's Refugee Commission 2026). Participatory budgeting and decision-making processes enhance transparency and inclusivity, leading to improved service delivery and accountability, as evidenced in Porto Alegre, Brazil (Bardhan 2002), and UAF A&P (Dhanani et al. 2026).

The integration of participatory monitoring and evaluation systems fosters accountability and coherence by ensuring systematic data collection and community engagement, as demonstrated by Oxfam's MEAL tools and the AAP Framework (Shrestha et al. 2023; Oxfam America 2022; Smart et al. 2022). These practices are complemented by adaptive management and developmental evaluation processes, which facilitate ongoing learning and improvements during implementation, thereby enhancing sustainability (OECD 2023_2).

Moreover, applying human rights principles and feminist approaches in evaluation frameworks ensures that evaluations are inclusive and transformative, addressing power imbalances and promoting equality (Sarosi et al. 2019). Integrating these principles into global governance mechanisms further enhances accountability and local legitimacy by aligning foreign assistance with international human rights standards (Ottersen et al. 2014).

Additional insights underscore the importance of comprehensive information gathering and evaluation processes, such as independent investigations and field visits, to strengthen effectiveness and accountability (Ceccarelli 2018). Biennial 'humanitarian strategy'

planning reports and annual 'humanitarian state of affairs' reports are identified as strengthening the effectiveness and accountability of foreign assistance by evaluating programs based on hard evidence and assessing costs and benefits (Brainard 2007). Joint evaluations are recognized for overcoming attribution problems and enhancing coherence (OECD 2023_2). Participatory approaches rooted in indigenous principles and non-hierarchical methods bridge gaps between developed and developing contexts, capturing marginalized realities and strengthening local legitimacy (Clements et al. 2020; Wallace 2020).

Inclusive governance frameworks and anticipatory action, which integrate protection, gender, and inclusion elements, are crucial for effective and sustainable outcomes (Robinson et al. 2024; Siyal et al. 2025). The MDG process illustrates a disconnect between the formulation of goals and the participation of civil society, indicating that institutional arrangements that include diverse stakeholder engagement are crucial for the legitimacy and sustainability of foreign assistance initiatives (Kabeer 2015). Participatory approaches that involve community accountability and mutual responsibility foster local legitimacy and accountability (OECD 2023_2). Emphasizing improved knowledge management and learning of aid relief projects strengthens the local legitimacy and sustainability of foreign assistance (Manlutac 2022_2). Integrating social, ecological, and relational inclusiveness into development goals, as seen in the SDGs, enhances the effectiveness, coherence, and sustainability of foreign assistance by addressing multiple dimensions of development (Gupta et al. 2016). The multi-stakeholder forum on science, technology, and innovation for the Sustainable Development Goals strengthens effectiveness and coherence by facilitating interaction, matchmaking, and network establishment among stakeholders to identify and examine technology needs and gaps (United Nations General Assembly 2015).

Overall, participatory and inclusive evaluation processes are essential for ensuring that foreign assistance is effective, sustainable, and locally legitimate, with a strong emphasis on stakeholder engagement, empowerment, and the integration of diverse perspectives and principles.

Conflict

The discourse surrounding foreign assistance is fraught with interpretive conflicts and divergent prescriptions across multiple dimensions. A significant area of contention is the adoption of conflict-sensitive approaches, which prioritize understanding local contexts to enhance effectiveness and local legitimacy. This stands in contrast to critiques of neoliberal frameworks that inadequately address poverty and inequality, thereby undermining sustainability and accountability (Fanning et al. 2019; Ayele 2014; True 2012; Batliwala 2007). The integration of conflict-sensitive methodologies and the "Do No Harm" framework is deemed essential for bolstering the effectiveness and local legitimacy of foreign assistance by preventing the exacerbation of conflicts (Hemsley et al. 2019).

The role of private finance blending in foreign assistance is another contentious issue.

Proponents argue that it can unlock significant financial resources for development when supported by robust governance frameworks. However, critics point out that its focus on commercial viability often overshadows development impact, potentially exacerbating inequalities and misaligning with local priorities (Saarinen et al. 2019; Ceccarelli 2018). The lack of ongoing monitoring and evaluation, as exemplified by the Panapesca project, underscores deficiencies in organizational practices that could otherwise enhance accountability and local legitimacy (Ceccarelli 2018).

Geopolitical interests further complicate aid strategies, sparking debates over their influence. While aligning aid with geopolitical objectives can enhance coherence and effectiveness by aligning with recipient government interests, it often compromises local legitimacy and sustainability. This is illustrated by the UK's dual role in Yemen (Riaao-Rodriguez 2014; Cairns 2015; Oxfam 2019_2). Conversely, USAID's development diplomacy, which engages local communities and leverages contributions to multilateral forums, demonstrates how geopolitical prioritization can effectively integrate development perspectives into foreign policy (USAID 2025).

The localization agenda also presents conflicts regarding its conceptualization and implementation. While empowering local actors is advocated to improve humanitarian responses, critiques highlight the risks of perpetuating power imbalances and exclusionary practices (Roepstorff 2020; Mulder 2023; Robillard et al. 2021). The emphasis on international actors within the localization agenda can undermine its effectiveness and local legitimacy (Robillard et al. 2021).

Tensions between donor-driven priorities and local needs are evident in projects like AVANSE in Haiti, where external control undermines local capacity building (Anglade et al. 2019). This reflects broader concerns about balancing donor agendas with recipient ownership, impacting the effectiveness and coherence of foreign assistance (Cichocka et al. 2025; Dhanani et al. 2026). The shift towards private sector actors in U.S. aid allocation, driven by stagnant staffing levels, indicates an organizational practice affecting coherence and sustainability (Parrish et al. 2018_2).

The literature also highlights the impact of high aid levels on governance, where aid dependence can weaken institutions and create perverse incentives, reducing the effectiveness and sustainability of foreign assistance (Bräutigam et al. 2004). The integration of global effectiveness principles into agency practice has led to their diminished explicit articulation, suggesting that while these principles are theoretically legitimate, their practical implementation is often mediated by provider interests and political contexts (Cichocka et al. 2025).

Finally, geopolitical considerations and donor competition during the Cold War significantly influenced aid allocation, potentially undermining the effectiveness and coherence of foreign assistance by prioritizing strategic interests over development needs (Khadka

1997). The integration of development, diplomacy, and defense in strategies like 'Af-Pak' has blurred lines of authority, underscoring the need for clear delineation of responsibilities to strengthen coherence and effectiveness in foreign assistance (Kinder 2011).

Paris Declaration and Collaborative Practices

The Paris Declaration and collaborative practices are instrumental in enhancing the coherence and sustainability of foreign assistance by embedding principles such as ownership, alignment, harmonization, and results-oriented management into aid frameworks. These principles are operationalized through mechanisms like joint workplans, strategy development meetings, and whole-of-government approaches, which facilitate collaboration and alignment between donor and recipient countries (Fanning et al. 2019; Saarinen et al. 2019; Anglade et al. 2019). Emphasizing country ownership and alignment with national priorities strengthens local legitimacy and coherence (Saarinen et al. 2019). Harmonization efforts, including joint donor missions and shared strategies, reduce duplication and enhance the effectiveness of aid delivery (Ayoub et al. 2018; OECD 2005_1). Furthermore, integrating aid with international frameworks like the SDGs and Agenda 2063 ensures alignment with global development goals, thereby enhancing sustainability and impact (Alden 2017; UN Summit for the Future 2024). Collaborative practices, such as trilateral cooperation and regional partnerships, leverage diverse resources and expertise, further strengthening the coherence and sustainability of foreign assistance (Alden 2017; Kumar et al. 2025).

Developing a national, home-grown, inclusive, multi-sectoral strategy, where intervention sectors are prioritized and aid is allocated based on a rights-based development framework, is recommended to strengthen the effectiveness and local legitimacy of foreign assistance by ensuring alignment with local priorities and rights (Ayoub et al. 2018). The Global Concessional Financing Facility (GCFF) enhances coordination among the United Nations, multilateral development banks, refugee host countries, and donors to address shared priorities, strengthening the effectiveness and coherence of foreign assistance (Ayoub et al. 2018). The Lebanon Crisis Response Plan (LCRP) provides a structured approach to channeling aid through the UN system, despite the absence of a national government plan, thereby strengthening the effectiveness of foreign assistance (Ayoub et al. 2018).

A rules-based multilateral trading system with the World Trade Organization at its core strengthens the effectiveness and coherence of foreign assistance by promoting a transparent and equitable trading environment (UN Summit for the Future 2024). Enhanced collaboration between the United Nations and regional organizations strengthens the effectiveness and coherence of peace operations through improved coordination and shared strategies (UN Summit for the Future 2024). The Peacebuilding Commission strengthens the effectiveness, coherence, and impact of peacebuilding efforts by sharing good practices among Member States and mobilizing political and financial support (UN Summit for the Future 2024). Strengthening the United Nations development system, including the resident coordinator system, to be more strategic, responsive, accountable,

collaborative, and integrated enhances the effectiveness, coherence, and sustainability of foreign assistance (UN Summit for the Future 2024).

The establishment of the Inter-Ministerial Committee for Development Cooperation (CICS) under Italian Law no. 125/2014 strengthens policy coherence by centralizing decision-making authority across various ministries, thereby reducing bureaucratic fragmentation (Ceccarelli 2018). The involvement of all major stakeholders among public and private actors in the National Development Cooperation Council (CNCS) strengthens governance by ensuring unified and coordinated national cooperation initiatives (Ceccarelli 2018). The Italian Agency for Cooperation for Development (AICS) strengthens effectiveness and coherence by having autonomous decision-making powers and managing international cooperation initiatives independently (Ceccarelli 2018).

The integration of MDGs into development financing and program approaches by donor countries strengthens the effectiveness and coherence of foreign assistance, as it aligns donor efforts with internationally recognized development goals (Alden 2017). Effective communication and follow-up were vital to maintaining momentum and progress in achieving the MDGs, strengthening the effectiveness and sustainability of foreign assistance (Alden 2017). Development must focus on underlying root causes, such as policies supporting structural transformation and good governance, to be effective, strengthening the coherence and sustainability of foreign assistance (Alden 2017). The African Union's 'Agenda 2063' identifies accountable leadership and responsible institutions as strengthening the effectiveness and sustainability of foreign assistance through the promotion of a Pan African perspective and ownership of the African narrative (Alden 2017).

The U.S. Global Food Security Strategy (GFSS) strengthens the effectiveness and sustainability of foreign assistance by setting clear goals and objectives, such as reducing global hunger and poverty through agriculture-led economic growth and strengthened resilience (The US Government's Global Hunger and Food Security Initiative 2024). The collaborative ecosystem of Feed the Future, which includes policy and diplomacy, research and technical expertise, implementation, and financing and investment, strengthens the effectiveness, coherence, sustainability, accountability, and local legitimacy of foreign assistance by ensuring U.S. government efforts are aligned, responsive to local needs, and adaptable to emerging challenges (The US Government's Global Hunger and Food Security Initiative 2024).

USAID's coordination across eight U.S. government agencies to distribute 688 million vaccine doses to more than 100 countries strengthens coherence and accountability by ensuring a unified and efficient response to the global health crisis (USAID 2025). Securing new global guidelines with UNICEF, WFP, and WHO to prevent and treat child malnutrition strengthens the coherence and effectiveness of foreign assistance (USAID 2025). USAID's strategy on government-to-government assistance strengthens the effectiveness and

coherence of foreign assistance by leveraging the pivotal role partner governments play in locally led development and systems strengthening (USAID 2025).

Coordination between providers is identified as an organizational practice that strengthens the coherence and effectiveness of foreign assistance by avoiding duplication and ensuring complementary support (Bridgetown Initiative 2026). Clarity about the purpose and role of development agencies strengthens effectiveness, coherence, and sustainability by providing a clearer logic for decision making, supporting credible and durable relationships with partner countries, and enabling longer-term planning around shared objectives (Calleja et al. 2026). Agencies have been implementing reforms aimed at improving efficiency, such as building more 'programmatic' approaches to reduce project fragmentation, which strengthens the effectiveness and coherence of foreign assistance (Calleja et al. 2026).

The literature underscores the importance of examining how agencies interpret and navigate dimensions of effectiveness in practice (Cichocka et al. 2025). Flexible and adaptive management practices are identified as a key theory of effective agency practice, aligning effectiveness with how agencies are structured and how budgets are allocated (Cichocka et al. 2025). Agency effectiveness is mediated by provider-level tools, resources, structures, and management practices that create an enabling environment supporting or undermining performance (Cichocka et al. 2025).

The EU Member States and EU institutions collectively account for around half of all ODA provided by DAC members, suggesting that their institutional arrangements strengthen the effectiveness and coherence of foreign assistance by pooling resources (Kumar et al. 2025). The EU's Global Challenges thematic programme, in coordination with country and regional-level programmes, is identified as effective in advancing the global public goods agenda, thereby strengthening the sustainability and local legitimacy of foreign assistance (Kumar et al. 2025).

The effectiveness of MDBs is enhanced by their ability to provide financing at better-than-market terms, policy advice, and technical assistance, which are considered highly relevant by client countries (Prizzon et al. 2026). MDBs strengthen effectiveness by providing external finance at better-than-market terms, offering policy advice and technical assistance, generating research and analysis, and convening stakeholders to act collectively (Prizzon et al. 2026).

The G20's consensus-building and endorsement in leaders' declarations and finance communiques strengthen the effectiveness and coherence of foreign assistance by providing signals to governments, institutions, the private sector, and civil society about the likely direction of the world economy (Gilmour et al. 2026). The G20's role in coordinating sustainable finance frameworks, such as the Common Ground Taxonomy, strengthens the effectiveness and coherence of foreign assistance by improving global consistency and interoperability (Gilmour et al. 2026).

International institutions, as channels for GPGs, are identified as strengthening the effectiveness and coherence of foreign assistance by minimizing free-riding and bringing technical expertise to delivery and implementation (Gulrajani 2022). The literature suggests that accommodating distinctive objectives, modalities, financing channels, and stakeholders within each development narrative can strengthen the effectiveness and coherence of foreign assistance (Gulrajani 2022).

The Paris Declaration provides a robust framework for enhancing the effectiveness and coherence of foreign assistance, but its success depends on the consistent application of its principles across diverse contexts and stakeholders. Challenges remain in fully realizing these principles, as evidenced by the need for improved coordination and alignment in complex humanitarian contexts, such as the Syrian crisis (Hemsley et al. 2019). Overall, the Paris Declaration and collaborative practices enhance foreign assistance by promoting ownership, alignment, harmonization, and results, thereby strengthening coherence and sustainability.

Legal and institutional frameworks, such as labor legislation, commercial regulations, and property rights laws, are identified as strengthening the effectiveness and coherence of foreign assistance by improving employment relationships, reducing costs, and increasing access to financial capital (Trebilcock 2005). Techniques in labor market governance, such as win-win bargaining and dispute resolution, promote constructive relations between informal economy operators and local authorities, enhancing aid effectiveness (Trebilcock 2005). Respect for international labor standards, association building, and democratic organizations in the informal economy further strengthen the local legitimacy and sustainability of foreign assistance (Trebilcock 2005). An interdisciplinary approach addressing informality and barriers to economic mainstreaming is necessary for better governance and aid effectiveness (Trebilcock 2005).

Transparency and Data Systems

Transparency and data systems are integral to enhancing the effectiveness, coherence, sustainability, accountability, and local legitimacy of foreign assistance. The International Aid Transparency Initiative (IATI) exemplifies a standardized framework that facilitates the publication of comprehensive, timely, and reliable aid data, thereby improving accountability and coordination among stakeholders (Cohen et al. 2018; Parrish et al. 2018_2; Oxfam America 2022; Baumol et al. 2007). This standardization supports effective decision-making and reduces corruption by ensuring that aid information is accessible and comparable, thus facilitating better resource allocation and shared learning (Cohen et al. 2018; Oxfam America 2022). Governance mechanisms such as the World Bank's Inspection Panel and Sweden's Openaid.se website further demonstrate how transparency initiatives can enhance accountability and local legitimacy by engaging citizens and providing clear data on aid flows (Fanning et al. 2019; Cohen et al. 2018; Ahmad et al. 2016_1; Ahmad et al. 2016_2).

Organizational practices that focus on the collection and publication of disaggregated data, including sex-disaggregated statistics, bolster statistical capacity and accountability by offering detailed insights into the impacts of aid on various demographic groups (Sarosi et al. 2019; OECD 2023_1; Ayele 2014). The integration of digital technologies and data governance frameworks further enhances transparency and accountability by ensuring secure and efficient data management, which supports informed decision-making and public accountability (UN Summit for the Future 2024; Smart et al. 2022; Abdulrazak 2025). The use of unique identifiers for activities and transactions in IATI data strengthens accountability and traceability by enabling the tracking of funds throughout the development implementation chain (Parish et al. 2018; Brainard 2007).

Despite these advancements, challenges such as inconsistencies in data quality and reporting standards across organizations persist, potentially hindering the full realization of transparency benefits (Cohen et al. 2018). Addressing these gaps through improved data systems and governance frameworks is essential for maximizing the positive impacts of transparency on foreign assistance outcomes (Parrish et al. 2018_2; Oxfam America 2022; Bokpin et al. 2025). Resourcing and rewarding learning and transparency allow donors and agencies to take managed risks with context-specific and innovative programming, thereby strengthening the effectiveness and accountability of foreign assistance (Fanning et al. 2019; Bate 2007). For instance, the AVANSE project improved transparency through periodic radio broadcasts, providing the public with project information and thereby strengthening accountability and local legitimacy (Anglade et al. 2019; Azfar et al. 1999).

Efforts to improve the transparency and predictability of aid, such as the provision of forward spending surveys and adherence to the IATI standard, enhance the effectiveness and accountability of foreign assistance by supporting medium-term planning and reducing corruption (OECD 2012; Adams et al. 2016). The Lebanese Parliament's ratification of an access to information law in 2017 serves as a governance mechanism aimed at improving transparency and accountability by mandating government institutions to disclose information related to their performance and financial health (Ayoub et al. 2018; Ahmad 2015_1; Ahmad 2015_2). Sweden's endorsement of international commitments to make its aid transparent further strengthens aid effectiveness by promoting greater transparency and accountability (Cohen et al. 2018).

The literature also underscores the importance of developing and strengthening targets, indicators, and metrics for universal meaningful and affordable connectivity, integrating these into international, regional, and national development strategies to bolster the effectiveness and coherence of foreign assistance (UN Summit for the Future 2024; Alden 2017). The commitment to develop data and metadata standards to prevent bias and discrimination enhances the coherence and local legitimacy of foreign assistance by ensuring equitable data use (UN Summit for the Future 2024; Baldoumas et al. 2025). Strengthening international cooperation to close gaps on data for development and

increasing its public availability are mechanisms identified to enhance the effectiveness and sustainability of foreign assistance (UN Summit for the Future 2024; Attridge et al. 2026).

Evaluation Criteria and Frameworks

Evaluation criteria and frameworks are pivotal in enhancing the effectiveness, coherence, and sustainability of foreign assistance by providing structured methodologies for assessing aid interventions. The OECD's Development Assistance Committee (DAC) evaluation criteria—comprising relevance, effectiveness, efficiency, impact, and sustainability—serve as a universal reference, fostering consistency and comparability across evaluations (OECD 2021). These criteria establish a shared language that strengthens accountability and coherence by aligning interventions with international standards and ensuring responsiveness to local needs (OECD 2021).

The strategic application of evaluation criteria supports high-quality, useful evaluations, thereby enhancing the effectiveness and local legitimacy of foreign assistance (OECD 2021). For example, the evaluation of Danish initiatives in Uganda underscores the importance of assessing effectiveness and sustainability to document results and extract lessons learned (OECD 2021). Similarly, the evaluation of the Swedish International Development Cooperation Agency's (Sida) support to peacebuilding in conflict and post-conflict contexts aims to systematize lessons learned, influencing strategic planning and the design of future support (OECD 2021).

Integrating monitoring, evaluation, and learning systems within program cycles is crucial for developing a shared vision of success, thereby enhancing the coherence and effectiveness of foreign assistance (OECD 2021). Evaluations that adapt criteria to specific contexts, such as Norway's civil society grant evaluation, ensure that interventions remain relevant and effective by interpreting criteria in relation to the intervention's unique circumstances (OECD 2021). Utilizing existing systems and structures of partners, other donors, and international organizations for implementing activities strengthens the coherence and sustainability of foreign assistance (OECD 2021).

The application of human rights and gender equality lenses in evaluations, as exemplified by Canada's Feminist International Assistance Policy, strengthens the accountability and coherence of foreign assistance by ensuring these principles are mainstreamed throughout the program cycle (OECD 2023_1). This approach aligns with the 2030 Agenda's principles, such as inclusiveness and the 'leave no one behind' principle, which enhance sustainability by addressing systemic inequalities (OECD 2021). Additionally, the evaluation of the 'Improving Farmer Livelihoods' project in Myanmar's Dry Zone found that responsiveness to local needs and adaptability to changing circumstances strengthen the effectiveness and sustainability of foreign assistance (OECD 2021).

Comprehensive evaluation frameworks, including economic efficiency assessments and impact evaluations, support the sustainability and accountability of foreign assistance by

ensuring interventions are cost-effective and achieve significant, long-term impacts (OECD 2021; Ahmad 2015_2; Ahmad et al. 2016_1). The use of participatory processes and stakeholder engagement further enhances local legitimacy and ownership, ensuring interventions are aligned with beneficiary priorities (OECD 2021; Ahmad et al. 2016_2). The evaluation of the African Development Bank's support in Cabo Verde highlights the importance of considering internal factors like the robustness of design and progress of implementation, as well as external factors, to strengthen the effectiveness and coherence of foreign assistance (OECD 2021).

Operational efficiency strengthens coherence and accountability by ensuring resources are used as planned and appropriately, and by managing risks and making decisions that enhance efficiency in response to new information (OECD 2021; Alden 2017). Timeliness strengthens the effectiveness and sustainability of foreign assistance by ensuring results are achieved within the intended timeframe and adjusting timeframes as needed to respond to evolving contexts (OECD 2021; Arndt et al. 2010). The strategic application of evaluation criteria and frameworks, supported by participatory and inclusive processes, is essential for ensuring that foreign assistance is effective, coherent, and sustainable, ultimately leading to more impactful and accountable aid interventions (Attridge et al. 2026).

Budget Classification and Alignment

The integration of donor activities with national budget classifications is a critical strategy for enhancing the coherence, accountability, and local legitimacy of foreign assistance. This alignment ensures that aid is consistent with recipient-country priorities, thereby strengthening the effectiveness of foreign assistance. For instance, Swedish development cooperation's alignment with Tanzanian budget classifications, achieving 68% alignment in 2013 and 2015, exemplifies how such integration can enhance coherence and local legitimacy by embedding aid within local budgetary systems (Cohen et al. 2018). Similarly, the alignment of U.S. development cooperation with partner-country budget classifications, including economic, functional, and administrative categories, facilitates traceability and coherence by ensuring aid flows are integrated with national budgeting systems (Parrish et al. 2018_2). The alignment of U.S. IATI data with OECD/DAC/CRS budget classifications further strengthens the effectiveness and coherence of foreign assistance by ensuring that a high percentage of U.S. government development cooperation can be matched with recognized budget classifications (Parrish et al. 2018_2).

The use of standardized frameworks, such as the IATI data alignment with OECD/DAC/CRS budget classifications, enhances the effectiveness and coherence of foreign assistance by enabling high percentages of development cooperation to be matched with recognized budget classifications (Parrish et al. 2018_2). Additionally, the proposal for a 'common code' classification system by the IATI working group aims to enhance coherence and transparency by improving alignment between donor activities and recipient country budgets (Parrish et al. 2018_2). The integration of IATI data with organizational practices, such as categorizing transactions by aid type and using unique identifiers for activities and

transactions, collectively enhances the traceability, accountability, and transparency of foreign assistance, ensuring that aid reaches the intended recipient country and is accurately accounted for (Parish et al. 2018). The alignment of institutional arrangements with organizational missions and capacities, along with the use of indicators for performance tracking, strengthens the efficient, equitable, and sustainable use of resources in foreign assistance (OECD 2023_2).

Institutional arrangements that integrate planning and budgeting processes, such as those seen in Botswana, also contribute to the effectiveness and coherence of foreign assistance (OECD 2005_2). The integration of planning and budgeting ensures that national priorities are respected and regularly updated, binding the government to finance only those projects included in the plan, thereby aligning macro-economic and sectoral objectives with detailed policies (World Bank 1982). The recruitment of a highly competent economist cadre and the integration of planning, budgeting, and economic policy formulation under a powerful senior minister in Botswana further strengthens the effectiveness and coherence of foreign assistance, producing outcomes through rationalized economic management and clarified development objectives (World Bank 1982).

Moreover, the inclusion of aid in national budgets and the provision of regular, timely information on donor aid flows are crucial for sound planning and budgeting, which strengthens the effectiveness and coherence of foreign assistance (OECD 2009_1). This approach not only aligns aid with national priorities but also enhances accountability to legislatures and citizens, ensuring that foreign assistance is both transparent and aligned with the strategic objectives of recipient countries (OECD 2012). The alignment of aid flows on national priorities is identified as strengthening the coherence and local legitimacy of foreign assistance by ensuring that aid is reported on partners' national budgets and aligned with national priorities (OECD 2009_1).

The alignment of CHAMP and Ubaka Ejo with Rwanda's national development plans and the use of performance contracts (*imihigo*) for government officials strengthen accountability and coherence, as these institutional arrangements ensure that development partners contribute to national and local action plans (Ahmad et al. 2016_1). Similarly, Rwanda's framework and policy that require external organizations to conform to the National Strategic Plan strengthen the effectiveness and coherence of foreign assistance by ensuring alignment with national priorities (Khan 2003). The alignment of aid with national development plans is identified as strengthening the effectiveness and local legitimacy of foreign assistance by fostering dialogue and ensuring projects deliver results aligned with national goals, as seen in Ghana, Indonesia, and Jordan (Ahmad et al. 2016_2).

The EU's Multiannual Financial Framework (MFF), with its structured budget allocations for different policy areas, is identified as strengthening the coherence and sustainability of foreign assistance by providing a predictable financial framework (Kumar et al. 2025). The EU's ODA predictability, based on a seven-year budget horizon, locked ceilings, and

identified envelopes, strengthens the effectiveness and sustainability of foreign assistance by providing a predictable pot of money (Kumar et al. 2025). The Mozambique government's merging of bank accounts into a Single Treasury Account (STA) and the agreement by donor agencies to disburse at least 60% of their development assistance through the STA system are identified as strengthening transparency and alignment of aid (OECD 2009_1).

The integration of the procurement plan for service providers into the project's supply plan is an administrative system that strengthens coherence and accountability by ensuring that procurement processes are aligned with project needs (Smart et al. 2022). Framework agreements with service providers are identified as strengthening the effectiveness and coherence of foreign assistance by streamlining processes for cash and voucher assistance (CVA) (Smart et al. 2022). Financial Reconciliation Plans strengthen accountability and coherence by providing clarity on roles, responsibilities, and processes for CVA distributions (Smart et al. 2022). Reconciliation processes are identified as strengthening accountability and coherence, as they involve Program, Logistics, and Finance staff to identify cases of fraud, theft, and corruption, ensuring a comparison of transfers with supporting documentation (Smart et al. 2022).

The use of DAC sector and purpose codes to allocate TOSSD disbursements by sector priorities is identified as a governance mechanism that strengthens the coherence and accountability of foreign assistance by providing a standardized framework for reporting and analysis (Tomlinson 2022). The State Department and USAID fit their Foreign Operations budget request into a framework that allows for an objective and program-oriented viewpoint, which strengthens the coherence and accountability of foreign assistance (Tarnoff 2018). Shadow-alignment, where donors publish their expenditure plans using the same timing, format, and classification as the government budget, strengthens coherence and accountability by aligning donor activities with government processes (McKechnie et al. 2012).

Stakeholder Integration in Project Design

The integration of local stakeholders in the design and implementation of foreign assistance projects is crucial for enhancing their effectiveness, coherence, sustainability, accountability, and local legitimacy. This approach ensures that projects are aligned with local priorities and managed by local actors, fostering ownership and responsiveness to community needs (Ahmad et al. 2016_1; OECD 2021; Hemsley et al. 2019). The involvement of local communities and civil society in project design and decision-making processes strengthens local legitimacy and ensures that interventions are relevant and sustainable (Saarinen et al. 2019; Ceccarelli 2018; Ahmad et al. 2016_1).

Organizational practices that prioritize local stakeholder engagement, such as participatory planning and frameworks like the Local Engagement Assessment Framework (LEAF), enhance the effectiveness and sustainability of foreign assistance by embedding projects

within local systems and ensuring local oversight (Ahmad et al. 2016_1; Ahmad et al. 2016_2). These practices facilitate the alignment of aid with national development plans and community priorities, reinforcing recipient ownership and accountability (Oxfam America 2022; Ahmad et al. 2016_1). The integration of civil society groups into government processes, as seen in the Philippines, strengthens the effectiveness and accountability of foreign assistance by improving transparency and reducing corruption (Ahmad 2015_1).

Governance mechanisms that involve local actors in decision-making processes, such as the establishment of local governance committees and participatory monitoring and evaluation, further strengthen local legitimacy and accountability by ensuring that projects are responsive to the expressed needs and preferences of affected populations (Ahmad et al. 2016_1; OECD 2023_2). The integration of local authorities and international organizations in project implementation and evaluation processes enhances both local legitimacy and accountability, as evidenced by the involvement of local authorities in targeting, distribution, and evaluation (Grasset 2014; Hemsley et al. 2019). The RING project, for example, identifies local governance structures as strengthening accountability by empowering local stakeholders to hold the donor or implementing partner accountable for project results (Ahmad et al. 2016_1).

The literature underscores the importance of systemic and meaningful inclusion of local stakeholders and civil society in foreign assistance efforts, which enhances local legitimacy and sustainability by fostering ownership and capacity building in recipient communities (USGLC 2021; Ahmad et al. 2016_1; Abdulrazak 2025; Anglade et al. 2019; Bardhan 2002; Bekker et al. 2018; Brainard 2007; Calleja et al. 2026; Cichocka et al. 2025; Cohen et al. 2016; Cornwall et al. 2004; Coulibaly et al. 2026; Degnan et al. 2019; Dunning et al. 2017; Gemsol Social 2025; Gilmour et al. 2026; Gingerich et al. 2015; Gorevan et al. 2020; Greener 2024; Gulrajani 2022; Gupta et al. 2016; Haldane et al. 2021; Horlings et al. 2018; Ingram et al. 2025; Jeune 2019; Kabeer 2015; Kouamou et al. 2008; Manlutac 2021; Manlutac 2022_2; McKechnie et al. 2012; Meara et al. 2015; OECD 2009_1; OECD 2012; OECD 2023_1; Oxfam 2019_1; Parrish et al. 2018_1; Patel 2025; Robillard et al. 2020; Robinson et al. 2024; Rust 2019; Saad et al. 2022; Sabel et al. 2008; Smith 1990_2; The US Government's Global Hunger and Food Security Initiative 2024; Tonny 2021; UN Summit for the Future 2024; USAID 2025; Vera et al. 2021; Wall et al. 2016; Walt et al. 1994; World Bank 1982). This approach not only aligns projects with local needs but also leverages local expertise and resources, ensuring that foreign assistance is both effective and sustainable. The integration of local knowledge and beneficiary involvement in the design, implementation, and evaluation of aid projects is repeatedly identified as a key factor in strengthening the sustainability, coherence, and local legitimacy of foreign assistance, suggesting that empowering local actors and aligning aid with local needs enhances project outcomes (Gibson et al. 2005; World Bank 1992).

The evaluation of Australian electoral assistance highlights the strengthening of electoral

management systems and promoting participation as organizational practices that enhance the effectiveness and inclusiveness of foreign assistance (OECD 2021). Additionally, the alignment of aid with national development plans and NDCs is identified as strengthening the effectiveness and coherence of foreign assistance, as it ensures that aid is directed towards recipient-defined priorities (Panwar et al. 2026). The integration of civil society in aid coordination mechanisms and policy development processes is crucial for strengthening democratic accountability and local legitimacy, as seen in Myanmar (Burnley et al. 2014).

The literature also identifies the importance of flexible and responsive institutional mechanisms, such as decentralized management and community-based resource management, in strengthening the effectiveness and sustainability of foreign assistance by allowing for adaptation to local conditions and fostering local ownership (World Bank 1992). The integration of systems thinking and community engagement in foreign assistance projects enhances both the effectiveness and local legitimacy of interventions by ensuring that diverse stakeholder perspectives are incorporated into decision-making processes (Johnson et al. 2018). Overall, the integration of local stakeholders in project design and implementation is a critical factor in enhancing the effectiveness, coherence, sustainability, accountability, and local legitimacy of foreign assistance.

Budget Support and Country Systems

The integration of budget support and the utilization of country systems are consistently recognized as pivotal mechanisms for enhancing the effectiveness, coherence, sustainability, accountability, and local legitimacy of foreign assistance. This alignment with national priorities facilitates increased public spending in critical sectors such as education and health, thereby directly contributing to poverty reduction and improved development outcomes (OECD 2021; Seery et al. 2019; Oxfam America 2022). By integrating donor funds with government finances, transparency and accountability are enhanced, while the use of country systems, including public financial management and procurement systems, bolsters recipient ownership and institutional capacity (OECD 2012; Adams et al. 2016; Oxfam America 2022).

The predictability and long-term nature of budget support are crucial for enabling effective planning and management by national governments, thereby enhancing the sustainability and accountability of foreign assistance (Seery et al. 2019; Oxfam America 2022). This predictability facilitates better alignment with national development strategies and supports the building of strong, accountable institutions (OECD 2009_1; Oxfam America 2022). However, the effectiveness of these mechanisms is contingent upon the quality of governance and institutional capacity within recipient countries. Donor practices should be adaptive, aligning with national development plans and engaging in dialogue with civil society to ensure that aid efforts are inclusive and responsive to local needs (Burnley et al. 2014; Oxfam America 2022).

Innovative financing models such as MASSIF and the Development Credit Authority (DCA)

further strengthen the effectiveness and sustainability of foreign assistance by providing risk capital and loan guarantees to support micro-entrepreneurs, SMEs, and agricultural sectors, thereby promoting private sector development and food security (Saarinen et al. 2019). These models demonstrate financial additionality by supporting high-risk markets and incentivizing private investment through guarantees against risk (Saarinen et al. 2019).

Direct funding to local entities, such as the allocation of Swedish ODA to the Tanzanian government and NGOs, enhances local legitimacy and accountability by empowering local entities and aligning with national development goals (Cohen et al. 2018). The use of general budget support (GBS) by Sweden and other donors has supported women's and girls' education and job opportunities, further enhancing local legitimacy (Cohen et al. 2018).

The literature underscores the importance of integrating aid into country systems and aligning it with national priorities to enhance effectiveness and local legitimacy. This approach reduces transaction costs and fosters local ownership, as evidenced by the use of country systems for aid delivery and the integration of IATI data with partner-country budget classifications (Parrish et al. 2018_2; Adams et al. 2016). Additionally, strengthening procurement and financial management systems is identified as a practice that enhances sustainability and accountability, particularly in IDA countries (Prizzon et al. 2026).

Institutional arrangements play a crucial role in strengthening foreign assistance through the use of country systems and the development of domestic environmental and social safeguard mechanisms, ensuring that development cooperation is inclusive, sustainable, and does not harm local communities (Oxfam America 2022). The commitment to use country systems and align aid with national development strategies, combined with efforts to reduce parallel implementation structures, collectively enhance institutional capacity and recipient ownership, thereby improving the sustainability and effectiveness of foreign assistance (OECD 2005_1).

Overall, the integration of budget support and country systems, along with innovative financing models and direct funding to local entities, are key strategies identified in the literature for enhancing the effectiveness, coherence, sustainability, accountability, and local legitimacy of foreign assistance.

Mutual Accountability Mechanisms

Mutual accountability mechanisms are pivotal in enhancing the effectiveness and sustainability of foreign assistance by fostering trust and shared responsibility between donors and recipients. These mechanisms are characterized by transparent reporting, shared goals, and joint assessments of progress, ensuring both parties are accountable for aid outcomes (OECD 2009_1; Saieh et al. 2017; Ahmad et al. 2016_1). Transparent processes, such as sharing analyses and aligning aid with local priorities, build trust and strengthen accountability and local legitimacy (Fanning et al. 2019; Saarinen et al. 2019).

The integration of civil society and local stakeholders in decision-making processes further enhances accountability by ensuring aid reflects local needs and priorities (Seery et al. 2019; Adams et al. 2016). Mechanisms like the Millennium Challenge Corporation's emphasis on country ownership and accountability for results exemplify how mutual accountability can lead to more effective and sustainable aid outcomes (Ahmad et al. 2016_1). Additionally, independent oversight bodies and transparent evaluation frameworks support accountability by providing objective assessments of aid effectiveness (OECD 2010; Siegel 2017). However, challenges remain in ensuring these mechanisms are adequately resourced and do not impose excessive burdens on local actors, highlighting the need for streamlined processes and capacity-building initiatives (Eyben 2008; Cohen et al. 2016). Proactive steps in financing and strategic planning, such as those by NWoW and UNDS Reform, are necessary to ensure inclusivity and diversity, thereby strengthening accountability and local legitimacy (Fanning et al. 2019). The need for clearer alignment of blended finance modalities to development effectiveness principles is also identified as a way to strengthen the effectiveness and accountability of foreign assistance (Seery et al. 2019). Mechanisms to select private partners should include strict due diligence for ensuring compliance with human rights laws, social and environmental standards, and development effectiveness principles, strengthening the effectiveness and accountability of foreign assistance (Ceccarelli 2018). Increased accountability to communities, as demonstrated in the World Vision tsunami response in Sri Lanka, is identified as a mechanism for improving efficiency and effectiveness (Parrish et al. 2018_2). The Joint Budgetary Review's recommendation to strengthen budgetary audits through accelerated judicial procedures and legal investigations into corruption cases aims to improve accountability and coherence in foreign assistance (Siegel 2017). Overall, mutual accountability mechanisms, when effectively implemented, can significantly enhance the coherence, sustainability, and local legitimacy of foreign assistance by embedding accountability and transparency into the core of aid relationships.

Humanitarian-Development-Peace Nexus

The humanitarian-development-peace nexus represents a pivotal framework for enhancing the effectiveness, coherence, and sustainability of foreign assistance by integrating humanitarian relief, development programs, and peacebuilding efforts. This comprehensive approach addresses vulnerabilities by ensuring immediate needs are met while simultaneously investing in long-term solutions to systemic issues such as conflict and vulnerability (Fanning et al. 2019; Burnley et al. 2014; Oxfam America 2022). By uniting technical, business, policy, funding, and management teams around a shared vision, the nexus approach fosters collaboration and expertise pooling, thereby strengthening the coherence and effectiveness of interventions (Fanning et al. 2019).

Multi-year funding and collaboration among humanitarian, development, and peace actors, as promoted by initiatives like the New Way of Working (NWoW), lead to more integrated and sustained interventions (Fanning et al. 2019). The 'One Programme Approach' by Oxfam exemplifies how balancing humanitarian, development, and campaigning efforts can

enhance the coherence and effectiveness of foreign assistance by intentionally linking these domains (Fanning et al. 2019). The integration of early warning and early action mechanisms within the nexus approach allows for adaptive management practices that address both immediate needs and systemic causes of conflict and vulnerability (Fanning et al. 2019).

Consortium-based programming and anticipatory action frameworks further strengthen foreign assistance by enabling rapid, context-specific responses to crises, thereby reducing response costs and protecting communities more effectively (Burnley et al. 2014; Robinson et al. 2024). The integration of Disaster Risk Reduction (DRR) into national development plans and the plans of departments and ministries at all levels of government strengthens the effectiveness and coherence of foreign assistance by ensuring coordinated and comprehensive disaster management strategies (Burnley et al. 2014).

The nexus approach emphasizes local leadership and governance, enhancing the sustainability and local legitimacy of foreign assistance by aligning interventions with local capacities and needs (Fanning et al. 2019). This is complemented by flexible financing models, such as the Emergency Trust Fund, which enable innovative pilot projects that integrate humanitarian, development, and peacebuilding activities (Oxfam 2023). The integration of humanitarian cash and voucher assistance (CVA) with government social protection systems is seen as a way to enhance the effectiveness, coherence, and sustainability of foreign assistance by aligning efforts towards equity, efficiency, and fairness (Saad et al. 2022).

Building trust, consensus, and mutual accountability is key to effective implementation and navigating political sensitivities and risks in working across humanitarian, development, and peace efforts (Fanning et al. 2019). Promoting conversations around nexus implementation at national, regional, and global levels, and bringing teams together to engage with and influence policy and implementation, are identified as organizational practices that strengthen the effectiveness and coherence of foreign assistance (Fanning et al. 2019). Strengthening and implementing existing national prevention strategies and approaches to sustain peace, and considering developing them where they do not exist, are identified as organizational practices that strengthen the effectiveness and sustainability of foreign assistance by addressing the root causes of violence and armed conflict (UN Summit for the Future 2024).

The nexus approach's focus on gender justice and inclusion in peace processes is identified as strengthening the sustainability of foreign assistance by ensuring that interventions address root causes of inequality and empower women and girls, contributing to more durable peace agreements and development outcomes (Fanning et al. 2019). The integration of gender-based analysis across all aid strategies and the investment in stand-alone programming that addresses structural gender inequalities are identified as institutional arrangements that strengthen the coherence and sustainability of foreign

assistance (Sarosi et al. 2019).

Overall, the nexus approach's comprehensive integration of diverse efforts ensures that foreign assistance is more effective, coherent, and sustainable, addressing both immediate and long-term challenges in vulnerable contexts. This integration is further supported by anticipatory action frameworks, which strengthen the effectiveness and sustainability of foreign assistance by providing proactive responses to predictable hazards (Pearson et al. 2025).

Feedback Mechanisms in Aid Delivery

Feedback mechanisms are integral to enhancing the accountability and local legitimacy of foreign assistance by embedding local voices into program design and implementation (Baldoumas et al. 2025; Manlutac 2022_1; Manlutac et al. 2024). These mechanisms prioritize the preferences of affected populations, thereby reinforcing accountability (Fanning et al. 2019; Ahmad et al. 2016_1; Ceccarelli 2018). The establishment of local governance committees and the training of facilitators facilitate ongoing feedback, ensuring programs remain responsive to community needs (Ahmad et al. 2016_1; Ahmad et al. 2016_2). Grievance mechanisms and stakeholder committees empower local stakeholders to influence project adaptation, thereby enhancing local legitimacy (Ahmad et al. 2016_1; Ahmad et al. 2016_2; Ahmad 2015_2).

Transparency and community consultation are critical in strengthening accountability and legitimacy. Mechanisms such as transparent bidding processes and competitive procurement frameworks ensure projects are cost-effective and aligned with local expectations (Foster et al. 2026; Ceccarelli 2018). Participatory approaches, such as those employed by Oxfam, involve regular stakeholder gatherings and feedback loops, allowing communities to influence strategies and policies, thereby enhancing coherence and legitimacy (Oxfam America 2022; Gorevan et al. 2020).

Digital tools and systematic data collection contribute to accountability by improving transparency and compliance with donor requirements. The adoption of digital financial systems and ERP tools by local NGOs enhances data accuracy and real-time reporting, which are crucial for maintaining donor trust and community confidence (Abdulrazak 2025). Strengthened internal compliance systems in LNNGOs improve accountability and local legitimacy by meeting pooled fund requirements and enhancing transparency and efficiency in grant management and reporting (Abdulrazak 2025).

Two-way feedback and monitoring mechanisms are essential for adaptability, allowing programs to be quickly adjusted based on community input (Robinson et al. 2024; Smart et al. 2022). This adaptability is further supported by community-based monitoring boards and safe programming approaches, which ensure interventions are responsive to the needs of marginalized groups (Smart et al. 2022; Meara et al. 2015). Mechanisms for citizen and civil society participation in planning and budgeting of climate adaptation and mitigation

actions also strengthen accountability and local legitimacy (Gemsol Social 2025; McKechnie et al. 2012; OECD 2009_1).

The involvement of local actors in planning and decision-making processes fosters a sense of ownership and accountability, bypassing potential corruption and ensuring projects are sustainable and aligned with community priorities (Ahmad et al. 2016_2; Said-Foqahaa et al. 2020). Understanding the needs and expectations of those affected by conflict and disasters strengthens the effectiveness of foreign assistance, as opposed to merely having big budgets (Wall et al. 2016). The SIDS Perceptions Survey supports learning and implementation by providing a granular understanding of international community priorities, thereby strengthening the effectiveness and local legitimacy of foreign assistance (Panwar et al. 2026).

Finally, investing in holistic capacity sharing and strengthening, including leadership development and compliance readiness, enhances institutional capacity and sustainability (Abdulrazak 2025). Governance mechanisms such as co-created monitoring frameworks balance donor compliance with the practical realities of LNNGOs, enhancing accountability (Abdulrazak 2025). Overall, these feedback mechanisms not only enhance the effectiveness of foreign assistance but also ensure that it is accountable and legitimate in the eyes of local communities.

Fair Tax Systems and Revenue Mobilization

The integration of fair tax systems and domestic revenue mobilization (DRM) is crucial for enhancing the effectiveness and sustainability of foreign assistance by bolstering domestic resources and supporting long-term development objectives. Fairer tax systems that avoid disproportionately burdening average taxpayers contribute to gender equity and reduced inequality, thereby strengthening DRM (Sarosi et al. 2019; Seery et al. 2019). Aid directed at fortifying tax systems enhances DRM, which can lead to increased public health expenditures and reduced inequality, thus improving the sustainability of foreign assistance (Seery et al. 2019; Siegel 2017). Reforming outdated tax rules and closing loopholes for the wealthiest entities further supports DRM by increasing domestic revenue in developing countries (Seery et al. 2019).

Donor support should prioritize ensuring that short-term revenue pressures do not result in poor policy decisions, advocating for an equitable revenue composition to enhance the effectiveness and sustainability of foreign assistance (Seery et al. 2019). Technical assistance and capacity building for tax authorities, as demonstrated in Mali and other contexts, are essential organizational practices that enhance the effectiveness and coherence of foreign assistance by ensuring fair and effective public resource collection (Siegel 2017; Cohen et al. 2023).

The digitization and modernization of fiscal services, exemplified by France's project in Mopti, improve tax compliance and financial management, thereby strengthening the

effectiveness and accountability of local governance (Siegel 2017). Initiatives such as the Addis Tax Initiative and the Platform for Collaboration on Tax promote the catalytic role of DRM, enhancing the sustainability and accountability of foreign assistance by reducing dependency on external aid (Majale et al. 2025; Cohen et al. 2023).

Furthermore, integrating gender equality objectives into fiscal policy and aligning tax and spending policies with care and climate investments are identified as strategies that strengthen the sustainability and local legitimacy of foreign assistance (Grown et al. 2025_2). These approaches ensure that foreign assistance aligns with citizens' demands and supports inclusive economic growth, thereby enhancing its effectiveness and sustainability (Adams et al. 2016; Bokpin et al. 2025).

Local Actor Engagement

Engaging local actors is a pivotal strategy for enhancing the effectiveness and legitimacy of foreign assistance, as it empowers communities and aligns aid with local priorities. This engagement is achieved through participatory governance, capacity building, and the integration of local knowledge into project design and implementation. Participatory approaches, such as involving local communities in decision-making and project management, consistently enhance the effectiveness and sustainability of aid by ensuring interventions are culturally appropriate and aligned with local values (World Bank 1992; Ahmad et al. 2016_1). Capacity building for local actors, including training in proposal writing and financial management, bolsters institutional capacity and sustainability, enabling local entities to manage resources and projects effectively (Manlutac 2021; Ahmad et al. 2016_2). Furthermore, decentralizing decision-making to local offices and simplifying procurement processes increase local ownership and legitimacy by reducing bureaucratic barriers and empowering local stakeholders (Ingram et al. 2025; Ahmad et al. 2016_2).

Partnerships with local organizations, such as NGOs and community groups, further strengthen local legitimacy by leveraging local expertise and fostering trust within communities (Banks et al. 2015; Vera et al. 2021). These partnerships ensure that aid interventions are responsive to local needs and priorities, thereby enhancing their impact and sustainability. Co-financing arrangements and the use of local procurement systems align aid with local economic activities, promoting sustainability and local ownership (Dunning et al. 2017; Ahmad et al. 2016_1). Engaging international NGOs (INGOs) and civil society in country-level debates strengthens the effectiveness and local legitimacy of foreign assistance by ensuring that country offices are inclusive, gender-sensitive, and contextually appropriate (Fanning et al. 2019).

Incorporating community participation in sectors such as tourism and environmental management has been shown to strengthen the effectiveness and sustainability of foreign assistance by ensuring consensus and community support (Tosun 2000). However, the results of decentralization efforts have been mixed, indicating that while decentralization can empower local actors, it does not always lead to improved outcomes (Tosun 2000).

Improved communication practices, such as disseminating comprehensible information, can enhance local legitimacy and participation (Tosun 2000).

The integration of local governance structures into project planning and execution enhances accountability and sustainability (Ahmad et al. 2016_1). Participatory mechanisms for coordination and harmonization strengthen the effectiveness and local legitimacy of foreign assistance by involving local actors in decision-making processes (Anglade et al. 2019). The High Quality Rose Farming Partnership in Ethiopia, supported by the Netherlands DGGF, illustrates how creating jobs and transferring skills can enhance local legitimacy and sustainability (Saarinen et al. 2019).

The Development Credit Authority (DCA) strengthens foreign assistance by embedding agricultural loan guarantees into country plans and collaborating with local financial institutions to improve access to finance for agricultural SMEs (Saarinen et al. 2019). USAID's alignment with Ghana's investment plan in the Feed the Future strategy demonstrates coherence and local legitimacy (Saarinen et al. 2019). OPIC's screening of partners on human rights and ESG standards strengthens accountability and local legitimacy (Saarinen et al. 2019).

Investment in public health and education systems, coupled with social protection, reduces economic and gender inequality, strengthening the effectiveness and local legitimacy of foreign assistance (Seery et al. 2019). Multilateral funding through the Global Partnership for Education has increased trained teachers, enhancing education effectiveness and legitimacy (Seery et al. 2019). Aid-backed projects like the Alliance for Change in Education in Ghana enable access to quality education in remote areas (Seery et al. 2019).

Supporting civil society groups and women's organizations, and preventing the closure of civic space, ensures aid tackles poverty and inequality effectively (Seery et al. 2019). Core and multi-year funding accessible to smaller organizations strengthens the effectiveness and local legitimacy of foreign assistance (Seery et al. 2019). The AVANSE project in Haiti demonstrates how training and direct market access agreements can enhance local legitimacy and economic sustainability (Anglade et al. 2019). Monitoring and evaluation measures involving local authorities and communities strengthen local legitimacy (Saarinen et al. 2019).

Organizational practices that strengthen effectiveness and local legitimacy can be undermined by the visitor's inability to engage with the local population meaningfully, as visits are often controlled by officials and focused on formal actions and physical objects (Chambers 2014). The prevalence of lawyers and social workers within UNHCR reinforces particular narratives of rights and vulnerability, limiting engagement with politics and the implications of statistics, which affects the effectiveness and coherence of foreign assistance (Landau et al. 2017). Long-term systems to regulate and improve resilience in response to displacement would strengthen the effectiveness and sustainability of foreign assistance, as

opposed to crisis-driven policy responses (Landau et al. 2017).

Governments that respect civil liberties, uphold the rule of law, honor contracts, and resist corruption are identified as strengthening the effectiveness and accountability of foreign assistance (Woolcock et al. 2000). Group-based credit programs, such as the Grameen Bank, strengthen the effectiveness and local legitimacy of foreign assistance by using social capital within small peer groups to provide loans to poor women, enabling them to start or expand small businesses and improve their welfare (Woolcock et al. 2000). Solidarity networks among poor entrepreneurs in Africa reduce risk and uncertainty by exchanging personal information about members' conduct and intentions, thereby strengthening the effectiveness and sustainability of their enterprises (Woolcock et al. 2000).

Overall, the engagement of local actors in foreign assistance not only enhances the effectiveness and legitimacy of aid but also fosters long-term development by building local capacities and ensuring that aid interventions are grounded in local realities. The literature suggests that NGOs should step back and see themselves in a different light, becoming more supportive of the independent action of more embedded groups in the societies where they work, to strengthen the effectiveness and local legitimacy of foreign assistance (Banks et al. 2015).

Equitable Localization

Equitable localization in foreign assistance is a comprehensive strategy that enhances the effectiveness and local legitimacy of aid by aligning it with the specific priorities and needs of local communities. This approach underscores the importance of local leadership and ownership, ensuring that aid interventions are both context-specific and sustainable (Fanning et al. 2019; Ahmad et al. 2016_1). The New Ways of Working (NWoW) and the Comprehensive Refugee Response Framework (CRRF) illustrate how local governance and community participation can bolster the legitimacy and sustainability of aid efforts. Country-based pooled funds (CBPFs) and initiatives like USAID's Local Solutions further advance localization by directing resources to local actors, thereby increasing their control over aid processes (Ahmad et al. 2016_1; Fanning et al. 2019).

Localization also involves fostering equitable partnerships between international and local actors, which enhances coherence and accountability in aid delivery (O'Neil et al. 2015; Abdulrazak 2025). These partnerships are reinforced through capacity building and shared decision-making, empowering local actors to lead and sustain development initiatives (Ahmad et al. 2016_1; Abdulrazak 2025). The integration of local actors into decision-making processes, as demonstrated by the Start Network's member-led funding decisions, exemplifies how localization can enhance the effectiveness and sustainability of foreign assistance (Manlutac 2021).

Furthermore, localization strategies that incorporate community-driven approaches and support local governance structures are crucial for fostering local legitimacy and

sustainability (Ayele 2014; Ahmad et al. 2016_1). Initiatives that focus on building local capacities, such as training communities to manage resources and infrastructure, ensure that aid interventions are maintained beyond the duration of external funding (Ayele 2014; Ahmad et al. 2016_1). By prioritizing local leadership and aligning aid with local contexts, equitable localization not only enhances the immediate impact of foreign assistance but also contributes to long-term development outcomes.

What reforms to the institutional design, financing architecture, governance arrangements, organizational structures, and decision-making processes of foreign assistance does the literature propose, what problems are these reforms intended to address, and what principles underpin them?

Question Overview

The literature on foreign assistance reforms identifies several key areas for improvement, each addressing specific challenges and guided by distinct principles. Localization and local leadership reforms aim to empower local actors by shifting resources and decision-making to enhance sustainability and effectiveness, while financial architecture reforms focus on innovative financing and sustainable debt management to address aid volatility and economic inequality. Transparency and accountability reforms emphasize data accessibility and stakeholder involvement to combat governance issues, whereas gender equality reforms integrate feminist principles to address systemic inequalities and empower women. Environmental sustainability reforms prioritize long-term investments and climate finance to align development efforts with ecological goals. Finally, the literature highlights discursive conflicts in foreign assistance, with debates over geopolitical objectives versus humanitarian principles, and the need for integrated approaches that bridge humanitarian, development, and peacebuilding goals. These themes collectively propose a more equitable, sustainable, and effective foreign assistance system.

Localization and Local Leadership

Reforms centered on localization and local leadership in foreign assistance are designed to empower local actors by transferring power, resources, and decision-making authority from international to local entities. This approach addresses the unsustainable dependency on international donors and aims to bolster local humanitarian leadership (Abdulrazak 2025). A key component of these reforms is the increase in direct funding to local actors, which seeks to circumvent the inefficiencies linked with international intermediaries and enhance local ownership and capacity (Modernizing Foreign Assistance Network 2024; Cohen et al. 2016; Gingerich et al. 2015). These changes are grounded in the principles of localization, which stress the alignment of aid with local priorities and systems to ensure sustainability and effectiveness (Ahmad et al. 2016_1; Oxfam America 2022; Adams et al. 2016).

The reforms also emphasize strengthening local capacity through institutional support and capacity-building initiatives, which are essential for enabling local actors to manage resources and lead humanitarian responses effectively (Parrish et al. 2018_1; Cohen et al. 2016). This involves not only financial support but also the development of local governance structures and decision-making processes that prioritize local leadership and accountability (Ahmad et al. 2016_1; Gingerich et al. 2015; Ahmad 2015_1; Ahmad 2015_2). The literature suggests that development agencies should focus on identifying and prioritizing the most critical capabilities, knowledge, or structures necessary for effective action over the medium term, as the traditional model of development cooperation becomes increasingly outdated (Calleja et al. 2026).

Furthermore, the literature underscores the necessity of integrating local actors into decision-making processes to ensure that aid interventions are responsive to local needs and contexts (Cohen et al. 2016; Ahmad et al. 2016_1; Ahmad et al. 2016_2). This includes establishing locally managed funding mechanisms and involving local stakeholders in planning and implementation to enhance transparency, accountability, and local legitimacy (Manlutac et al. 2024; Oxfam America 2022). The proposal for AVANSE to provide Kreyòl materials on project results, risks, and constraints to local actors and stakeholder institutions addresses the issue of insufficient local accountability and transparency, supported by the principle of localization (Anglade et al. 2019).

However, these reforms encounter challenges such as bureaucratic fragmentation and donor-driven agendas, which can impede the effective implementation of localization strategies (Cohen et al. 2016; Gingerich et al. 2015). Overcoming these challenges requires a comprehensive approach that includes simplifying financial reporting requirements, reducing bureaucratic barriers, and fostering equitable partnerships between international and local actors (Cohen et al. 2016; Gingerich et al. 2015). The NWoW and UNDS Reform propose proactive measures in financing and strategic planning to address the lack of inclusivity and diversity in the current aid system (Fanning et al. 2019). The literature advocates for a 'Common African Position on Implementing Agenda 2063 and SDGs' as a reform to tackle the problem of fragmented implementation efforts, underpinned by the principle of African ownership and leadership in sustainable development (Alden 2017). Additionally, the Capacity Building Project in Orissa highlights the importance of restructuring institutional designs to support community involvement and legal access to resources, addressing the issue of community engagement in resource management (Gibson et al. 2005). Ultimately, the success of localization reforms hinges on the commitment of international donors and organizations to genuinely shift power and resources to local actors, thereby fostering a more sustainable and effective humanitarian system (Aloudat et al. 2022).

Financial Architecture and Sustainability

Reforms in the financial architecture of foreign assistance are designed to enhance sustainability and efficiency through innovative financing mechanisms, flexible funding, and sustainable debt management. These reforms integrate humanitarian and development efforts via a nexus approach, addressing aid volatility and siloed funding by advocating for pooled funds and multi-year financing (Fanning et al. 2019; Modernizing Foreign Assistance Network 2024). The World Bank's framework around the triple nexus, which includes increased funding for rapid response and disaster planning, aims to mitigate aid volatility and bolster institutional capacity in fragile contexts (Fanning et al. 2019). Similarly, the EU's proposal for a single financial instrument seeks to streamline fragmented financial instruments and align foreign policy with development needs (Fanning et al. 2019).

Debt management reforms focus on avoiding aid modalities that exacerbate debt distress, promoting grants and concessional mechanisms to prevent over-indebtedness (Seery et al. 2019). Donors are encouraged to intensify efforts to alleviate debt burdens through restructuring and cancellation, addressing the issue of over-indebtedness in developing countries (Seery et al. 2019). The Bridgetown Initiative calls for systemic reforms in international finance to meet climate and development goals, advocating for equitable governance and increased access to concessional financing (Bridgetown Initiative n.d._1). This includes expanding credit enhancement capacity and integrating resilience investments into macrofiscal frameworks to improve debt sustainability and attract private capital (Bridgetown Initiative 2025_1).

Innovative financing, such as blended finance, is approached with caution, emphasizing the need for evidence-based results to ensure development and financial additionality (Saarinen et al. 2019). The MASSIF program proposes reforms by offering risk capital and medium- and long-term debt to financial intermediaries, addressing limited access to finance for micro-entrepreneurs, SMEs, and lower-income households in developing countries (Saarinen et al. 2019). Integrating private sector investment into development cooperation is proposed to leverage additional resources, though it requires alignment with sustainable development objectives (Ceccarelli 2018). Reforms to the criteria and safeguards defining ODA eligibility for private sector instruments (PSIs) are suggested to ensure that market-like operations are not improperly counted as ODA (Saarinen et al. 2019).

The literature also emphasizes mobilizing additional resources through tax reforms and fair trade rules to address economic injustices and enhance domestic revenue mobilization (Seery et al. 2019). Proposed reforms include shifting donor support from narrow technocratic reforms to addressing underlying challenges in building fair revenue systems, such as excessive tax incentives and lack of taxes on wealth (Seery et al. 2019). The UN Summit for the Future 2024 proposes reforms to strengthen the international financial architecture to better support developing countries during systemic shocks, aiming to stabilize the financial system.

Reforms also advocate diversifying funding sources to reduce dependency on traditional donors, thereby increasing local control and sustainability (Khan 2003). This involves exploring social movement building within countries and focusing on domestic partnerships to create a more sustainable and independent development ecosystem (Khan 2003). Additionally, the literature suggests that African governments should build alliances with countries like China for trade rather than negotiating access to Western markets, addressing the issue of closed Western markets (Whiteside 2010). Encouraging African governments to borrow from international capital markets aims to reduce aid dependency and promote accountability to investors (Whiteside 2010).

The creation of a new MDB asset class through innovative financial structures like hybrid bonds and securitizations is intended to mobilize private capital at scale by leveraging MDBs' unique attributes, such as high bond ratings and official backing, while maintaining their development mandate (Humphrey et al. 2026_1). Reforms such as the introduction of non-voting shares and hybrid bonds are proposed to increase MDB lending capacity, addressing financial constraints while ensuring governance integrity and development mandates are not compromised, highlighting a balance between financial innovation and maintaining MDBs' core mission (Humphrey et al. 2026_1).

Overall, these reforms aim to create a more resilient and equitable foreign assistance system by enhancing funding flexibility, promoting innovative financing, and ensuring sustainable debt management. They address interconnected challenges of aid volatility, economic inequality, and climate vulnerability. The literature underscores the need for a systematic and broadly agreed approach to PCT to help MDBs, borrower governments, and private sector actors understand the conditions under which MDBs can mobilize for sovereign lending, emphasizing the importance of clear guidelines and consensus among official creditors to protect MDB loans in sovereign defaults (Humphrey et al. 2026_2).

Transparency and Accountability

Efforts to enhance transparency and accountability in foreign assistance are primarily directed towards improving data accessibility, increasing stakeholder involvement, and adhering to international standards to mitigate governance and corruption issues. A significant aspect of these reforms is the mandate for foreign assistance agencies to publish data regularly, exemplified by quarterly reports on [Foreignassistance.gov](https://www.foreignassistance.gov), which aim to bolster transparency and accountability (Modernizing Foreign Assistance Network 2024). The adoption of international standards, such as the International Aid Transparency Initiative (IATI), is crucial for ensuring traceability and consistency in aid reporting (Cohen et al. 2018; Parrish et al. 2018_2). USAID's reforms, which include revising procurement and accountability rules, strengthening its workforce, and empowering foreign service national staff, are designed to enhance the agency's effectiveness and impact (Modernizing Foreign Assistance Network 2024).

Stakeholder involvement is emphasized as a critical component, with reforms advocating for increased local participation and accountability in aid programs. This involves developing qualitative accountability tools to support equitable partnerships and ensure that funding mechanisms align with local priorities (Parrish et al. 2018_1). The literature stresses the importance of aligning aid with national development strategies and ensuring that private sector involvement remains transparent and accountable (Ceccarelli 2018). Additionally, reforms such as appointing a Senior Director of International Development and Humanitarian Response to the National Security Council and establishing an International Development and Humanitarian Response Interagency Coordinating Council aim to address bureaucratic fragmentation by enhancing coordination and coherence across agencies (Modernizing Foreign Assistance Network 2024).

To further transparency and accountability, reforms propose increasing the generation of quality evidence, including ex-post and impact evaluations, to inform policy and programming decisions (Modernizing Foreign Assistance Network 2024). The integration of digital technologies, such as distributed ledger technologies (DLTs), is suggested to improve transparency and efficiency in aid delivery (Rust 2019). The creation of the US International Development Finance Corporation (DFC) seeks to address bureaucratic fragmentation by consolidating DCA and OPIC into a single entity with greater capitalization and authority to make equity investments (Saarinen et al. 2019).

The literature underscores the principle of transparency and independence in evaluation processes to ensure credibility and impartiality, addressing issues of bias and conflict of interest (OECD 2010). Proposed governance reforms emphasize the importance of transparency and accountability, recommending that aid should be untied and that donors adhere to international standards and principles to ensure aid effectiveness and minimize geopolitical influences (Oxfam America 2022). The Paris Declaration and Accra Agenda for Action collectively propose a comprehensive reform agenda that includes harmonization, alignment, and mutual accountability, aiming to tackle challenges of aid fragmentation, unpredictability, and insufficient progress towards development goals (OECD 2009_1).

Overall, these reforms are grounded in principles of transparency, accountability, and stakeholder engagement, striving to create a more effective and equitable foreign assistance system responsive to the needs of recipient countries and communities. The literature suggests that reforms should focus on reducing bureaucratic fragmentation and improving coordination among donors and recipient countries, which involves creating unified national strategies and single interlocutors to streamline aid processes and enhance coherence and accountability (Ayoub et al. 2018). Additionally, the importance of strengthening both internal and external accountability mechanisms, such as government departments, local authorities, and civil society organizations, is highlighted to ensure transparent management of public finances and promote democratic ownership of development, addressing issues of corruption and financial mismanagement (Siegel 2017).

Gender Equality and Women's Empowerment

The integration of gender equality and women's empowerment into foreign assistance strategies is increasingly recognized as a critical component for addressing systemic gender inequalities and fostering inclusive development. Central to these reforms is the adoption of a feminist aid agenda, which aims to transform unequal power relations and dismantle discriminatory social norms that perpetuate women's poverty and marginalization (Sarosi et al. 2019). This agenda underscores the necessity of embedding gender-focused initiatives within aid strategies, advocating for mandatory gender-based analysis across all aid frameworks and programming to ensure that gender equality is a foundational element of development efforts (Sarosi et al. 2019).

A pivotal aspect of these reforms is the prioritization of women's rights organizations (WROs) and women's leadership in decision-making processes. This involves securing long-term, predictable funding for WROs to counteract donor-driven agendas and power imbalances, thereby enhancing women's agency and participation in program design and implementation (Sarosi et al. 2019). The literature also emphasizes the importance of integrating intersectionality into aid strategies, which involves centering marginalized women in decision-making and ensuring resources for feminist movements (Sarosi et al. 2019).

Moreover, reforms propose a twin-track approach that combines dedicated resources for women's rights with the mainstreaming of gender across all sectors. This strategy aims to tackle the structural causes of gender inequality and ensure that aid strategies are both gender-transformative and effective in reducing inequality (Sarosi et al. 2019). Additionally, the literature calls for reforms in tax systems to eliminate gender biases and promote women's economic empowerment, such as through tax exemptions for asset transfers to women (Sarosi et al. 2019).

The literature further suggests that reforms should prioritize community-based and transformative approaches in peace processes to address the root causes of fragility and inequality, grounded in principles of inclusion and gender justice (Fanning et al. 2019). Italy's draft guidelines on gender equality and women's empowerment propose that a significant portion of aid should be allocated to specific initiatives on gender equality, addressing the problem of insufficient focus on gender equality (Sarosi et al. 2019).

Reforms to aid strategies and programs by foregrounding inequality are also proposed, addressing economic and gender inequality as significant barriers to poverty reduction (Sarosi et al. 2019). The literature emphasizes the need for reforms that integrate gender-equality goals into performance management systems to cultivate high-level leadership and ensure aid agencies fully understand, own, and integrate a feminist approach (Sarosi et al. 2019).

Reforms also advocate for revitalizing public investment in agriculture, targeted at the

needs of small-scale producers, especially women, to address the problem of blended finance not being suitable for the most marginalized (Saarinen et al. 2019). Recommendations for ensuring blended finance in agriculture achieves development impact include requiring ex ante forecasts with a theory of change, demonstrating shared development objectives with private investors, and ensuring gender-sensitive projects (Saarinen et al. 2019).

Overall, these reforms are underpinned by principles of transformative change, gender justice, and intersectionality, aiming to create a more equitable and inclusive global development framework that effectively addresses the root causes of gender inequality and empowers women as agents of change. The literature calls for a holistic approach to women's empowerment in disaster management, combining promotional strategies like gender quotas with sustaining strategies such as professionalization and community-managed funds to ensure long-term leadership roles for women (Canali De Castro et al. 2026).

The literature also highlights the need for a stronger accountability framework for tracking funding and measuring progress on gender equality and women's empowerment, addressing the problem of limited incentives for donors to contribute to gender equality results (OECD 2012).

Environmental Sustainability

Reforms in foreign assistance are increasingly emphasizing the integration of environmental sustainability into development policymaking and financing structures to combat environmental degradation and promote sustainable development. Prioritizing long-term investments in regions prone to recurrent crises, as exemplified by Oxfam's strategic focus on resilient development, addresses the limitations of short-term humanitarian interventions by emphasizing resilience-building before crises occur (Fanning et al. 2019; Cohen et al. 2016; Gingerich et al. 2015). The development of a framework for measuring progress on sustainable development, intended to complement and surpass GDP metrics, seeks to rectify the inadequacy of current indicators, advocating for a balanced and integrated approach (UN Summit for the Future 2024).

In agricultural finance, reforms advocate for public funding to support ecologically sustainable practices and empower small-scale producers, thereby addressing environmental degradation and promoting inclusive agricultural transformation (Saarinen et al. 2019). The integration of climate adaptation into agricultural strategies is highlighted to enhance resilience and productivity amid climate change (The US Government's Global Hunger and Food Security Initiative 2024). The Dutch ODA strategy for agriculture incorporates reforms targeting gender inequality and climate finance, suggesting a holistic approach that combines increased investment in female smallholder farmers with the need for additional climate finance beyond existing ODA commitments (Hooijer et al. 2017).

Reforms in the financial architecture propose increasing climate finance, with initiatives like the Bridgetown Initiative advocating for a more responsive and inclusive global financial system to support climate transition and the Sustainable Development Goals (Bridgetown Initiative n.d._1). This includes proposals for innovative financing mechanisms such as carbon taxes and solidarity levies to generate predictable funding streams for climate action (Bridgetown Initiative n.d._2). The Bridgetown Initiative also suggests reforms to the IMF-World Bank Debt Sustainability Framework to treat climate and nature resilience investments as productive investments, addressing their current treatment as consumptive expenditure (Bridgetown Initiative 2025_1).

The integration of disaster risk reduction into national development plans is proposed to address fragmented disaster management efforts, emphasizing comprehensive and integrated planning (Burnley et al. 2014). The establishment of a National Council of Disaster Management and Disaster Management Centre in Sri Lanka, as part of the Disaster Management Act, addresses the need for coordinated disaster preparedness and response (Ayele 2014). The literature also calls for reforms to ensure that climate finance is additional to existing aid commitments, addressing aid diversion and ensuring a balanced allocation of resources (Oxfam America 2022).

Overall, these reforms are grounded in principles of sustainability, resilience, and inclusivity, aiming to align foreign assistance with environmental protection goals and ensure that development efforts contribute to long-term environmental and social well-being. The Post-2015 Development Agenda proposes reforms to include climate change mitigation and address inequality globally, aiming to produce a universal set of objectives that tackle pressing global challenges such as gender injustice and economic inequality (Alden 2017).

Conflict

The discourse on foreign assistance reforms is marked by significant conflicts, particularly regarding the integration of geopolitical objectives with development goals. One prominent viewpoint advocates for modernizing foreign assistance to align with broader geopolitical strategies, emphasizing reforms that enhance strategic impact and coherence with national interests (Modernizing Foreign Assistance Network 2024; US Global Leadership Coalition 2025). This perspective often supports the integration of development aid with security and defense strategies, reflecting a prioritization of geopolitical over purely developmental objectives (US Global Leadership Coalition 2025; Kumar et al. 2025). The EU's introduction of new funding instruments, such as the EU Trust Fund for Africa, aims to address geopolitical prioritization by focusing resources on strategic regions (Fanning et al. 2019).

Conversely, another perspective criticizes the politicization of aid, advocating for reforms that prioritize poverty reduction and humanitarian principles over geopolitical agendas. This view stresses the importance of aid remaining impartial, needs-based, and independent of donor countries' political and commercial interests (Seery et al. 2019;

Hemsley et al. 2019; Oxfam America 2022). Proponents of this approach argue for a depoliticized aid framework that aligns with the OECD/DAC Principles for Good International Engagement in Fragile States (Oxfam America 2022). The literature also suggests that reforms should focus on limiting the role of conditionality in foreign assistance, emphasizing mutually agreed accountability and outcome-based conditions (Oxfam America 2022).

A third perspective centers on the humanitarian-development-peace nexus, advocating for integrated approaches that address the fragmentation of aid responses. This approach calls for reforms in financing mechanisms and institutional design to support coherent, locally-led interventions that bridge immediate humanitarian needs with long-term development and peacebuilding goals (Fanning et al. 2019; Saarinen et al. 2019). The DAC recommendation proposes reforms such as better coordination across the nexus and predictable, flexible, multi-year financing to address the problem of siloed funding modalities and aid volatility (Fanning et al. 2019).

Additionally, there is a critical discourse on the localization agenda, which seeks to decentralize decision-making and empower local actors. Critics argue that current reforms do not sufficiently transform power dynamics and may co-opt local actors into existing flawed systems, suggesting a need for deeper structural changes to truly empower local communities (Robillard et al. 2020; Slim 2020). The literature highlights a tension between the rhetoric of localization in humanitarian aid and the actual transfer of power and resources to local actors, which is partly attributed to systemic racism and the preservation of white privilege in the international humanitarian system (Slim 2020).

These conflicting perspectives underscore the ongoing debate over the purpose and implementation of foreign assistance, with tensions between strategic geopolitical interests and the principles of humanitarianism and development effectiveness remaining unresolved. The literature suggests that reforms should focus on aligning aid with recipient countries' priorities and using their financial systems to enhance aid effectiveness, thereby addressing issues of donor-driven agendas and improving local ownership and institutional capacity (Seery 2020; Prizzon et al. 2026).

What contextual conditions—including political, institutional, financial, organizational, social, security, and economic conditions—does the literature identify as enabling proposed or attempted foreign-assistance reforms to be implemented, sustained, or scaled, and what conditions cause them to stall, become symbolic, or fail?

Question Overview

The literature identifies a range of contextual conditions that influence the implementation, sustainability, and scaling of foreign-assistance reforms. Political and institutional stability, characterized by mature governance and leadership commitment, is crucial for successful reform, while instability and weak institutions often lead to stalled or failed initiatives. Economic conditions, including financial stability and effective resource management, are pivotal, with economic instability and dependency on foreign aid posing significant challenges. Social and security conditions, such as community engagement and conflict, also play a critical role, with social cohesion and security threats impacting reform outcomes. Additionally, geopolitical influences and strategic interests can overshadow developmental goals, causing reforms to become symbolic or fail. Enabling strategies, such as strategic partnerships and integrated approaches, are essential for overcoming barriers and ensuring the success of foreign-assistance reforms. The interplay of these factors creates a complex environment where adaptive and context-sensitive approaches are necessary for effective reform implementation.

Political and Institutional Conditions

The successful implementation and sustainability of foreign-assistance reforms are heavily contingent upon political stability and institutional maturity. Stable political environments provide the governance frameworks and leadership necessary for effective reform execution (Child et al. 2014; OECD 2009_1). In contrast, political instability, characterized by ongoing conflicts or authoritarian regimes, often results in stalled or failed reforms due to disrupted governance and insufficient institutional support (Fanning et al. 2019; Baudot 2015). Institutional maturity, marked by transparency and efficiency, is crucial for maintaining reform momentum even amidst political instability (Child et al. 2014; OECD 2009_1). However, fragile states with weak institutional capacities face challenges in developing and implementing results-driven strategies, highlighting the need for capacity development as a critical enabling condition (OECD 2009_1; Bräutigam et al. 2004). Political will and leadership commitment are also vital, as they align reforms with national priorities and ensure accountability (Ahmad 2015_2; Alden 2017).

In environments where political and institutional conditions are unfavorable, reforms risk becoming symbolic or failing, underscoring the necessity for adaptive strategies that account for local political dynamics and institutional capacities (OECD 2009_1; Fanning et al. 2019). The emergence of authoritarian regimes and malign influences necessitates direct

support for local civil society actors to foster accountable, inclusive governance and effective democratic reforms (Modernizing Foreign Assistance Network 2024). Additionally, the politicization of humanitarian aid due to counter-terrorism regulations and sanctions complicates negotiations and localizations, causing reforms to stall (Fanning et al. 2019). The interplay between political stability, institutional maturity, and leadership commitment is fundamental to the effective implementation of foreign-assistance reforms.

Geopolitical contexts, such as the Cold War, have historically shaped aid allocation, often prioritizing strategic interests over developmental goals (Sewell et al. 2017; Khadka 1997). Geopolitical framing and historical narratives significantly influence the implementation and sustainability of foreign-assistance reforms by shaping perceptions of conflict zones and justifying interventions, which can lead to either successful integration into global systems or the perpetuation of violence and instability (Dalby 2017). The success or failure of foreign-assistance reforms often hinges on the geopolitical interests of powerful states, which may prioritize strategic and security concerns over development objectives, potentially destabilizing regions rather than supporting sustainable development (Dalby 2017).

The expansion and sustainability of U.S. private voluntary organizations (PVOs) in foreign assistance were significantly influenced by a convergence of interests among the U.S. government, PVOs, and host countries, where PVOs were perceived as politically acceptable channels for aid, particularly in newly independent nations with underdeveloped administrative capacities (Smith 1990_2). The U.S. government's strategic use of PVOs as conduits for foreign aid was driven by geopolitical interests, such as countering communism and bypassing corrupt governments, alongside domestic political considerations, including building public support for foreign aid and disposing of surplus agricultural commodities (Smith 1990_2).

The complex interplay of political, institutional, and economic conditions, as observed in Nepal, where political shifts and aid dependence create a challenging environment for reforms, further illustrates the nuanced impact of these factors on reform success (Khadka 1997). The geopolitical landscape, including the presence of other major international actors like China, creates a competitive environment that can influence the success or failure of U.S. foreign-assistance reforms, as these actors may offer alternative aid models that attract recipient countries (Mandaville 2017). The decline of Third Worldism and the Bandung era was influenced by geopolitical shifts, such as the end of the Cold War and the rise of neoliberal globalization, which undermined the ideological and economic foundations of Third Worldist projects and led to the reorientation of foreign assistance priorities towards geopolitical and economic interests rather than development objectives (Berger 2013).

The effectiveness of foreign-assistance reforms is heavily influenced by the interplay of local political dynamics and donor practices, where donor risk-aversion and control-oriented

behaviors often undermine the potential for reforms to succeed, while local political conditions, such as neopatrimonialism and weak governance structures, further complicate reform implementation (Booth et al. 2008). The literature suggests that geopolitical and economic incentives, such as the prospect of joining the EU, can significantly enhance the implementation of foreign-assistance reforms, as seen in middle-income transition countries that have shown improvements in reducing corruption (Booth et al. 2008). The interplay of security, political, and economic instabilities in Pakistan creates a complex environment that both necessitates and complicates foreign-assistance reforms, as these instabilities are mutually reinforcing and hinder the effectiveness of aid (Kinder 2011).

The historical evolution of US-European transatlantic relations, influenced by political, economic, and security dimensions, has created a contextual condition where mutual interests and shared threats, such as the Soviet Union during the Cold War, enabled the establishment and sustainability of organizations like NATO, which have been pivotal in maintaining transatlantic cooperation and security (Karakaya 2023). The transition from a bipolar to a unipolar world order after the Cold War, marked by the dissolution of the Soviet Union, created a contextual condition that both challenged and reinforced transatlantic relations, as the absence of a common enemy led to scrutiny of NATO's role, while simultaneously prompting the US and Europe to redefine their security and economic cooperation in a globalized context (Karakaya 2023).

The literature highlights that external pressures, such as those from international organizations or foreign governments, can serve as enabling contextual conditions for foreign-assistance reforms by motivating internal changes, as seen in the cases of Japan and Eastern Europe (Baumol et al. 2007). Political stability is identified as a necessary condition for attracting foreign investment, which in turn enables the implementation of foreign-assistance reforms aimed at economic development (Baumol et al. 2007). Corruption and lack of effective legal protections are contextual conditions that can hinder the implementation and sustainability of foreign-assistance reforms, as they reduce investor confidence and complicate the establishment of a successful entrepreneurial economy (Baumol et al. 2007).

Economic Conditions

Economic stability and effective financial management are crucial determinants of the success of foreign-assistance reforms. Stable economic conditions provide the necessary resources and capacity for implementing and sustaining reforms, as evidenced by contexts where macroeconomic stability facilitates financial reforms (World Bank 1989; Meara et al. 2015). Conversely, economic instability, marked by high inflation, fiscal deficits, and external shocks, often impedes reform efforts (World Bank 1989; Seery et al. 2019). The availability of financial resources, such as concessional finance and domestic savings, is essential for sustaining reforms, particularly in low-income countries where external aid alone is insufficient (World Bank 1986; Bekker et al. 2018). However, reliance on foreign aid can foster dependency, undermining local capacity and sustainable development

(Whiteside 2010; Bräutigam et al. 2004). The integration of private finance and market-driven solutions can bolster reform sustainability but requires alignment with local needs and stable regulatory environments (Saarinen et al. 2019; Bridgetown Initiative 2025_1). Economic crises, such as the COVID-19 pandemic, exacerbate financial constraints, underscoring the need for innovative financing and debt relief to maintain reform momentum (Maeresera et al. 2020; Seery 2020). Additionally, geopolitical and economic shifts, such as the rise of middle-income countries and global trade dynamics, influence the allocation and effectiveness of foreign assistance, necessitating adaptive strategies to align with changing global conditions (Norton 2011; World Bank 1986).

The dominance of neo-liberal capitalist paradigms and the resulting concentration of resources and power present significant barriers to inclusive development reforms (Gupta et al. 2015). The transition from a trans-Atlantic liberal world order to multiple overlapping orders, characterized by the diffusion of geoeconomic power to regional hubs across greater Eurasia, creates both opportunities and challenges for foreign-assistance reforms, necessitating a shift from Eurocentric perspectives to a more pluralistic understanding of global dynamics (Fisher-Onar et al. 2022). The interplay between geopolitical dynamics and economic dependencies, such as Japan's postwar alignment with the US and China's economic rise, creates complex contextual conditions that can both enable and hinder foreign-assistance reforms, as these conditions influence national priorities and international relations (Gulick 2011).

The contextual condition that the vast majority of funds for international development come from sources other than bilateral assistance, such as local government expenditure and foreign direct investment, enables U.S. assistance to be positioned as catalytic (Modernizing Foreign Assistance Network 2024). The feminist approach to aid requires political leadership and significant investment as contextual conditions to be implemented, sustained, or scaled. The low level of aid to women's organizations, particularly those based in developing countries, is a condition that causes reforms to stall or fail (Sarosi et al. 2019). Women farmers in rural areas face discrimination and barriers to obtaining financial and agricultural resources and extension services, which are contextual conditions that cause foreign-assistance reforms to stall, become symbolic, or fail, as they have limited legal benefits and protection, extensive time burdens, and limited decision-making power (Sarosi et al. 2019).

The increased focus on private finance blending must be seen in a context where the full potential and benefits of public funding for agriculture and food security are not yet attained, indicating that the economic condition of under-investment in agriculture enables the implementation of private finance blending reforms (Saarinen et al. 2019). The trend of private finance being used more in middle-income countries (MICs) than in least developed countries (LDCs) is a contextual condition that may cause foreign-assistance reforms to stall or fail in addressing the needs of the poorest nations (Saarinen et al. 2019). Unstable environments, characterized by political instability, weak infrastructure, poor regulatory

environment, or climatic fragility, are contextual conditions that deter investors and cause foreign-assistance reforms to stall or fail (Saarinen et al. 2019).

The use of Development Finance Institutions (DFIs), which often operate in tax havens, is enabled by legal frameworks in these environments, but this also leads to greater debt burdens for partner countries, causing potential stalling or failure of foreign-assistance reforms (Seery et al. 2019). The arrival of commercial market finance to sub-Saharan Africa, specifically in bonds, has been higher than ever since 2013, but as financial conditions toughen, these sources are starting to dry up, causing reforms to stall (Seery et al. 2019). Political economy challenges, such as opposition to taxing strong economic sectors, big companies, or wealthy individuals, are identified as conditions that can cause reforms to stall or face difficulties (Seery et al. 2019).

International financial sanctions are a contextual condition that causes foreign-assistance reforms to stall, as they limit the number of banks humanitarian funds can be transferred to and affect the types of programmes that can be run (Hemsley et al. 2019). The lack of electricity and destroyed bank infrastructure are contextual conditions that enable the use of physical cash as a necessary modality for aid delivery, despite the risks of aid diversion (Hemsley et al. 2019).

The strengthening of domestic resource mobilization and domestic policy and regulatory environments are identified as contextual conditions enabling the implementation and sustainability of foreign-assistance reforms (UN Summit for the Future 2024). The lack of active participation of small and medium-sized businesses in the private sector is caused by a shortage of credit instruments dedicated to these businesses, indicating financial conditions that stall the implementation of foreign-assistance reforms (Ceccarelli 2018).

Overall, the interplay of economic stability, financial management, and external economic conditions critically shapes the implementation and sustainability of foreign-assistance reforms. The needs of beneficiaries and other key stakeholders are shaped by their context, which includes economic, environmental, equity, social, cultural, political economy, and capacity considerations. Evaluators are encouraged to understand which contextual factors are most pertinent to an intervention (OECD 2021).

Social and Security Conditions

The success or failure of foreign-assistance reforms is intricately linked to social cohesion and security conditions. Social norms and community engagement are pivotal, as they significantly influence the implementation and sustainability of these reforms. The active involvement of local civil society and community leaders ensures the relevance and acceptance of interventions, as evidenced in Niger and Ethiopia (Grasset 2014; Gemsol Social 2025). Conversely, a lack of engagement with local actors, as observed in Chad, can lead to stalled reforms (Fanning et al. 2019). Evaluators must understand the context, including economic, environmental, and social factors, to ensure effective interventions

(OECD 2021).

Security challenges, such as ongoing conflicts and political instability, often impede reform efforts. In regions like Afghanistan and Yemen, persistent conflict and security threats exacerbate instability, restricting the ability to achieve long-term development gains (Fanning et al. 2019; Cairns 2015). Similarly, the presence of non-state armed actors and the uncontrolled flow of small arms in regions like the DRC and Colombia complicate humanitarian access and stall reforms (Baldoumas et al. 2025). The global landscape, including aggression from authoritarian regimes and climate impacts, further influences the implementation and sustainability of foreign assistance reforms (Modernizing Foreign Assistance Network 2024).

Social conditions, including gender norms and community dynamics, also play a critical role. In Syria, social norms that exclude women from property rights pose significant challenges to legal reforms (Hemsley et al. 2019). Conversely, the reduction in armed conflict in certain areas can create opportunities for community-level resilience and recovery, enabling reforms (Hemsley et al. 2019). The neglect by central governments and counter-terrorism strategies in the Sahel region lead to community grievances, impacting reform implementation (Fanning et al. 2019).

The interplay of these social and security conditions necessitates adaptive management and flexible approaches to foreign-assistance reforms. The integration of local leadership and traditional initiatives, as seen in CAR, is essential for addressing political fragility and chronic crises (Oxfam 2016). As previously discussed, the sustainability of interventions is influenced by contextual conditions such as economic, financial, social, and environmental factors, which may enhance or inhibit the durability of the intervention's results (OECD 2021). Overall, the success of foreign-assistance reforms is contingent upon navigating these complex social and security landscapes, emphasizing the need for inclusive and context-sensitive strategies.

In fragile states, the integration of security assistance with broader governance and political strategies is crucial, highlighting the need for a holistic approach that includes both technical capacity building and institutional development (Rose 2019). Additionally, the retreat of democracy and the rise of authoritarianism, coupled with a diminished role for civil society and increased hostility towards globalization, create a challenging political and social environment that undermines the implementation and sustainability of foreign-assistance reforms, particularly in the context of global health and HIV response (Bekker et al. 2018). The integration of HIV services with broader health systems is seen as a necessary reform to enhance sustainability and effectiveness, but this requires overcoming existing health system weaknesses and ensuring that integration efforts preserve key attributes of the HIV response, such as community engagement and human rights commitments (Bekker et al. 2018).

Community engagement and the mobilization of community health workers are essential conditions for the successful implementation and scaling of foreign-assistance reforms, as they facilitate local adaptation and acceptance of public health measures (Haldane et al. 2021). The mobilization of marginalized communities, such as black and indigenous groups, supported by legal reforms recognizing their rights, can serve as a critical contextual condition enabling the implementation of foreign-assistance projects like biodiversity initiatives (Escobar 2011). Furthermore, the literature suggests that contextual conditions such as the level of education and spousal involvement significantly influence the implementation and success of foreign-assistance reforms, as seen in the case of long-term family planning methods in Uganda, where higher education levels and partner involvement were associated with increased use of these methods (Al Jumah 2016).

The success of urban development reforms in developing countries is contingent upon a participative approach that involves multiple actors, including municipal authorities, NGOs, and local populations, which helps to address the complexity and interdependencies of urban issues (Kouamou et al. 2008). The successful implementation and scaling of foreign-assistance reforms are often contingent on addressing a broad spectrum of contextual conditions, including economic, social, and ecological factors, as demonstrated by Helfgott's work in Nepal and the emphasis on community resilience (Johnson et al. 2018). Resistance to foreign-assistance reforms can arise from professional identity issues, as seen in the Scottish healthcare model reform, where doctors' reluctance to participate in multi-disciplinary teams led to the reform's failure, highlighting the importance of considering professional and cultural identities in reform implementation (Johnson et al. 2018).

Social and economic conditions, such as the need to maintain stable food prices and self-sufficiency in production, particularly in countries with historical food shortages, can enable the implementation and sustainment of agricultural policies, but they can also cause reforms to stall if not managed properly (World Bank 1986). Political and institutional conditions, such as grassroots-level initiatives and guaranteed land management rights, play a crucial role in enabling the implementation and sustainability of foreign-assistance reforms by providing security and incentives for investment (World Bank 1986). The ability to implement and sustain foreign-assistance reforms is significantly affected by the socio-political environment, including the presence of vested interests and the degree of political and community support, which can either facilitate or hinder reform efforts (World Bank 1982).

Challenges and Barriers

The implementation and sustainability of foreign-assistance reforms are significantly challenged by a myriad of contextual conditions. Political instability and conflict, as observed in regions such as Afghanistan, the Sahel, and the Democratic Republic of Congo, create environments that hinder the effective execution and maintenance of reforms (Fanning et al. 2019; OECD 2021). Economic challenges, including high debt burdens and financial constraints, further complicate these efforts, particularly in low-income and fragile

states (Seery et al. 2019; Saarinen et al. 2019). The financial crises experienced by Southern Cone countries exemplify how economic instability can exacerbate reform challenges (World Bank 1989). Social and institutional barriers, such as gender inequality and insufficient local engagement, critically impede reforms by limiting the participation and empowerment of marginalized groups (Sarosi et al. 2019; Cohen et al. 2018).

The politicization of aid, often driven by donor priorities and geopolitical interests, frequently results in reforms becoming symbolic rather than substantive. This is evident in the prioritization of short-term strategic interests over long-term developmental goals (Ahmad 2015_1; Brainard 2007). The Trump administration's foreign-assistance reforms, for instance, were often stalled or became symbolic due to the President's leadership style, which emphasized personalistic decision-making and impulsive actions, creating friction with the bureaucratic apparatus and limiting the administration's ability to implement coherent and lasting strategies (Carati et al. 2025_2; Carati et al. 2025_3).

Moreover, the global landscape, characterized by challenges such as aggression from authoritarian regimes, climate impacts, and economic competition, influences the implementation and sustainability of foreign assistance reforms (Modernizing Foreign Assistance Network 2024). In Chad, ongoing conflict, instability, and climate change necessitate foreign-assistance reforms but simultaneously create barriers to their success (Fanning et al. 2019). The political and economic landscapes in Malaysia, where vested interests seek control over projects, exemplify how political conditions can cause reforms to stall or become symbolic (Beh 2010).

Financial constraints, such as the lack of domestic resources to fund universal health, education, and social protection, underscore the need for an additional \$150 billion to meet these needs, indicating financial conditions that cause reforms to stall (Seery et al. 2019). The use of Development Finance Institutions (DFIs) operating in tax havens, which leads to greater debt burdens for partner countries, further complicates reform efforts (Seery et al. 2019). The lack of transparency and significant information gaps, particularly regarding financial intermediaries and private sector engagement, are identified as conditions that cause foreign-assistance reforms to stall or become symbolic (Saarinen et al. 2019). The absence of public data for China's financing flows is another example of how lack of transparency can hinder reform implementation (Jamison et al. 2013).

These factors create a complex environment where foreign-assistance reforms are frequently stalled or fail to achieve their intended impact, highlighting the need for more adaptive and context-sensitive approaches to aid implementation. The challenges are compounded by the social and technical complexity of local issues, as seen in participatory irrigation management planning, where political and institutional factors contributed to slow performance and cost overruns (OECD 2021). Addressing these multifaceted challenges requires a nuanced understanding of the political, economic, and social contexts in which foreign-assistance reforms are attempted. The failure of international

development assistance in the 60s and 70s due to lack of cultural sensitivity further underscores the importance of considering cultural conditions in reform efforts (Hofstede 1983).

Furthermore, the success of foreign aid reforms is contingent upon overcoming entrenched donor practices and incentives, such as the focus on commitments and disbursements, which can lead to superficial agreements and undermine genuine reform efforts (Ranis 2007). The competition for agenda space between foreign policy and economic issues can cause foreign-assistance reforms to stall or fail, as attention to one domain often detracts from the other, particularly during economic crises or significant international events (Peake 2016). The lack of local leaders' perspectives in policy development and the absence of a formal definition of localization create significant barriers to the implementation and sustainability of foreign-assistance reforms, highlighting the need for better feedback loops and clearer definitions to facilitate these efforts (Ingram 2022). The unpredictability of the U.S. budget and appropriations cycle, along with the reluctance of ambassadors and the Department of State to expand overseas staffing, are key contextual conditions that cause foreign-assistance reforms to stall, indicating the need for more stable financial and staffing frameworks to support reform efforts (Ingram 2022).

Enabling Strategies

The implementation and sustainability of foreign-assistance reforms are profoundly shaped by strategic partnerships, political commitment, and integrated approaches. Political commitment is exemplified by Rwanda, where robust leadership and a focus on self-reliance have facilitated enduring reforms (Ahmad et al. 2016_1). Strategic partnerships, particularly those between local and international actors, leverage indigenous knowledge and ensure aid aligns with community needs, as demonstrated in the Philippines and Bangladesh (Manlutac 2022_1; Vera et al. 2021). Integrated approaches, which combine humanitarian, development, and peace efforts, prove more effective in contexts with strong local leadership and systems development, enabling transformative responses (Fanning et al. 2019). The persistent and recurrent nature of crises, such as those in the Sahel, underscores the necessity for adaptive management and contingency planning, emphasizing the importance of linking immediate and long-term needs (Fanning et al. 2019).

The financial landscape, where the majority of development funds originate from local sources rather than bilateral aid, positions foreign assistance as catalytic, necessitating strategic risk-taking and innovation to influence larger financial flows (Modernizing Foreign Assistance Network 2024). Integrating climate and nature resilience investments into macrofiscal frameworks is crucial for unlocking concessional finance and driving reforms, requiring coordinated action across stakeholders (Bridgetown Initiative 2025_1). The contextual condition of receding private financing flows and toughening financial conditions enables the implementation of concessional finance, such as Official Development Assistance (ODA), to the poorest nations, providing essential financial resources amidst

these challenges (Seery et al. 2019).

Political and institutional conditions, including stakeholder ownership, absorptive capacity, and national resource availability, support the sustainability of projects like the Inter-Communal Rural Development project in Afghanistan (OECD 2021). Decentralization as a contextual condition empowers local and national actors to participate more effectively in the current infrastructure, facilitating the implementation of localization reforms (Fanning et al. 2019). The need for consistent high-level, cross-departmental dialogue and space for co-creation to deliver a nexus approach is enabled by contextual conditions that support collaboration and integration across disciplines (Fanning et al. 2019).

Realizing change requires champions at all levels within aid departments and adequate investments in leadership to ensure that aid agencies fully understand, own, and integrate a feminist approach, highlighting the enabling condition of institutional support and leadership (Sarosi et al. 2019). The increased focus on private finance blending must be contextualized within the under-investment in agriculture, indicating that this economic condition enables the implementation of private finance blending reforms (Saarinen et al. 2019).

Effective, transparent management of public funds is identified as an enabling condition for proposed foreign-assistance reforms, as it enhances taxpayer trust and boosts tax compliance (Siegel 2017). The involvement of civil society in aid for Domestic Resource Mobilization (DRM) projects and the fight against corruption by developing the capacities of internal and external regulatory bodies is recognized as a contextual condition enabling reforms to be implemented and sustained (Siegel 2017). The commitment to creating a more enabling environment at global, regional, and national levels to increase the mobilization of domestic resources identifies supportive policy environments as enabling the implementation of foreign-assistance reforms (UN Summit for the Future 2024).

The interplay of political, financial, and institutional conditions, alongside strategic partnerships and integrated approaches, is crucial for overcoming barriers and enabling the successful implementation of foreign-assistance reforms. Evaluations should assess whether the planned exit strategy was properly implemented to ensure the continuation of positive effects as intended, while allowing for changes in contextual conditions (OECD 2021). Additionally, the historical context of foreign aid, such as the mobilization of public opinion in Europe and Canada during the 1960s to support increased official foreign aid, underscores the importance of public support and willingness to pay higher taxes as enabling conditions for implementing foreign assistance reforms (Smith 1990_1). The economic entrenchment in Europe and Canada after the oil shock of 1973 further enabled governments to channel more resources through NGOs to keep costs down and bypass domestic economic constraints (Smith 1990_1).

Conflict

The theme of conflict in foreign-assistance reforms is marked by significant discursive disagreements, primarily centered on the geopolitical influences that impact reform implementation. Geopolitical competition, particularly between major powers such as the United States and China, emerges as a critical factor that complicates or stalls reforms. This competition, along with geopolitical shifts, redefines inter-state relations and often leads to a retrenchment of foreign assistance (International Rescue Committee 2026_1). Strategic interests frequently overshadow developmental goals, causing reforms to become symbolic or fail (Gulrajani 2022; International Rescue Committee 2026_2; Mearsheimer 2019; Witt 2019). For instance, political divisions among UN Security Council members and key states have stalled diplomatic approaches toward Syria, as these states prioritize counter-terrorism and security objectives over political solutions (Baudot 2015). Additionally, geopolitical events like Russia's invasion of Ukraine further strain global food systems, necessitating increased foreign assistance efforts (The US Government's Global Hunger and Food Security Initiative 2024).

Internal political dynamics and local governance structures also play a crucial role in shaping reform outcomes. The interaction between domestic and international political dynamics is essential for understanding the success or failure of foreign-assistance reforms, as domestic political constraints can lead to 'involuntary defection' from international agreements (Haggard et al. 1987). Domestic political conditions, such as ethno-nationalist conflicts and power imbalances, can either enable or hinder reforms, depending on their alignment with or resistance to external geopolitical pressures (Fernando 2015; Rampton et al. 2017; Selenica 2022). The interplay between Myanmar's political reforms and international aid commitments, such as the Nay Pyi Taw Accord, creates a dual contextual condition that both enables and challenges reform implementation (Burnley et al. 2014). In Sri Lanka, the militaristic climate and geopolitical interests significantly influence the peace process and reform implementation (Fernando 2015).

The ideological dimensions of geopolitical contexts, such as the Cold War and post-9/11 security paradigms, have historically influenced foreign-assistance strategies, often prioritizing security and political objectives over humanitarian needs, leading to militarized or ideologically biased reforms (Rostow et al. 1960; Norton 2011; Dalby 2017; Brainard 2007; Fanning et al. 2019). The post-9/11 shift towards militarization has contributed to a global climate where gender equality claims are de-prioritized (Zwingel 2019).

Moreover, the literature identifies the tension between donor-driven agendas and local priorities as a significant barrier to effective reform implementation (Aloudat et al. 2022; Robillard et al. 2021; Roepstorff 2020). This tension is exacerbated by geopolitical interests that prioritize strategic alliances over equitable development, resulting in reforms misaligned with local needs and capacities (Oxfam America 2022; Dunning et al. 2017; Banks et al. 2015). The interplay between donor-driven agendas and recipient ownership is a critical contextual condition affecting reform implementation, as seen in India's ability to

leverage its aid independence to negotiate terms and promote state-level reforms (Gibson et al. 2005). The arrival of powerful new stakeholders and the blurring of North-South boundaries have led to a collapse of traditional development effectiveness architectures, creating a 'race to the bottom' in accountability standards (Gulrajani 2022). Externally driven localization projects like EMPOWER in Ethiopia face a paradox where the need to demonstrate both empowerment and compliance leads to symbolic legitimacy work that obscures the disconnect between project strategy and implementation, ultimately maintaining hierarchical structures (Mulder 2023).

Geopolitical conditions, such as the influence of adversaries like China and Russia, can enable or stall foreign-assistance reforms (US Global Leadership Coalition 2025; Bekker et al. 2018; Duggan et al. 2025; Mandaville 2017). The EU's strategic agenda and the Global Gateway strategy may cause a drift away from its character as a values-based donor, impacting its focus on fragile and conflict-affected states (Kumar et al. 2025). The geopolitical context, particularly the competition with China's Belt and Road Initiative, creates both a driving force for reforming foreign assistance programs like the SLG and a potential source of tension that can affect the prioritization and execution of these reforms (Morris et al. 2023). The interplay between geopolitical factors and local governance structures significantly influences the success or failure of reforms, as geopolitical considerations can either support or undermine local efforts (Khan 2003; Cohen et al. 2016; Fraser 2008; Zahariadis 2025).

Overall, the discourse on foreign-assistance reforms is characterized by a complex interplay of geopolitical, ideological, and local political factors, each presenting distinct challenges and opportunities for reform implementation and sustainability. The presence of multiple, sometimes conflicting, purposes for aid—such as diplomatic, developmental, and commercial—creates a complex environment where foreign-assistance reforms can either be advanced or stalled based on how these purposes are prioritized and negotiated within donor countries (Lancaster 2008_1). These conflicting narratives underscore the difficulty of achieving consensus on reform strategies in a multipolar and ideologically diverse global landscape. The persistence of geopolitical tensions and ideological contests, particularly around women's rights, creates a complex backdrop that can stall or limit the effectiveness of reforms focused on gender equality and women's empowerment (Cornwall et al. 2015). Geopolitical challenges to international cooperation, national, political, and economic contexts, and global financial precarity and conflict are identified as contextual conditions that have caused feminist advocacy at the UN to become more diffused and fraught (Oula et al. 2026). The allocation of democracy assistance is influenced by geopolitical considerations, with U.S. policymakers potentially prioritizing countries based on their strategic importance or likelihood of democratic success, which can lead to biases in aid distribution and effectiveness (Finkel et al. 2007).